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2011 FEDERAL TAX UPDATE

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FEDERAL TAX UPDATE

Important Developments in Federal Income, Estate & Gift Taxation Affecting Individuals August, 2010 to August, 2011

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This update explains several developments in the substantive federal income, estate and gift tax laws affecting individual taxpayers and small businesses. It contains summaries of significant cases, rulings, regulations, legislation and other matters from August, 2010, through August, 2011. This update generally does not discuss developments in the areas of qualified plans or the taxation of business entities (except to a very limited extent).

On September 27, 2010, President Obama signed the Creating Small Business Jobs Act of 2010. The Act was one of several pieces of legislation signed that day designed to provide relief to small business owners. The Act extends several of the economic stimulus provisions that were introduced into the Code in the past few years. Key aspects of the Act are examined herein and tagged as “2010 Small Business Act.”

On December 17, 2010, President Obama signed the Tax Relief, Unemployment Insurance Reauthorization, and Job Creation Act of 2010. This legislation effectively postponed the “sunset” of legislation from 2001 and 2003 for two years, meaning much of the uncertainty over the federal tax laws will likely continue through the next presidential election. Highlights of the Act are discussed herein and bear the label “TRUIRJCA 2010.”

Section 1: Tax Imposed

TRUIRJCA 2010: Two-Year Extension of Reduced Individual Tax Rates. The 2010 tax brackets of 10%, 15%, 25%, 28%, 31%, and 35% were set to return to 15%, 28%, 31%, 36%, and 39.6% at start of 2011, but the Act extends the reduced rate brackets through 2012. In addition, the repeal of the marriage penalty in the 15% tax bracket has also been extended through 2012. *Section 1(f), (i).*

TRUIRJCA 2010: Two-Year Extension of Lower Rates for Net Capital Gains and Qualified Dividend Income. The preferential rates for net capital gains (zero percent for taxpayers in the 10% and 15% tax brackets, 15% for everyone else) were scheduled to revert to higher levels (10% for taxpayers in the 15% bracket and 20% for everyone else, except that net capital gains attributable to property held for more than five years would be subject to tax at 18%) at start of 2011, but the Act extends the reduced rate brackets through 2012. *Section 1(h).*

Section 24: Child Tax Credit

TRUIRJCA 2010: Keep on Breeding, Because the Kids Still Produce Higher Tax Savings. The \$1,000 per child tax credit (available to taxpayers with incomes below certain levels) was scheduled to drop to \$500 per child starting in 2010, but the Act extends the \$1,000 credit through 2012. In addition, the higher phaseout thresholds and the ability to claim the credit against the alternative minimum tax have also been extended through 2012. *Section 24.*

Section 25A: Hope and Lifetime Learning Credits

TRUIRJCA 2010: This Opportunity Knocks for Two More Years. In 2009, the Hope Scholarship Credit was replaced with the new “American Opportunity Tax Credit,” but this replacement was only supposed to last through 2009. The new credit was significantly more generous than its predecessor. For one thing, the maximum amount of the American Opportunity Tax Credit was \$2,500 (computed as 100% of the first \$2,000 of qualifying expenses and 25% of the next \$2,000), while the old Hope Scholarship Credit was capped at \$1,800. The old credit only applied to the first two years of undergraduate education, but the new credit was available for the first four years of undergraduate study. The old credit did not include textbooks, but the new one did. Perhaps most importantly, the old credit was nonrefundable, but up to 40% of the new credit was refundable. Finally, the old credit was subject to a phase-out once the claiming taxpayer’s adjusted gross income (AGI) exceeded \$50,000 (\$100,000 for joint filers), and the credit was reduced to zero for those with adjusted gross incomes in excess of \$60,000 (\$120,000 for joint filers). The new credit was not subject to a phase-out until adjusted gross income exceeded \$80,000 (\$160,000 for joint filers). Now the new credit has been extended through the end of 2011. *Section 25A(i).*

Section 62: Adjusted Gross Income Defined

TRUIRJCA 2010: Teachers Continue to Receive Above-the-Line Deduction for Classroom Expenses. Since 2002, elementary and secondary school teachers could claim up to \$250 of § 162 expenses paid “in connection with books, supplies (other than nonathletic supplies for courses of instruction in health or physical education), computer equipment (including related software and services) and other equipment, and supplementary materials used by the eligible educator in the classroom” as an above-the-line deduction. This provision expired at the end of 2009, but it has now been revived and extended through 2011. *Section 62(a)(2)(D).*

TRUIRJCA 2010: Qualified Higher Education Expenses Remain Deductible Above the Line. The above-the-line deduction for education loan interest was set to revert to an itemized deduction starting in 2010, but “above-the-line” status has been extended for 2010 and 2011. *Section 62(a)(18).*

Section 67: 2-Percent Floor on Miscellaneous Itemized Deductions

Forget These Annual Extensions—Relief for Bundled Fiduciary Fees Will Continue Until Final Regulations are Issued. In *Knight v. Commissioner*, a 2008 decision, the Supreme Court held that fees paid to an investment advisor by a trust or estate are subject to the § 67 limitation on miscellaneous itemized deductions. Immediately after that decision, Treasury announced that, pending the issuance of new regulations that comply with *Knight*, investment advice fees and other costs normally subject to § 67

that are bundled as part of one commission or fee paid to the trustee or executor (so-called “bundled fiduciary fees”) would *not* be subject to § 67 if they were paid or incurred before 2008. If the trustee or executor was separately reimbursed for expenses subject to § 67, however, such payments would be subject to § 67. In issuing that announcement, Treasury expected that new regulations with safe harbors for use in allocating bundled fiduciary fees between costs subject to §67 and those not subject to §67 would soon be forthcoming. Alas, they were not. So late in 2008, Treasury extended the relief for bundled fiduciary fees to include all such payments in all taxable years beginning before 2009. When no regulations came out in 2009, Treasury again extended the relief, this time applicable to all such payments in all taxable years beginning before 2010. Sure enough, no regulations were issued in 2010. Perhaps sick of granting annual extensions, Treasury has now extended the relief to any taxable year beginning before the date that final regulations are published. (Note that Treasury offered this third extension only days before individual returns for 2010 were due.) *Notice 2011-37* (April 13, 2011).

Section 72: Annuities; Certain Proceeds of Endowment and Life Insurance Contracts

Payments that Reduce When Children Reach Age 20 Still Alimony. When Paul and Nancy divorced in 2001, they had four children, two of whom were still minors. The divorce decree required Paul to make “alimony” payments to Nancy in the amount of \$109,000 a year for the first five years, \$91,000 a year for the next three, and \$25,000 for the following two years. Nancy argued that \$84,000 of the early payments was child support and not alimony because of the \$18,000 reduction that took place in the sixth year and the \$66,000 reduction in the ninth year. Those reductions would happen in years that one of the two minor children reached the age of 20. But the court held that the entire payment was alimony. The decree contained separate provisions for child support, and the alimony payments were intended to provide Nancy with the equivalent of half of Paul’s income for a stated period of time. Given his age and status, the scheduled drops in payments did not reflect child support. Thus, Nancy has to include the entire amount of the alimony payments in gross income. *Maes v. United States* (D. Mt., October 13, 2010).

Section 83: Property Transferred in Connection with Performance of Services

The Smartest Guys in the Room Were the Ones Who Devised This Plan. In the summer of 2001, Enron wanted to lure the decedent, Ken Lay, from retirement so he could return as CEO. Acting upon the advice of a consultant, the company’s compensation committee created an agreement whereby Enron would pay \$10 million to Ken and his spouse to acquire two annuity contracts that they had purchased for \$10 million. Lay could then earn back the annuity contracts as a long-term incentive award if he remained in Enron’s employ for a 4.25-year term (um, let’s just say he didn’t). The taxpayer and his spouse reported the sale of the annuity contracts on their 2001 return. They showed a total amount realized of \$10 million, an adjusted basis of \$10 million, and, thus, no gain or loss from the sale. The decedent received a Form W-2 from Enron for 2001, but that form did not include as compensation any portion of the \$10 million paid for the annuities. In 2004, pursuant to an agreement with the Service, Enron issued an amended Form W-2 that reported the entire \$10 million as compensation. The Service contended that there was no genuine sale of the annuity contracts to Enron and that this was a ploy to engineer a cash bonus to the decedent on a tax-free basis. As far as it was concerned, the agreement provided for a transfer of the annuity contracts in exchange for the decedent’s performance of services and, thus, was taxable compensation under § 83 at the time he received the cash. But the Tax Court held that there was a bona fide sale of the annuities to Enron. Enron seriously wanted to acquire the contracts because the arrangement gave liquidity to the decedent to induce him to reassume the helm as CEO and also served as a retention device to induce the decedent to continue in as CEO for a number of years. Further, said the court, the benefits and risks of ownership of the annuity contracts were transferred to

Enron, as the decedent and his spouse gave up all rights to alter or terminate the annuity contracts and lost dominion and control over them. Enron, on the other hand, as the owner of the contracts, could make cash withdrawals and alter the investment options in the contracts. That was enough to say Enron had dominion and control over them. Nothing in the record suggested that Enron overpaid for the contracts such that some portion would be compensation. The court also held that § 83 did not apply because the agreement was not “property.” It was simply an unfunded and unsecured promise to transfer property in the future, and the regulations are clear that such promises are not “property” and thus exempt from § 83. Even if the agreement was property, said the court, there was a “substantial risk of forfeiture” because the decedent had to work 4.25 years for Enron in order to receive the annuity contracts. *Estate of Lay v. Commissioner*, T.C. Memo. 2011-208 (August 29, 2011).

Section 104: Compensation for Injury or Sickness

Exonerated Prisoner Can Exclude Compensatory Damages. The taxpayer was wrongfully convicted of a crime and spent several years in prison before being exonerated by the state. During incarceration, the taxpayer suffered physical injuries and sickness. After gaining freedom, the taxpayer received damages under a state law designed to compensate those wrongfully convicted and incarcerated for injuries, sickness, and economic losses flowing from their injuries and sickness, including lost wages and future medical bills. The Service announced that the taxpayer is entitled to exclude these damages, whether received in a lump sum or through periodic payments. *Chief Counsel Advice 201045023* (November 12, 2010).

Retirement Annuity Not Compensation for Military Duty Injuries. Section 104(a)(4) provides an exclusion for “amounts received as a pension, annuity, or similar allowance for personal injuries or sickness resulting from active service in the Armed Forces of any country.” The taxpayer, a Marine veteran who served in Vietnam, suffered a number of combat-related injuries while in service. He was discharged in 1972. In 1980, he went to work for the Post Office. In 1992, he was forced to retire, largely due to the injuries he suffered in Vietnam. He received a retirement annuity from the Post Office (well, from the Office of Personnel Management, to be more precise). In some years, the taxpayer excluded the amounts received from gross income. The Service had examined the taxpayer’s returns from some of those years, but each time the Service issued a closing letter that made no adjustments to the returns. On his 2006 return, the taxpayer excluded the nearly \$15,000 annuity he received from the Office of Personnel Management, claiming the § 104(a)(4) exclusion applied. When the Service examined this return, it determined a deficiency of over \$2,800. The Tax Court agreed with the Service that the exclusion did not apply. The retirement annuity payments did not represent compensation for personal injuries or sickness incurred while the taxpayer was in military service; it was compensation for his work at the Post Office. The court rejected the taxpayer’s argument that the closing letters from prior years barred the Service from asserting a deficiency based on his tax treatment of the annuity. The court observed the well-established rule that just because the Service overlooked an item in an examination, it is not precluded from challenging that same item in later years. *Robison v. Commissioner*, T.C. Memo. 2001-59 (March 10, 2011).

Section 107: Rental Value of Parsonages

Ministers Can Exclude Parsonage Allowances on Multiple Homes. Section 107 allows a member of the clergy to exclude from gross income “the rental value of a home furnished to him as part of his compensation” for carrying out his or her duties (or any rental allowance to the extent it is used to rent or provide “a home” and to the extent the allowance does not exceed the fair rental value of the home, its furnishings, and reasonable appurtenances). The taxpayer, an ordained minister for Mighty

Horn Ministries, and his wife owned both a principal residence and a lake home. The taxpayer received a parsonage allowance for both homes, and the taxpayer excluded the entire allowance from gross income. The Service assessed a deficiency on the grounds that § 107 only permits exclusion of parsonage allowance on “a home” (i.e., one home). The taxpayer went to Tax Court, arguing that the statute merely requires property to be used as a residence (“a home”) and that it does not impose a limit on the number of properties than can serve as a residence for this purpose. The Tax Court (7-6) held that the taxpayer’s interpretation was correct. Tracing the history of § 107 and its predecessors, the majority concluded that the phrase “a home” was used to distinguish residences from properties on which business activities were conducted. Further, § 7701(m)(1) cross-applies 1 U.S.C. § 1, which provides that unless the context suggests otherwise, “words importing the singular include and apply to several persons, parties, or things.” The dissenters believe the context here indeed suggests an intent to limit the exclusion to allowances paid in connection with a single residence. They argue that most people have only one home, so it is fair to say the plain meaning of “a home” is a “a single residence.” They also argued that extending the exclusion to multiple residences would not accomplish any legislative purpose. *Driscoll v. Commissioner*, 135 T.C. No. 27 (December 14, 2010).

Section 108: Income from Discharge of Indebtedness

Proposed Regulations Explain Application of Exclusion for COD Income of Grantor Trusts and Disregarded Entities. Section 108 excludes income from the discharge of indebtedness in certain situations, including where the discharge occurs in a Title 11 bankruptcy case or when “the taxpayer” is insolvent. Treasury has proposed regulations providing that the owner of a grantor trust or a disregarded entity will be considered the “taxpayer” for purposes of § 108 (as opposed to treating the trust or the disregarded entity as the taxpayer). Thus, the owner has to be the one who is insolvent or subject to the jurisdiction of the bankruptcy court. If the owner of a grantor trust or disregarded entity is a partnership, the proposed regulations contain a “look-through rule” under which the § 108 exclusion would be applied by looking at the partners to whom the discharge of indebtedness income is allocable. Under the proposed regulations, it will not matter whether a grantor trust or disregarded entity is insolvent or subject to the jurisdiction of the bankruptcy court—it will only matter whether the deemed owner of the trust or disregarded entity is so insolvent or subject to the bankruptcy court’s jurisdiction. *Proposed Regulation § 1.108-9* (April 13, 2011).

Section 112: Certain Combat Zone Compensation of Members of the Armed Forces

Blackwater Operative Not Entitled to Exclusion. Section 112(a) excludes from gross income compensation received for active service as a member (below the grade of commissioned officer) in the United States Armed Forces for any month during any part of which the service member served in a combat zone. Regulations further provide that only compensation paid by the United States Armed Forces to members of the Armed Forces is eligible for this exclusion, with limited exceptions for certain amounts paid by an agency or instrumentality of the United States or by an international organization. The taxpayer in this case performed dangerous security services in Iraq for Blackwater USA, a private security contractor. For the taxable year at issue (2005), the taxpayer received compensation of \$98,400 for his work in Iraq on behalf of Blackwater. Though Iraq was identified as a combat zone for all months in which the taxpayer received compensation, the Service claimed that the compensation should have been included in gross income. The Tax Court agreed, noting that the taxpayer did not serve in the United States Armed Forces; he was, rather, a private citizen hired and paid by a private company and not by the United States Armed Forces. It rejected his claim for exclusion on the grounds that the work he performed was substantially similar to the work performed by members of the United States Armed

Forces that could claim the exclusion. *Holmes v. Commissioner*, T.C. Memo. 2011-26 (January 31, 2011).

Section 162: Trade or Business Expenses

One Free Bite Rule Applied to the “Reasonable Expectation of Renewal” Exception to the 12-Month Rule. The taxpayer’s preferred shareholders held redemption rights which, if exercised, required the taxpayer to pay interest on the redemption amount if it was unable to pay the redemption amount in a lump sum. The taxpayer and its preferred shareholders entered into several consecutive “forbearance agreements” under which the shareholders agreed to relinquish their redemption elections in exchange for a series of payments resembling the interest payments. The issue is whether the taxpayer’s payments to the preferred shareholders were currently deductible. The taxpayer contended that the payments were deductible as interest expense, but the Tax Court held that even though the parties intended the payments to be like interest, there is no existing indebtedness. Thus the payments could not be considered interest. After determining that the payments were neither in form or substance a reacquisition of stock (which would have triggered § 162(k)’s deduction disallowance) nor a constructive dividend to the shareholders (which also would have precluded a deduction for the taxpayer), the court went on to hold that the payments are “ordinary and necessary” costs paid or incurred in connection with the taxpayer’s trade or business. Thus, a deduction for the payments under § 162(a) would be proper if the payments represent “expenses” as opposed to “capital expenditures.” That required the court to consider the 12-month rule under Regulation § 1.263(a)-4(f). Each of the agreements was structured to last for only one year, so it would appear that expensing would be permitted under the 12-month rule. But the regulation contains a special rule providing that “the duration of a right includes any renewal period if all of the facts and circumstances in existence during the taxable year in which the right is created indicate a reasonable expectancy of renewal.” The Service argued that because the parties contemplated a series of annual forbearance agreements, there was a “reasonable expectancy of renewal” and thus the duration of the taxpayer’s benefit from the payments exceeded 12 months. The Tax Court held that the interest paid under the first agreement could be deducted as a business expense (there had been no renewal history at that point, the taxpayer’s cash flow was such that a lump sum payment was possible, and the terms of the second agreement were renegotiated, indicating no evidence of intent to renew regularly), but the interest paid under the later agreements had to be capitalized (the taxpayer’s cash flow had ebbed to the point that it could only afford to make ongoing interest payments, and the terms remained constant, suggesting annual renewals were likely). *Media Space, Inc. v. Commissioner*, 135 T.C. No. 21 (October 18, 2010).

Proposed Regulations Clarify Exceptions to the \$1 Million Compensation Deduction Limit. Section 162(m) generally limits the deduction for compensation paid by a publicly-held corporation during any taxable year to a covered employee (namely the CEO or the person acting in that capacity) and the three highest paid officers (other than the CEO or CFO) to \$1 million. There is an exception for so-called “performance-based compensation.” Both stock options and stock appreciation rights are within this exception provided they are awarded by a compensation committee, the plan pursuant to which the options or rights are granted states the maximum number of shares that can be granted during a specified period of time, and the amount of compensation the employee can receive is based solely on an increase in the value of the stock after the date of the grant or award. Treasury has proposed a change to this rule to make clear that the plan must specify the maximum number of shares that may be granted to any *individual* employee during a specified period. So if the plan simply states the maximum number of shares that may be granted in total but does not state the maximum amount that can be granted to any one employee, options and rights awarded under the plan would not qualify as performance-based compensation. In addition, the proposed regulations clarify the application of a transition rule for non-publicly held corporations that become publicly held. The current rules state that the \$1 million limit does not apply to compensation paid under an agreement that existed when the corporation was not

publicly held. That transition rules also applies to stock options and stock appreciation rights awarded pursuant to a pre-existing agreement and granted on or before the date on which that agreement expired, the agreement was materially modified, all of the compensation has been awarded under that plan, or, generally, three years after the after the corporation's IPO (whichever of those four events occurs first). The proposed regulation makes clear that this transition rule is only applicable to options and stock appreciation rights and not to any other form of stock-based compensation, like shares held under a restricted stock agreement or compensation awarded pursuant to a phantom stock plan. The regulations would become effective once finalized. *Proposed Regulation § 1.162-27(e)(2)(vi) and -27(f)(3)* (June 23, 2011).

Legal Fees Incurred by CEO in Defending Against Lawsuit from Disgruntled Investor are Business Expenses. The taxpayer was one of several entrepreneurs that together formed an internet business for the sale of work-related safety footwear. The taxpayer was CEO, a board member, and a minority shareholder. The business never got up and "running" due to problems with raising capital, so the company shut down and sold most of its tangible assets. Just before the company ceased operations, one of the company's investors sued the taxpayer and other company founders, alleging misrepresentations that lured her into investing and the board's failure to supervise the taxpayer adequately. The taxpayer ultimately prevailed in the litigation but paid over \$13,000 in legal fees in 2004 and 2005. The taxpayer deducted these fees as business expenses on his personal return. The Service concluded that the because the lawsuit was against the taxpayer personally and not against him as CEO of the company, the expenses of defending the suit were unrelated to the conduct of a trade or business. The Tax Court, however, held that the taxpayer could deduct the legal fees as business expenses. The claim against him arose from his business of performing services for the company as an employee, and the complaint alleged that he, as CEO, made misrepresentations and omitted facts about the company to induce the plaintiff to buy shares. Since his alleged actions giving rise to the suit arose from actions undertaken while performing his duties as the CEO and an employee of the business, it is proper to treat the defense costs as business expenses. *Ramig v. Commissioner*, T.C. Memo. 2011-147 (June 27, 2011).

Section 163: Interest

Debt Incurred to Acquire a Residence Can Be Home Equity Indebtedness. We know that individuals can deduct "qualified residence interest," and that qualified residence interest is all interest paid on either "acquisition indebtedness" or "home equity indebtedness." Acquisition indebtedness is debt incurred to buy, build, or substantially improve an individual's qualified residence, provided the debt is secured by the residence. The maximum amount treated as acquisition indebtedness, however, cannot exceed \$1 million (\$500,000 for a married individual who files separately). Home equity indebtedness is indebtedness "*(other than acquisition indebtedness)*" secured by a taxpayer's qualified residence, but only to the extent the aggregate amount of such debt does not exceed the fair market value of the residence, as reduced by the amount of acquisition indebtedness with respect to such residence. In addition, the total amount treated as home equity indebtedness for any period cannot exceed \$100,000 (\$50,000 for a married individual who files separately). So suppose an unmarried taxpayer buys a principal residence for \$1.5 million (its fair market value), paying \$300,000 and financing the \$1.2 million remainder through a bank loan secured by the residence. To what extent can the taxpayer deduct the interest paid on the \$1.2 loan for the given taxable year? Well, we know that the interest paid on the first \$1 million of the loan is deductible, because the loan constitutes acquisition indebtedness. The \$1 million limitation does not allow us to treat the remaining \$200,000 of the loan as acquisition indebtedness. But may the taxpayer treat up to \$100,000 of the \$200,000 remainder as home equity indebtedness and thus claim an additional deduction? Two prior decisions from the Tax Court indicated that this would not be permissible, because home equity indebtedness refers to debt *other than* acquisition indebtedness. The Tax Court would likely say, therefore, that the entire loan is acquisition debt since it was taken out to acquire the residence. That

it exceeds the \$1 million limitation does not change the fact that the loan was taken out to acquire the property. The Service has announced, however, that this interpretation is based on the mistaken assumption that home equity debt cannot be incurred in acquiring, constructing, or substantially improving the residence. In fact, the statute says that only up to \$1 million of debt can be treated as acquisition debt. By definition, then, any amounts in excess of that limitation is not acquisition debt, and that's sufficient to make it home equity debt. Accordingly, says the Service, on these facts the taxpayer can deduct the interest on \$1.1 million of the loan. *Revenue Ruling 2010-25* (November 1, 2010).

TRUIRJCA 2010: Deduction for Qualified Mortgage Insurance Premiums on Qualified Residences Extended. Since 2007, premiums paid or accrued for "qualified mortgage insurance" contracts entered into any time after 2006 in connection with acquisition debt on a qualified residence will be treated as qualified residence interest (meaning such costs will be deductible if the taxpayer itemizes). This benefit had expired at the end of 2009 but was retroactively extended through 2011. Qualified mortgage insurance means insurance provided by the Veterans Administration, the Federal Housing Administration, the Rural Housing Administration, or private mortgage insurance (as defined in 12 U.S.C. § 4901). Because the new law makes these costs a separate category of qualified residence interest, such costs are not subject to the \$1 million limitation on acquisition debt and do not affect the amount of debt that can qualify as acquisition debt. The deduction is subject an income-based phaseout: the amount of such premiums otherwise treated as qualified residence interest must be reduced by 10% for each \$1,000 (or fraction thereof) that the taxpayer's AGI exceeds \$100,000. Thus, for example, if a married couple filing jointly have an AGI for 2007 of \$104,000 and pay \$3,000 of qualified mortgage insurance that year, their deduction will be limited to \$1,800. That's because their \$3,000 preliminary deduction must be reduced by 40% (10% for each of the four full \$1,000 amounts by which their AGI exceeds \$100,000). So they can deduct 60% of the \$3,000 otherwise deductible, or \$1,800. Accordingly, the deduction is completely wiped out once AGI exceeds \$109,000. For married taxpayers filing separately, the reduction is 10% of the amount of qualified mortgage insurance for each \$500 (or fraction thereof) that AGI exceeds \$50,000. *Sections 163(h)(3)(E), 163(h)(4)(E).*

Section 164: Taxes

TRUIRJCA 2010: Itemized Deduction for State and Local Sales Taxes Extended. Since 2004, taxpayers had a choice between claiming an itemized deduction for state and local income taxes or state and local general sales taxes. This option formally died at the end of 2009 (meaning only state and local income taxes could be deducted), but the new Act extends the election for 2010 and 2011. *Section 164(b)(5).*

Section 165: Losses

Service Offers Safe Harbor for Taxpayers Suffering Problems with Chinese Drywall. Apparently there have been problems with "certain imported drywall" installed in United States homes from 2001 to 2008. Homeowners have experienced "blackening or corrosion of copper electrical wiring and copper components of household appliances" and an omnipresent odor of sulfur gas. Normally, progressive deterioration of property does not give rise to a casualty loss, but the Service announced that "in view of the unique circumstances" here, it is appropriate to offer a safe harbor method for claiming a loss. Under the Service's safe harbor, taxpayers who are not pursuing a claim for reimbursement through insurance, litigation, or otherwise may claim a casualty loss for all unreimbursed amounts paid during the taxable year to repair any damage to their personal residences and household appliances (subject to the normal limitations applicable to casualty losses, of course). Taxpayers who are pursuing (or who intend to pursue) a reimbursement claim may deduct 75% of the unreimbursed amounts paid during the taxable

year to repair damage to their personal residences and household appliances as a casualty loss. If a taxpayer claiming a loss pursuant to this safe harbor later recovers any reimbursement, naturally, such recovery may be included in gross income under the tax benefit rule. To claim the safe harbor, a taxpayer need only print "Revenue Procedure 2010-36" at the top of the Form 4684 ("Casualties and Thefts"). *Revenue Procedure 2010-36* (October 18, 2010).

Professional Gambler Hits Two-Thirds of His Pick-Three, But Misses on the Biggest Gamble.

For the taxable year at issue, the taxpayer was in the business of betting on horse races. The Schedule C to the taxpayer's 2001 return showed gross receipts of about \$120,000 and expenses of \$142,000. The expenses consisted of over \$131,000 for wagers placed and nearly \$11,000 in expenses incurred in connection with the gambling business (including mileage, internet and telephone, admission and entry fees, ATM fees, subscriptions and handicapping data). Accordingly, the taxpayer claimed a net business loss of about \$22,000 and applied this loss against other income. The Service disallowed the loss deduction, claiming that his gambling losses were limited to his gambling gains under § 165(d). For this purpose, said the Service, his gambling losses included not only the \$131,000 in bets but also the \$11,000 in related expenses. As a result of the disallowed loss, the taxpayer was also subject to an accuracy-related penalty. The taxpayer filed a petition with the Tax Court, betting that the court would buy his argument that professional (full-time) gamblers are not subject to the § 165(d) limitation on gambling losses. But the Tax Court rejected his position, holding that the § 165(d) limitation applied even though the taxpayer was engaged in the trade or business of gambling. But the court went on to hold that § 165(d) did not apply to the \$11,000 in expenses related to the gambling, for those were not "losses from wagering transactions." This holding was enough to free the taxpayer from the imposition of the accuracy-related penalty. *Mayo v. Commissioner*, 136 T.C. No. 4 (January 25, 2011).

No Deduction for Co-Op Shareholder-Tenant's Share of Damage to Retaining Wall. The taxpayer owned stock in a cooperative housing corporation that owned properties in upper Manhattan. She leased an apartment in a building owned by the co-op. In 2005, a retaining wall owned by the co-op collapsed, causing substantial damage. The co-op levied an assessment against each of its shareholder-tenants for repairs. The taxpayer paid her portion of the assessment (\$26,390) and then deducted this amount on her 2005 income tax return as a casualty loss. After applying the \$100 floor and the 10%-of-AGI limit, her net deduction was \$23,188. The Service disallowed the deduction, concluding that the collapse of the retaining wall was a result of gradual weakening, and therefore was not a casualty. The Service then maintained that any casualty loss deduction would be claimed by the co-op and not by its shareholders. It was on this latter point that the Tax Court denied the deduction. The taxpayer did not have a property interest in the co-op's grounds (she didn't lease the retaining wall, she didn't have an easement over that wall, she didn't have any kind of property interest in the wall or any of the co-op's grounds) so she could not claim the payment as a casualty loss deduction. The taxpayer argued she should be able to deduct the payment under § 216(a), which allows shareholder-tenants of co-ops to deduct their shares of the co-op's taxes and interest expenses. The court rejected this argument, noting that § 216(a) is simply designed to put co-op shareholder-tenants on an even keel with homeowners as regards taxes and interest expenses. It does not cover casualty losses or expenses of the kind incurred here. *Alphonso v. Commissioner*, 136 T.C. No. 11 (March 16, 2001).

Section 166: Bad Debts

Tax Court Finds Venture Capitalist Had Business Bad Debt. The taxpayer was the manager of various venture capital funds. In November, 2000, the taxpayer loaned \$5 million in 2000 to a business associate who was a good source for leads on companies in which the taxpayer's venture capital funds might invest. The associate gave the taxpayer an unsecured demand note bearing 8% interest (the applicable Federal rate at the time was 6.15%). The associate also agreed that "in return for the loan,

whenever [the associate] thereafter learned about any promising new companies, [the taxpayer] would be the first he would tell about any opportunities.” Sadly, the associate’s financial condition worsened. The taxpayer and the associate renegotiated the terms of the loan in 2002 (changing the principal to \$4 million, changing the note from a demand note to a short-term note, and changing the interest rate to 1.84% (the applicable Federal rate at the time was 1.84%). Even then, the associate stopped making payments in 2003. In settlement of the debt, the associate gave the taxpayer some stock worth about \$365,000. The taxpayer’s 2003 return claimed a bad debt deduction of about \$3.635 million (the difference between the \$4 million owed and the \$365,000 in stocks received). The Service disallowed the deduction as a business bad debt, concluding it was a non-business bad debt and therefore a short-term capital loss subject to the limits of § 1211(b). The Tax Court held that the taxpayer was in the business of managing the venture capital funds. Further, it held that “[w]hen he made the \$5 million loan to [the associate] in 2000, [the taxpayer’s] dominant motivation ... was to gain preferential access to companies and deals to which [the associate] might refer him, so that [the taxpayer] could use that information in the venture capital activities that he undertook as a [manager of the various funds]. His loan to [the associate] was proximately related to those venture capital management activities and to his personal intention to obtain ‘carried interest’ from the [funds]; and thus he made the loan in connection with his trade or business. Therefore, we find that he suffered a business bad debt loss in 2003.” *Dagres v. Commissioner*, 136 T.C. No. 12 (March 28, 2011).

Section 167: Depreciation

Filmmaker Cannot Depreciate Memorabilia Costs Related to Potential Project. The taxpayer is a film director, animator, writer, and producer who was employed by Walt Disney during the taxable year at issue (2003). His directing credits included “Mulan 2,” “Lady and the Tramp II: Scamp’s Adventure,” “The Three Little Pigs,” “The Lion King II: Simba’s Pride.” He also worked on independent projects. In 2003, his principal independent project involved a potential biopic about Jean Harlow, the actress who died in 1937 at age 26. As part of his research, the taxpayer compiled an extensive research library on Ms. Harlow that included vintage magazines and photographs. The taxpayer stated that he wanted his research library on Ms. Harlow to be so extensive that it would be the first place someone would turn to for information about her. On his 2003 income tax return, the taxpayer claimed a \$20,843 loss on his Schedule C, \$17,556 of which was attributable to depreciation deductions on his research materials. The Service disallowed the deductions on the grounds that: (1) the expenditures were personal costs and not business costs because they were made to enhance his personal memorabilia collection rather than to carry on his business as a producer and filmmaker; (2) even if the costs were business expenses, they were not reasonable; and (3) even if the costs are reasonable and depreciable, they should be capitalized as part of the cost of creating the screenplay or the biopic. The taxpayer argued that the depreciation deductions were proper because an audit of his 1999 return resulted in adjustments to his Schedule C that nonetheless preserved the depreciation deductions. He argued that the audit resulted in an agreement regarding the tax treatment of the memorabilia that he could rely on in preparing future returns. The Tax Court rejected this argument, noting that while any reliance on past audits could potentially show reasonable cause or good faith for purposes of defending against a § 6662 accuracy-related penalty, the Service’s failure to challenge a position in a prior audit does not bar a subsequent challenge regarding a different taxable year. The court further held that the taxpayer could not claim depreciation deductions with respect to the Harlow photos and other memorabilia because he failed to show that these items had a limited economic useful life or that they were subject to wear and tear, decay, or obsolescence as a result of their use in a business or investment activity. The record only supported a conclusion that the taxpayer incurred costs to add to his extensive collection of Jean Harlow memorabilia and that this memorabilia might one day be used for business if and when he successfully marketed his Jean Harlow project. *Rooney v. Commissioner*, T.C. Memo 2011-14 (January 18, 2011).

Section 168: Accelerated Cost Recovery System

2010 Small Business Act: 50% Bonus Depreciation Extended Through 2010. As was the case with respect to property acquired and placed in service in 2008 or 2009, depreciable tangible personal property and computer software acquired and first placed in service in 2010 is eligible for an additional up-front depreciation deduction equal to the 50% of the asset's adjusted basis after taking into account any § 179 election made with respect to the property. The regular depreciation deductions will then be computed based on whatever basis remains after the § 179 election and the 50 percent bonus. This bonus 50 percent allowance is also available for alternative minimum tax purposes. The 50 percent bonus does not apply to intangibles amortized under § 197 (with the limited exception of computer software), or start-up expenses amortized under § 195. The bonus also does not apply to assets with a class life in excess of 20 years. *Section 168(k).*

TRUIRJCA 2010: Not Impressed Yet? Fine, Let's Make It Better. Taxpayers in 2008, 2009, and 2010 could deduct 50% of the cost of certain new items of tangible personal property used in trade or business activities through a "bonus" depreciation rule. Now this benefit has been both extended and enhanced, at least from a taxpayer's standpoint. Generally speaking, taxpayers may deduct 100% of the cost of qualifying assets purchased and placed in service after September 8, 2010 and before January 1, 2012, without any dollar limit. The statute also provides for a reversion to the 50% bonus for assets placed in service in 2012. Note that, among other things, the bonus only applies to: (1) tangible depreciable property with a recovery period of no more than 20 years; (2) water utility property; (3) certain computer software; and (4) so-called "qualified leasehold improvements." The bonus does not apply to used property. And by the way, this would allow a taxpayer to deduct the entire cost of a new heavy SUV purchased and placed in service during this timeframe (since the normal § 280F limits on luxury autos do not apply to heavy SUVs). The limits on expensing heavy SUVs imposed by 2004 legislation only applies to § 179 elections and not to § 168(k), so, for a limited time, the "SUV tax loophole" is again open for business. *Section 168(k)(5).*

Treasury Allows "Step-Down" Election to 50% First-Year Depreciation Bonus. Now that taxpayers can claim an additional first-year depreciation deduction equal to 100% of the cost of qualified property placed in service after September 8, 2010, and before January 1, 2012 (and 50% of the cost of qualified property placed in service in 2012), an interesting question arises: can a taxpayer elect to expense less than 100% of the remaining cost? This could become important where, for instance, a taxpayer is unsure whether the property was placed in service before or after the September 9, 2010, effective date of the 100% bonus. When § 168(k) limited the bonus to 50% of the cost, it had a mechanism whereby a taxpayer could elect a more modest 30% first-year depreciation bonus. No such mechanism exists now in the Code, but Treasury has announced that it will permit a limited "step-down" election to 50% bonus depreciation for all qualified property that is in the same class of property and placed in service in the taxable year that includes September 9, 2010. In addition to helping those taxpayers who are uncertain as to the effective date, this "step-down" election could also help taxpayers with expiring net operating loss deductions or those who want to defer depreciation deductions because they are currently in a low tax bracket but expect to be in a higher bracket in later years. *Revenue Procedure 2011-26* (March 29, 2011).

Section 170: Charitable Contributions and Gifts

Following Uniform Standards of Professional Appraisal Practice is Nice, But Not Required. The taxpayer, a limited partnership, acquired a parcel of property in New Orleans that contained historic structures. In 1997, the taxpayer donated a façade easement to one of the structures to a Louisiana nonprofit corporation (the Preservation Alliance of New Orleans). The taxpayer promised to keep the

building façade in good repair and not to alter its appearance. The Preservation Alliance had the right to require the building owner to maintain the façade. The taxpayer claimed a charitable contribution deduction of about \$7.45 million, the claimed diminution in value of the structure on account of the servitude. The Service concluded that the deduction should only be \$1.15 million, so it assessed a deficiency and an accuracy-related penalty. The taxpayer marched to Tax Court, and the battle of the appraisers began. Not surprisingly, the experts went to extremes: the taxpayer's expert concluded that the value of the servitude was \$10 million, while the Service's expert determined that the value of the servitude was zero since there was no diminution in value to the related structure. Part of the difference stemmed from the effect of the easement on contiguous property held by the taxpayer. Although the neighboring property was not legally subject to the easement, there were plans for the two properties to be consolidated into one, which would have the effect of broadening the scope of the easement. The taxpayer's appraiser took this into account, but the Service's appraiser did not. The taxpayer tried to block the testimony offered by the Service's expert, claiming that he was unqualified to opine on façade donations and because his report did not conform to the Uniform Standards of Professional Appraisal Practice (USPAP). The court held that no special qualifications were required to opine on façade donations since, at their heart, they are no different from any other restriction on property which qualified appraisers routinely encounter in their work. As to the USPAP, while the court conceded adherence to those standards is evidence that an appraiser's report is reliable, "a noncompliant valuation report is not per se unreliable. Full compliance with professional standards is not the sole measure of an expert's reliability." In fact, the court found the analysis of the Service's expert to be more persuasive, concluding that the value of the servitude was about \$1.8 million. In reaching this conclusion, the court determined that the pending consolidation of the subject property and the neighboring building was not to be considered in determining the diminution in value because the consolidation was not in effect at the time of the contribution. Because the taxpayer overstated the value of the contribution on its 1997 return by more than 415%, the court agreed with the Service that the taxpayer made a gross valuation misstatement, so the assessed penalty was upheld. The Fifth Circuit vacated the Tax Court's determination of the diminution in value and remanded the case back to the Tax Court for another determination. The Fifth Circuit concluded that the Tax Court "should have considered the easement's effect on fair market value in the light of the imminent legal and functional consolidation of the two buildings. ... [The Tax Court] was correct that, because, on the day of donation, the condominium regime was not yet in effect, a successor could have purchased the [neighboring] building separately that day and would not have been bound by the easement; but, *as a matter of valuation*, the ... court erred by not considering the effect on market value of the buildings' pending combination. To that end, a hypothetical buyer would have contemplated the pending combination of the buildings in deciding on a purchase price. Along that line, both buildings were then owned by [the taxpayer]. Regarding the *legal* combination of the buildings (*i.e.*, the condominium regime), it is implausible that a hypothetical buyer of the [neighboring] building ... would have no knowledge of the plan to combine the buildings into a single piece of property via a condominium regime imposed the next day." But the Fifth Circuit upheld the Tax Court's determination that the Service's appraiser could offer expert testimony on value even though the appraisal did not formally comply with the USPAP. As for the penalty, the Fifth Circuit indicated that its review of that issue will depend on the Tax Court's recomputation of the proper deduction. *Whitehouse Hotel Ltd. Partnership v. Commissioner* (5th Cir., August 10, 2010).

Oh Lord! Appraisal Lacking Too Much is Not in Substantial Compliance. Late in 1999, the taxpayers, a married couple, granted a conservation easement to a charitable organization. The taxpayers hired an appraisal company to value the easement, and its report estimated the value of the easement to be \$242,500. Accordingly, the taxpayers claimed that amount as a deduction on their 1999 joint return. The Service disallowed the deduction, however, and the Tax Court agreed. The court held that the appraisal company's report was not a "qualified appraisal" because, among other things, it did not include the easement contribution date, the date the appraisal was performed, or the appraised fair market value of the easement as of the contribution date. The report simply had an "effective date" of December 31, 1999,

and a “report date” of January 4, 2000. The taxpayers tried to argue that the appraisal was in “substantial compliance” of the regulations that list the required elements for a qualified appraisal, but the court held that because significant information was omitted from the report there was no substantial compliance. *Lord v. Commissioner*, T.C. Memo. 2010-196 (September 8, 2010).

Appraisals Supporting Value of Façade Easements Were a Façade. In late 2004, the taxpayers granted façade easements on two row houses located in Washington, D.C., to the Capitol Historic Trust, a charitable organization. The taxpayers claimed a \$154,350 charitable contribution deduction on their 2004 joint return. The Service disallowed the deduction and asserted an accuracy-related penalty, so the taxpayers ran to the Tax Court. The taxpayers submitted two sets of appraisals in support of the claimed deduction (each said that the value of the easement was equal to 11% of the “before” value of the properties), but the Tax Court rejected these appraisals. One set came from an appraiser unfamiliar with the requirements for a qualified appraisal who committed methodological and computational errors in her report. She also used technical tax terms with any understanding of their significance, as the Service’s cross examination established. The second set of appraisals offered by the taxpayers was rejected because the appraiser was never called to appear in court. That meant the court had no way to question his methodologies and qualifications. Accordingly, the court held that the taxpayers failed to offer sufficient credible evidence as to the value of the façade easements sufficient to meet their burden of proof in support of the claimed deduction. The court rejected the Service’s application of the substantial understatement penalty, however, concluding that the taxpayers reasonably and in good faith selected their appraisers from a list supplied to them by the Capitol Historic Trust. *Evans v. Commissioner*, T.C. Memo. 2010-207 (September 22, 2010).

Taxpayers’ Deduction for Donating Their House to a Fire Department Goes Up in Flames. In 1996, the taxpayers purchased three acres of lakefront property in Wisconsin for \$600,000. The land included a house, a garage, and a boathouse. In 1998, pursuant to their plan to demolish the house and replace it with a new residence, the taxpayers donated the house (together with \$1,000 cash) to the local volunteer fire department for use in firefighter and police training and for eventual demolition. This saved the taxpayers between \$10,000 and \$15,000 (the cost to demolish the house themselves), and they got to claim a charitable contribution deduction. The fire department used the house for training and then, eleven days after the donation, it burned the house to the ground as part of another training exercise. The cash donation was used to defray the government’s costs in connection with the training exercises. Just over a month later, the taxpayers contracted for the construction of a new house on the property at a cost of \$383,000. On their 1998 income tax return, the taxpayers claimed a \$76,000 deduction for their donation on the basis that this was the value of the home donated to the volunteer fire department. The taxpayers included an appraisal with their return that supported this amount as the value of the old residence. The Service disallowed the deduction in its entirety, as its expert determined that “any buyer would pay no more than a nominal ‘courtesy’ amount of \$100 to \$1,000 for the structure” and that one would do so solely to acquire the underlying lakefront land as part of the deal. Another expert for the Service opined that no one would purchase the house in order to move it to another property. The Service’s point is that any value attached to the house is outweighed by the value of the demolition services received by the taxpayers. Before the Tax Court, the taxpayers argued they received only an “incidental benefit” in return for their donation. The court held that the taxpayers “saved at least \$10,000 in the cost of demolition services as a result of their arrangements with the [fire department] for the donation of the lake house for burning.” This was based on the taxpayers’ own determination that it would cost at least that much to demolish the property themselves. The taxpayers tried to argue that they nonetheless paid at least this amount because there were at least \$10,000 of demolition costs built into the contract for the new house, but the court rejected this contention as an unsupported assertion. As for the value of the donated property, the court held that “[b]y transferring the lake house to the [fire department] without the underlying land, however, petitioners created a substantial restriction or condition on the property’s marketability; namely, the lake house could not remain indefinitely on the land upon which it

was sited.” Plus, in the course of donating the property, the taxpayer “attached two additional restrictions or conditions on the lake house...; namely, the permissible use of the lake house was restricted to firefighter and police training exercises and there was a condition that the lake house be burned down relatively soon after the conveyance.” This too served to discount the value of the house, but the taxpayers’ expert did not take any of these restrictions into account in determining the value of the house. The Service’s experts did, however, so its determination of a zero or near-zero value for the house is most accurate. Given the value of the demolition services exceeds this amount, the Service was right to deny a deduction. *Rolfs v. Commissioner*, 135 T.C. No. 24 (November 4, 2010).

No Love from the Tax Court on a Supposed Charitable Contribution. The taxpayers, a married couple, are both physicians. Having just sold half of his medical practice for about \$2.2 million, the husband was looking for something to do with the money. He found a financial planning company for doctors that operated a § 501(c)(3) foundation. The foundation allowed donors to establish an account “to benefit not only charitable causes, but also doctors and their families.” The foundation promoted that doctors could contribute pre-tax earnings to their own account, defer tax on the account’s growth, and use the accounts to finance charitable projects, including personal research and scholarship programs. The foundation also offered account holder a student loan program under which funds from an account could be disbursed as loans for undergraduate and graduate school tuition and related expenses, such loans repayable (with interest) five years after graduation, though loan recipients could also work off their repayment obligations by providing charitable services for designated periods of time. The husband established an account with the foundation, naming himself as the fund’s advisor. He then received an opinion letter from the foundation’s legal counsel concluding it was “more likely than not” that a donor could deduct amounts deposited into a foundation account. So the husband transferred \$262,000 worth of stock (in which he had a basis of about \$131,000) to the account, which the foundation immediately sold. The taxpayers deducted the \$262,000 “contribution” on their 1998 joint return. They did not report the gain from the foundation’s sale of the contributed stock. In 2001, the husband then disbursed about \$17,000 from the account to the University of Pennsylvania, all representing a loan to his son for tuition, room, and board. A similar disbursement happened in 2002. In 2003, eleven days after the husband used other funds to pay \$70,300 to the foundation in full satisfaction of the son’s student loan obligation to the foundation, the Service issued a deficiency notice to the taxpayers disallowing the claimed charitable contribution deduction on the 1998 return. The Service determined no charitable contribution was allowable because the taxpayers never surrendered dominion and control over the contributed stocks and because they failed to secure adequate substantiation for the contribution. The taxpayers argued that they could only “suggest” investment strategies and the use of the funds so they did not have control over the contributed property. But the Tax Court agreed with the Service. Ultimately the husband used 82% of the account’s funds for student loans to his son, and the foundations approval of these distributions was merely a rubber stamp. This suggested that the husband effectively maintained control of the account. The court also agreed with the Service that the claimed deduction was not properly substantiated. The foundation’s acknowledgment made no mention of student loans it would extend to the taxpayers’ children in consideration of the husband’s contribution, and such an estimate of the goods or services to be provided by the donee organization is required by § 170(f)(8). In addition to upholding the assessed deficiency, the court also upheld the imposition of an accuracy-related penalty. A reasonable person would have thought the claims of the charitable organization to be “too good to be true.” It was not enough to rely on the opinion letter from the law firm, especially since the firm was counsel to the charity and because the letter specifically declined to opine on the programs in which the taxpayer participated. *Viralam v. Commissioner*, 136 T.C. No. 8 (February 14, 2011).

A Façade Can’t Disguise a Mortgage, But Related Cash Contribution is Ultimately Deductible. In 2003, the taxpayers, a married couple, granted a façade easement restricting the use of a single-family rowhouse located in a historic preservation district in Boston to the National Architectural Trust (NAT). NAT required that the taxpayers also donate a certain amount of cash (calculated as a percentage of the

estimated value of the easement) for monitoring and administration of the easement, so the taxpayers contributed \$16,840 late in 2003. The taxpayers claimed a deduction of \$220,800 for the contribution of the easement, but they could only use \$103,377 of that amount in 2003, so the balance (\$117,423) carried over to 2004. They also deducted \$16,870 as a cash contribution on the 2003 return (don't ask me where the extra \$30 came from). When the Service denied all of these deductions, the taxpayers filed suit in Tax Court. The Service moved for summary judgment on the whole matter. In an April, 2010, decision, the Tax Court granted the motion as to the donation of the easement but not as to the cash contribution. The court agreed that the taxpayers did not meet all of the requirements for a deduction of the easement. Among other things, the regulations require that "at the time of the gift, the donor must agree that the donation of the perpetual conservation restriction gives rise to a property right, immediately vested in the donee organization, with a fair market value that, at the time of the gift, is at least equal to the proportionate value that the perpetual conservation restriction bears to the value of the property as a whole." The taxpayers could not meet this requirement because the rowhouse was encumbered by a mortgage. "Petitioners concede that ... the bank retained a 'prior claim' to all proceeds of condemnation and to all insurance proceeds as a result of any casualty, hazard, or accident occurring to or about the property. Moreover, petitioners do not dispute that the bank was entitled to those proceeds 'in preference' to NAT until the mortgage was satisfied and discharged. The right of NAT to its proportionate share of future proceeds was thus not guaranteed." Seeing no issue of material fact here, the court granted summary judgment on this issue to the Service. The court would not grant summary judgment with respect to the cash contribution, however. On that point, the Service's position is that the cash contribution was a conditional gift in violation of the regulations and that it was given as part of a quid pro quo, but the court agreed with the taxpayers that there is a genuine issue of material fact as to whether there was such an arrangement between the taxpayers and NAT. At trial, the Service argued that the cash payment was a prohibited conditional payment because the agreement between the taxpayers and NAT was that the cash would be refunded if the appraisal showed a zero value for the façade easement. The Tax Court agreed, concluding the taxpayers did not prove that by the end of 2003 that "the possibility of a zero appraisal value was not so remote as to be negligible." Thus the cash payment could not be deducted on the 2003 return because it was a contingent payment. However, the court rejected the Service's claim the cash payment represented a quid pro quo payment for services, as it saw no benefit to the taxpayers personally from the payment. The court did not view the cash donation as a payment made to enlist NAT's help in generating a deduction for the taxpayers. Ultimately, the court concluded that the taxpayers could claim a deduction for the cash payment in 2004, the year in which the conditions under which the payment would be refunded finally expired. *Kaufman v. Commissioner*, 136 T.C. No. 13 (April 4, 2011).

Tax Court Rejects Appraisal Based on Impossible Use of Subject Property. The taxpayer, an LLC, donated an easement restricting the use of about eight acres to a land trust, an eligible charitable organization. The taxpayer claimed a \$3,245,000 deduction for the donation of the easement. The deduction was supported by an appraisal that claimed the highest and best use of the subject property was residential development. It maintained that the donated property could have been used to develop a 174-unit condo project. The Service determined that the value of the easement was only \$42,400 (and it later argued that the value was only \$31,280), so it disallowed most of the claimed deduction. Before the Tax Court, the Service moved to exclude the taxpayer's appraisal on the grounds that the report did not provide before-and-after values of the property, it did not value all of the contiguous parcels owned by the taxpayer and encumbered by the easement, and because the condo development project was arguably not a possible use. It disliked that the taxpayer's appraiser simply computed a value based on the use that would generate the largest profit and without regard to whether such use would have been likely in the reasonably foreseeable future. The Tax Court faulted the taxpayer's appraisal for not considering the property's development potential for single-family residences even though the property was zoned for that use at the time of the contribution. The court also observed that the appraisal's site plan for the condo development assumed a 10-acre tract while the subject property was only eight acres (not to

mention that there was a preexisting utility easement on the property that would also impede the condo project). The court was unimpressed with the taxpayer's response to this observation, "a bald and unpersuasive assertion that the project 'will fit, it just won't fit as drawn' on the site plan." Ultimately, the court held that the appraisal was too speculative and unreliable to be useful, so the court held it inadmissible. *Boltar, LLC v. Commissioner*, 136 T.C. No. 14 (April 5, 2011).

Tax Court Confirms No Deduction for Façade Easement on Encumbered Property. The taxpayer was formed in 2002 to purchase and operate property located at 19 East 82nd Street in New York City. The property is a townhouse. In June, 2003, the taxpayer granted a façade easement in the property to the National Architectural Trust (NAT). At that time, the taxpayer still owed most of the \$6 million it borrowed from Wachovia Bank to purchase the property (the loan was secured by a mortgage on the property). Following the contribution, the taxpayer in January, 2004, borrowed another \$3.4 million from First Republic Bank to finance a renovation of the property, a project that was hatched even before conveyance of the easement to NAT. This second loan came from First Republic because Wachovia had assigned its mortgage to First Republic earlier that same day. In July, 2004, First Republic signed a lender agreement under which it agreed to subordinate its rights in the property to NAT's rights to enforce the façade easement, subject only to the condition that First Republic would have a prior claim to all insurance proceeds from a casualty and all condemnation proceeds. The taxpayer claimed a charitable contribution deduction of \$6.57 million, the appraised value of the façade easement. The Service disallowed the deduction because the underlying property was encumbered by the mortgages owed to First Republic. Argued the Service, NAT was not guaranteed a proportionate share of proceeds in the event of casualty or condemnation until the bank's mortgage was satisfied. Citing *Kaufman*, the Tax Court agreed with the Service. In this case it was clear that the lender had a "prior claim" to all condemnation and insurance proceeds "in preference" to NAT "until" its mortgage was satisfied and discharged. Thus, until both loans are repaid and the mortgages canceled, there exists the possibility that First Bank will deprive NAT of value that would otherwise be dedicated to the conservation purpose. Accordingly, the taxpayer was permitted no deduction. *1982 East LLC v. Commissioner*, T.C. Memo. 2011-84 (April 12, 2011).

Service Gets Catty Over Deduction for Foster-Cat Expenses, But Some Deduction Allowed. The taxpayer served as an unpaid volunteer for Fix Our Ferals, a charitable organization dedicated to neutering wild cats "to humanely control feral cat populations and ensure that the cats live in an environment where people are not hostile to them." As part of her work, the taxpayer cared for foster cats in her personal residence. "In 2004, [the taxpayer] had between 70 and 80 cats total, of which approximately 7 were pets. The pet cats had names, but the foster cats generally did not. Most cats roamed freely around [the taxpayer's] home (except for bathrooms) and resided in common areas." She incurred unreimbursed expenses in connection with these services, and she deducted \$12,068 of these expenses on her 2004 return. The expenses consisted primarily of payments for veterinary services, pet supplies, cleaning supplies, and household utilities. The Service disallowed the deduction on several grounds, all of which were presented to the Tax Court. The Service first argued that the taxpayer was an "independent cat rescue worker" whose services were unrelated to Fix Our Ferals, but the court rejected this argument. The taxpayer was a regular volunteer for the charity, and the charity encouraged and indirectly oversaw the taxpayer's work. The Service then argued that not all of the claimed expenses could be deducted, focusing specifically on cremation expenses for her pet cat, California State Bar Association dues, DMV fees, Costco membership dues, and wet/dry vacuum repair costs. The court agreed on this point, finding no evidence that any of the costs "constitute an exclusively charitable expense." It thus upheld the disallowance of these expenses. With respect to the other claimed expenses, the Services claimed there was a lack of substantiation. Indeed, some "broad categories" of expenses (like cat litter) were not allocated between the foster cats and the pet cats, so no deduction could be allowed absent any proof on that point. For other categories, like veterinary care, detergent, and household utility bills, the taxpayer estimated the percentages attributable to the foster cats, and the court

found these allocations to be reasonable. Finally, the Service noted that any expenses in excess of \$250 had to be disallowed because there was no contemporaneous acknowledgment from Fix Our Ferals. The court agreed, holding that there was no substantiation of expenses in excess of \$250. Ultimately, then, deductions were permitted for costs of less than \$250 for which the connection to Fix Our Ferals was proved. *Van Dusen v. Commissioner*, 136 T.C. No. 25 (June 2, 2011).

Local Law Helps Taxpayer Save Face While Saving Façades. The taxpayer owned two historic rowhouses in Washington, D.C. Through deeds executed in November, 2003, and January, 2004, she contributed conservation easements covering the façades of the properties to a charity that holds and enforces conservation easements on historic properties in the District. The deeds prohibited the taxpayer from making any material changes to the façades of the properties without the charity's consent, although the taxpayer could make improvements if the façades were damaged. An appraiser determined the value of the easements on the rowhouses were \$162,500 and \$93,000. In 2007, the taxpayer filed returns for 2003 and 2004, claiming conservation easement deductions of \$162,500 in 2003 and \$93,000 in 2004. The Service disallowed the deductions, so the taxpayer marched to Tax Court. The court concluded that the taxpayer contributed valid conservation easements even though the terms of the easements permitted future development of the properties, because the charity's authority to consent to changes to the façades was adequately limited by applicable laws and regulations. But while the taxpayer was entitled to deductions in the tax years at issue, the court concluded that the amounts deducted were excessive. The court determined that deductions of \$56,250 for 2003 and \$42,250 for 2004 were proper. On both points, the District of Columbia Circuit affirmed. A provision by which the charity could consent to changes in a façade is important, noted the court, to accommodate changes necessary to make the property livable or usable for future users while still ensuring that the change is consistent with the intended conservation purpose. The Service argued that neither easement included a clause providing for the perpetuation of the easements should the charity cease to exist or decide to abandon its right to enforce the easements. This was fatal, said the Service, because § 170(h)(5)(A) requires that the conservation purpose be "protected in perpetuity." But the D.C. Circuit observed that each easement would, by its terms, "survive any termination of Grantor's or the Grantee's existence." Under applicable law, the easement would revert to District of Columbia upon the charity's dissolution, and the District would then be charged with assigning it to another conservation organization. So the "perpetuity" requirement was met. *Simmons v. Commissioner* (D.C. Cir., June 21, 2011).

Section 179: Election to Expense Certain Depreciable Business Assets

2010 Small Business Act: Our Addiction to Expensing is Spiraling. Apparently the \$250,000 ceiling introduced in 2008 proved too restrictive. Now, taxpayers may expense the first \$500,000 (!) of depreciable property purchased during 2010 or 2011 for use in the active conduct of a trade or business activity. There is still a dollar-for-dollar reduction of this maximum if the total amount of qualifying property purchased in 2010 or 2011 exceeds a threshold amount, but that threshold is now \$2,000,000. Thus, if a taxpayer purchases qualifying property in 2010 for \$2,300,000, only \$200,000 of qualifying property can be expensed under § 179. *Section 179(b)(1) – (2).*

2010 Small Business Act: But Wait! There's More! The § 179 election has traditionally been limited to depreciable tangible personal property purchased for use in a taxpayer's business. It did not permit an election to expense the cost of real property. But now that has changed: for taxable years beginning in 2010 and 2011 only, a taxpayer may elect to treat up to \$250,000 of "qualified real property" as property eligible for the § 179 election. Qualified real property is any depreciable real property used for the active conduct of a trade or business that is also either "qualified leasehold improvement property," "qualified restaurant property," or "qualified retail improvement property," as those terms are defined in § 168. *Section 179(f)(1).*

TRUIRJCA 2010: Oh, And Here's the Rule for 2012. For taxable years beginning in 2012, taxpayers may elect to expense up to \$125,000 (a number to be indexed for inflation) of capital expenditures for depreciable property used in their business activities. This limit is reduced, dollar for dollar, to the extent a taxpayer's total capital expenditures related to so-called "section 179 property" exceeds \$500,000 (again, a number to be indexed for inflation). For 2013 and later years, the maximum amount that a taxpayer can expense under a § 179 election will drop to \$25,000, and that limit will be reduced once the aggregate amount of § 179 property purchased within the year exceeds \$200,000. *Section 179(b)(1) – (2).*

Section 183: Activities Not Engaged in for Profit

Taxpayer Showed Some Horse Sense, So Breeding Activity Was Not a Hobby. The taxpayer was president of a Houston grocery store chain. When the chain went bankrupt, he was out of a job. After some part-time work, the taxpayer decided to launch a horse breeding activity on land that he and his wife purchased eight years earlier. The activity generated substantial losses for the years at issue (2001 through 2003), due in large part to a massive drought that forced the taxpayer to purchase hay for feeding the horses. Since this time, the taxpayer has decided to terminate the activity altogether. The taxpayer deducted the net losses from the horse breeding business, using them to offset income from his wife's successful cosmetology business. The Service disallowed the losses on ground that the horse breeding activity was a hobby and not a business. But the Tax Court held that the taxpayer's activity was indeed a business because he had a profit motive. The court observed that the taxpayer did have a business plan even if it was never reduced to writing. "Contrary to respondent's argument that characterizes [the taxpayer's] plan as an abstract one, he personally executed every detail of his plan: He cultivated the land so that 46 horses could graze, maintained that pastureland, constructed barns to house his horses and several horse arenas where he could break and train his horses, learned how to break and train his horses so that he could advertise them as gentle and well-bred and ultimately, sell them, and found an alternative feeding source when his pastureland dried up as an effect of the drought." The court also found that the taxpayer maintained adequate books and records (indeed, it said the records from his activity were better than those from his wife's cosmetology business). It also helped that the taxpayer seldom rode the horses and that caring for them required a rigorous work schedule that "could not be considered pleasurable." *Dennis v. Commissioner*, T.C. Memo. 2010-216 (October 5, 2010).

Section 195: Start-Up Expenditures

2010 Small Business Act: More Start-Up Expenditures Deductible Up Front. Taxpayers launching a new trade or business activity must normally capitalize start-up expenditures (costs that would have been deductible as business expenses had the taxpayer already been carrying on the business activity) and amortize them over 15 years. Section 195 permits taxpayers an immediate deduction for up to \$5,000 of start-up expenditures, however, provided the total start-up expenditures do not exceed \$50,000. For every dollar that start-up expenditures exceed this \$50,000 threshold, the immediate deduction amount is reduced by one dollar. Thus, for example, a taxpayer with \$53,000 of start-up expenditures may immediately deduct the first \$2,000 of such costs and then amortize the remaining \$51,000 over 15 years. For taxable years beginning in 2010 only, the up-front deduction is increased to \$10,000 and the phase-out threshold is increased to \$60,000. Thus, a taxpayer with \$53,000 of start-up expenditures in 2010 can immediately deduct \$10,000 of the costs and then amortize the remaining \$43,000 over 15 years. *Section 195(b)(3).*

If You Presume Everyone Makes an Election, Is It Still An Election? As explained above, § 195 provides an election whereby taxpayers may treat up to \$5,000 of so-called “start-up expenditures” as expenses deductible in the year in which the new business activity begins (the \$5,000 cap is reduced by the excess of total start-up expenditures over \$50,000). (Those amounts are different for 2010, as explained above.) Any additional start-up expenditures may be amortized over the first 15 years (cough) of the business. Prior law required taxpayers seeking to make an election under § 195 to file a separate election statement. Treasury acknowledges that the vast majority of taxpayers eligible to make an election do so, so it has simplified the process. Effective for expenses paid or incurred after September 6, 2008 (when these regulations were issued in temporary form), taxpayers are not required to file a separate election statement to expense costs under § 195. (Similar procedures have been created for elections by corporations and partnerships to expense organizational costs under §§ 248 and 709.) Now, taxpayers are deemed to have made the appropriate election for the year in which the active trade or business begins. The work burden shifts to taxpayers who do not want to make the election; they are required to “affirmatively elect to capitalize” start-up costs on a timely filed income tax return (including extensions) for the taxable year in which the active trade or business begins. *Regulation § 1.195-1* (August 16, 2011).

Section 197: Amortization of Goodwill and Certain Other Intangibles

Noncompete In Connection With Redemption Amortizable Over 15 Years. The taxpayer, an S corporation, redeemed all of the stock of a minority shareholder and employee. In addition to paying the shareholder-employee for his 23% interest, the taxpayer also paid the shareholder-employee to enter into a one-year covenant not to compete. The taxpayer deducted the cost of the covenant not to compete over its one-year term, but the Service said the cost had to be amortized over 15 years under § 197(d)(1)(E). That provision requires 15-year amortization if the covenant not to compete was “entered into in connection with an acquisition (directly or indirectly) of an interest in a trade or business or substantial portion thereof.” The taxpayer argued that the redemption of a 23% interest is not the acquisition of a substantial portion of a trade or business, so 15-year amortization need not apply. To buttress its argument, the taxpayer cited a case in which the Tax Court held that a redemption of 75% of a corporation’s stock qualified as the indirect acquisition of an interest in a trade or business for purposes of § 197. Apparently the taxpayer’s logic is that an acquisition of a 23% interest is not “substantial” in comparison with the acquisition of a 75% interest. The Tax Court didn’t buy this argument, saying the taxpayer “aggressively misreads” the holding of the prior case. The court observed that the only hint as to the meaning of “substantial” in the § 197 context is found in the anti-churning rules of §197(f)(9), and those are triggered in the case of a 20% interest. If that’s substantial, reasons the court, then the 23% interest at issue in this case must also be substantial. Accordingly, the court held that the payment must be amortized over 15 years. On appeal, the First Circuit affirmed. The court observed that the whole point of § 197 is to remove the incentive buyers used to have to allocate consideration to a short-term covenant not to compete when purchasing stock, a non-depreciable asset that will generally be held longer than the short-term duration of the noncompete agreement. That incentive would exist regardless of whether the taxpayer bought a substantial or a “less than substantial” portion of a corporation’s stock. To fulfill Congress’s intent, therefore, § 197 should apply to all covenants entered into in connection with the acquisition of any shares of corporate stock, no matter whether they constitute a substantial portion of the corporation's total stock. *Recovery Group, Inc. v. Commissioner* (1st Cir., July 26, 2011).

Section 199: Income Attributable to Domestic Production Activities

Taxpayer’s Restoration Activities Give Rise to Domestic Production Gross Receipts. The taxpayer is an engineering and heavy construction company that builds and improves streets, bridges, airport runways, and similar real property. For the taxable year at issue (2006), the taxpayer worked on

136 construction projects in three categories: (1) “casualty” projects involving work on infrastructure significantly damaged by a casualty; (2) “new construction” projects involving work it performed as a subcontractor on large projects involving major rehabilitation of infrastructure; and (3) “rehabilitation” projects involving work performed as a contractor rehabilitating dilapidated infrastructure. On its 2006 return, the taxpayer claimed a § 199 deduction of \$63,435, but the Service disallowed the deduction after concluding that the taxpayer’s gross receipts were not “domestic production gross receipts.” But the Tax Court upheld the deduction, concluding that the taxpayer derived its receipts from building or substantially renovating real property. The taxpayers were not engaged in mere repairs to infrastructure, as its work tended to materially increase the value of the related real property and/or substantially prolong the real property’s useful life. *Gibson & Associates, Inc. v. Commissioner*, 136 T.C. No. 10 (February 24, 2011).

Section 213: Medical, Dental, Etc., Expenses

Payments to Caregivers Deductible. The decedent was diagnosed with dementia in 2004. By 2006, the decedent’s physician concluded that the decedent’s ability to communicate orally was impaired, she was confused, she needed assistance with daily living activities, her impaired memory meant she required supervision, she was at risk of falling, and that she could not be left alone. The physician determined that the decedent needed around-the-clock assistance and supervision for both medical reasons and safety reasons. So the decedent’s brother, acting under a power of attorney, hired two caregivers on the decedent’s behalf. The brother paid the caregivers for their services (and reimbursed them for those expenses of the decedent which they paid from their own pockets) from the decedent’s bank account. The total compensation paid to the two caregivers in 2007 was close to \$50,000. Although the decedent had over \$94,000 in income for 2007, she did not file a return for that year and none was filed on her behalf. The Service filed a substitute return on which a personal exemption and standard deduction were claimed, but that gave rise to a tax deficiency of over \$17,000, not to mention related penalties. The decedent’s estate asked that the payments to the caregivers be deducted as medical expenses for the care of the decedent. The Service determined that these payments were not for medical care and maintained that position when the case went to Tax Court. The court held that while the compensation paid to the caregivers was not paid to licensed healthcare providers and was not for the diagnosis, cure, mitigation, treatment or prevention of the decedent’s dementia, the compensation did qualify as an expense for qualified long-term care services under § 7702B and was thus deductible as medical expenses. The decedent was a “chronically ill individual” under § 7702B(c)(2)(A), and the caregivers’ services met the tests for “maintenance or personal care services” under § 7702B(c)(3). It determined that the services were provided on account of the decedent’s diminished capacity and pursuant to a plan of care prescribed by her physician (a licensed health care practitioner) and thus were qualified long-term care services. *Estate of Baral v. Commissioner*, 137 T.C. No. 1 (July 5, 2001).

Section 263: Capital Expenditures

New 70/30 Safe Harbor Intended to Minimize Disputes Over Capitalization of Success-Based Fees. The so-called “INDOPCO regulations” require that amounts paid to facilitate a business acquisition or reorganization must be capitalized. Costs paid in the process of investigating or otherwise pursuing the transaction are considered facilitative costs. So-called “success-based fees,” amounts paid contingent on the successful closings of transactions, are presumed to be paid to facilitate the transactions, though a taxpayer can rebut the presumption through documentation proving that portion of the fee allocable to activities that do not facilitate the transaction. As you might imagine, the presumption and attempts to rebut it have ignited some heated battles between taxpayers and the Service. So this Revenue Procedure represents an olive branch from Treasury: taxpayers may now use a safe-harbor election under

which the Service promises not to challenge a taxpayer's allocation of a success-based fee between activities that facilitate a business acquisition or reorganization and those that do not if the taxpayer treats 70% of the success-based fee as an amount that does not facilitate the transaction, capitalizes the remaining 30% of the fee, and attaches a statement to its federal income tax return indicating the taxpayer's election of the safe harbor. The election is irrevocable and applies only to the transaction for which it is made. The safe harbor is available for success-based fees paid or incurred in taxable years ending on or after April 8, 2011. *Revenue Procedure 2011-29* (April 8, 2011).

Section 263A: Capitalization and Inclusion in Inventory Costs of Certain Expenses

Proposed Regulations Discuss Application of Uniform Capitalization Rules to Sales-Based Royalty Payments. These proposed regulations stem from a March, 2010, decision of the Second Circuit. In that case, the taxpayer sold kitchen tools labeled with trademarks licensed from third parties. The taxpayer paid royalties to trademark holders from the sales of these products. The taxpayer deducted the royalty payments as ordinary and necessary business expenses, but the Service issued a notice of deficiency after concluding that the royalties had to be capitalized and added to the taxpayer's inventory costs. The Second Circuit held that where royalties are calculated as percentage of sales from inventory and are incurred only upon the sale of that inventory, the payments need not be capitalized as inventory costs because they are not "properly allocable to property produced" within the meaning of Regulation § 1.263A-1(e). In response, then, Treasury has proposed a modification to this regulation. The proposed regulations don't go as far as the Second Circuit did when it held the costs were deductible as business expenses. Instead, the proposed regulations treat the cost as capitalized and added to the basis of the inventory that is sold that year. According to Treasury, it is more accurate to say that a liability to pay a royalty upon the sale of an item of inventory is indeed part of the production cost of that property sold. Thus, the proposed regulations provide sales-based royalties are properly allocable to units of property produced or acquired for resale that are sold, or deemed sold, during the tax year. *Proposed Regulation § 1.263A-1(e)* (December 16, 2010).

Section 408: Individual Retirement Accounts

TRUIRJCA 2010: Favorable Rules for Direct Payments to Charity Revived and Extended. Legislation in 2006 provided that individuals age 70½ or older could exclude from gross income up to \$100,000 in "qualified charitable distributions" (that is, generally, direct transfers to charity) from either a traditional IRA or a Roth IRA in 2006 and 2007. The distributions were not deductible as charitable contributions, but the exclusion from gross income was a better result than prior law, when the retiree had to include a minimum distribution in gross income but could donate the amount to charity and claim a § 170 deduction. The income tax deduction was subject to the various limitations in § 170 (not to mention the § 68 phaseout of itemized deductions that applied in those years). Consequently, the deductions in many cases did not offset the amounts required to be included in gross income. Legislation in 2008 extended the availability of qualified charitable distributions through 2009, and now such distributions can be made through 2011. In addition, individuals making such distributions in January of 2011 may treat them as occurring in 2010. *Section 408(d)(8)*.

Section 451: General Rule for Taxable Year of Inclusion

Restrictions on Stock Did Not Prevent Inclusion in Gross Income. Here is another in a series of cases involving former Ernst & Young partners. When E&Y spun off its information-technology consulting group in 2000, consulting partners moving with the spin-off received shares of the new entity

(Capgemini) in exchange for their partnership interests in E&Y. Everyone expected the Capgemini shares to appreciate in value, so they wanted to recognize the gain from this swap in 2000. That way, the future (and hopefully substantial) appreciation would be capital gain. But if the partners all got their grubby paws on the stock in 2000, they could bail and leave Capgemini high and dry. So everyone agreed that the shares received by a partner would be restricted for about five years; if a partner left or got fired for cause during this period, some or all of the shares would be forfeited. The taxpayer, one of the partners, participated in this deal. In 2000, he executed the requisite documents and received shares of Capgemini in exchange for his interest in E&Y. On his timely filed his income tax return for 2000, the taxpayer reported the value of all the shares as taxable income. Well, as you would have guessed, Capgemini did not take off as planned. By the end of 2002, the stock had lost about 5/6 of its value. In December, 2002, the taxpayer lost his job as part of a workforce reduction. Although his departure was within the five-year probation period, Capgemini lifted all restrictions on his shares. In 2003, the taxpayer filed an amended return for 2000, taking the position that he should only be taxed on the value of the stock that was sold to pay taxes. He contended that they should not have been taxed on the additional shares in 2000, but instead in late 2002 when the restrictions were lifted because the taxpayer lacked control over those shares. The district court focused on whether the taxpayer was in constructive receipt of the entire block of stock in 2000. Although the sale restriction prohibited the taxpayer from selling most of his shares for up to five years, he still exercised substantial control over all of the shares in 2000, as he alone stood to gain or lose money based on the stock's performance. He received the dividends paid on the shares and had the right to direct the voting of the shares. On top of that, he knowingly agreed to the sale restriction, the forfeiture provision, and other terms of the deal. This constitutes enough control over the shares to be deemed to be in constructive receipt of them. Thus the taxpayer was stuck with the gain originally reported on the 2000 return. On appeal, the Eleventh Circuit affirmed. The transfer restrictions may have kept the taxpayer from accessing the shares in the restricted brokerage account for several years, but that represented a mere delay of consumption, not a delay of income. The court agreed that several factors indicated the taxpayer had substantial rights over the restricted shares: they were deposited into an account in his name, and he had dividend and voting rights over the shares. The taxpayer insisted that because he could have lost the shares in the event of early termination he could not be in constructive receipt of the shares. But the court said that the taxpayer had sufficient control over whether his shares would be forfeited, as he could control whether he engaged in the "poor performance" that was a prerequisite to termination under an applicable employment agreement. *United States v. Fort* (11th Cir., April 19, 2011).

Sound Familiar? In a fact pattern nearly identical to that in the *Fort* case, the taxpayer, an E&Y partner, traded his partnership interest for Capgemini shares in 2000, reported the receipt of the shares as gross income on his 2000 return, and then later sought to amend the return and request a refund on the ground that he did not have control over or take receipt of his CapGemini stock at that time. The court held that the taxpayer properly reported the income on his 2000 return because he had constructively received all of the stock at issue in the transaction. He received dividends on the shares and exercised his voting rights associated with those shares through an attorney-in-fact appointed with his consent. He was the only person who would benefit from an increase in the value of the stock and he alone would bear the complete burden of any decline in value. The taxpayer argued that there was a substantial risk of forfeiture, but here too the court held that the taxpayer had significant control as to whether forfeiture would happen. In fact, it was the taxpayer, and not Capgemini, that later chose to terminate his employment. So this was an easy case of constructive receipt for the court. *Hartman v. United States* (Ct. Fed. Cl., May 13, 2011).

Section 461: General Rule for Taxable Year of Deduction

Deduction for Contested Liabilities Available Even Where Dispute Arises After Payment. The taxpayer, a shareholder in (and employee of) an S corporation bank received a five-year prepaid bonus of about \$5 million in 2002 that was repayable in part if he quit or was fired for cause. Sure enough, he was fired late in 2002, and in early 2003 the bank demanded return of about \$4 million of the bonus. The bank deducted \$1.1 million on its 2002 return, representing the bonus the taxpayer was entitled to keep. The taxpayer claimed never to have received a Schedule K-1 from the corporation so he used the company's published regulatory statements to prepare his own best estimates. The taxpayer took the position that the company should have deducted the entire \$5 million paid to the taxpayer in 2002 as a contested liability under § 461(f), so he claimed the corporation had a net loss, his share of which was \$1.2 million. Since the bank claimed a much smaller deduction, it reported a net gain and showed the taxpayer's share of the gain to be about \$820,000. Section 461(f) allows a taxpayer to deduct the cost of contested liability if it transfers money or other property to satisfy the asserted liability, the contest exists after the transfer, and, but for the fact that the asserted liability is contested, a deduction would otherwise be allowed for the taxable year of the payment. Before the Tax Court, the Service argued there was no contested liability when the corporation made the \$5 million payment to the taxpayer, so § 461(f) could not apply. But an example in the regulations permits a deduction where the taxpayer paid for a shipment of goods that later proved to be defective, followed by the taxpayer's requesting repayment before the end of the taxable year. This example was sufficient to enable the Tax Court to "reject the Commissioner's contention that the contest had to exist when [the corporation] paid [the taxpayer]. We think instead that it makes more sense to look at whether a contest existed at the end of the tax year. We infer this from the regulation, which says a contest under section 461(f) means '[a]ny contest which would prevent accrual of a liability under section 461(a).' Sec. 1.461-2(b) (2), Income Tax Regs. If a liability isn't contested at the end of the tax year, then the taxpayer can use the ordinary deduction-timing rules of section 461(a); if it is, he cannot." So the taxpayer won here, but then he got greedy by claiming that the \$5 million he received should not have been included in gross income because the contingent repayment obligation made it a loan and not currently taxable compensation. The court held this was not a loan arrangement because the taxpayer did not have an unconditional obligation to repay the bonus at the time that he received it. The court instead viewed the bonus as something akin to a salary advance because it was conditioned on the taxpayer's provision of future services to the bank. That the payment changed its character from an advance bonus to severance pay did not make it excludable from gross income. Finally, the court upheld the assessment of an accuracy-related penalty against the taxpayer for computing his pro rata share of the corporation's items through published financials instead of through a Schedule K-1. At a minimum, the taxpayer should have disclosed that he was taking a position that likely differed from that contained in the Schedule K-1, even if he maintains he never received one. *Winter v. Commissioner*, T.C. Memo 2010-287 (December 30, 2010).

New Safe Harbor for Accrual Method Taxpayers Issuing Gift Cards for Returns of Inventory. Merchants typically handle inventory returns either by giving the customer a cash refund or by issuing store credit to the customer. If an accrual-method merchant pays an immediate cash refund, it is well established that the merchant can reduce its gross receipts for the amount of the refund. (And if the customer then uses the cash refund to purchase a gift card, the merchant has received an advance payment from that sale and may defer the proceeds as permitted under regulations.) But accrual-method merchants that issue gift cards in exchange for returned goods do not get a current deduction at the time the card is issued because there is not a fixed liability to the customer (the liability is conditioned on the customer's redemption of the gift card at a later date). Treasury has announced a safe harbor under which an accrual method merchant that issues gift cards in exchange for returned goods may treat the gift card as the payment of a cash refund followed by the sale of a gift card, but the safe harbor is available only for taxable years ending on or after December 31, 2010. Taxpayers who claim the benefit of this safe harbor

are considered to have made a change in accounting method, however, so they must obtain the Service's consent to use this new method. *Revenue Procedure 2011-17* (January 5, 2011).

Section 469: Passive Activity Losses and Credits Limited

“On Call” Time Doesn’t Count as Time Spent on Rental Activity. The taxpayers, a married couple, owned four apartments and three single family homes that they rented to unrelated parties. Combined, the rental properties generated losses for 2007. The taxpayers deducted the net loss on their return but the Service disallowed most of the loss, concluding that the loss was from a passive activity. Before the Tax Court, the taxpayers argued that § 469 did not apply to them because the husband, a full-time employee at a nearby nuclear power plant, was in the real property business and thus eligible for the exception in § 469(c)(7). Among other things, a taxpayer must spend more than 750 hours during the taxable year performing services in real property businesses in which the taxpayer materially participates. The husband spent only 645.5 hours on the rental activity in 2007, but argued that he was “on call” for work on the rental properties when he was not at the power plant and that this “on call” time should count toward determining whether the more-than-750-hour requirement is met. The Tax Court held that the husband’s “on call” time does not count because he wasn’t working on the rental properties during these hours. The court observed that the statute looks to hours in which the taxpayer “performs” services in connection with the rental activity, and not just to the time the taxpayer was available to perform such services. The court further held that the Service determined the amount of the allowable loss under § 469(i) because the taxpayers’ adjusted gross income exceeded the phase-out threshold. It therefore upheld the Service’s determination. *Moss v. Commissioner*, 135 T.C. No. 18 (September 20, 2010).

Section 707: Transactions Between Partner and Partnership

Break Out the Tissues: Asset Transfer to LLC Was a Disguised Sale. The taxpayer is a paper company that manufactures and sells tissue and specialty packaging. Its wholly-owned subsidiary, Wisconsin Tissue Mills (WTM), planned to transfer its assets and most of its liabilities to a newly formed LLC in which WTM and an unrelated corporation would be owners. The taxpayer hired an investment bank and an accounting firm to advise it on structuring the transaction with the unrelated party. The taxpayer also asked the accounting firm for an opinion on the tax consequences of the transaction. The taxpayer conditioned the closing of the deal upon receipt of a “should” opinion from the accounting firm that the transaction would be free of immediate tax consequences. The accounting firm opined that the transaction should not be treated as a taxable sale but instead as a tax-free contribution of property to a partnership, so the transaction closed in 1999. In the deal, WTM’s contributions comprised about two-thirds of the LLC’s total assets. But WTM received a five-percent interest in the LLC and a special distribution of cash. WTM used a portion of the “special” cash to make a loan to the taxpayer. So after the deal, WTM’s only assets were its LLC interest, a promissory note from the taxpayer, and a corporate jet. (The LLC obtained the funds for the cash distribution through a bank loan. The unrelated co-partner of WTM guaranteed the LLC’s obligation to repay the bank loan, and WTM agreed to indemnify the unrelated co-partner if it were called on to make good on its guaranty.) In 2001, WTM sold its entire interest in the LLC to the unrelated party, and the taxpayer reported the gain from this sale on its 2001 return. But the Service contended that the 1999 formation of the LLC was a taxable sale of assets to the unrelated party, meaning the gain should have been taxed in that year. That led the Service to also assess a substantial understatement penalty for 1999. The Tax Court agreed with the Service that WTM’s asset transfer to the LLC was a disguised sale under § 707(a)(2)(B), and that the gain from this sale belongs on the taxpayer’s consolidated return for 1999. Because WTM’s contribution of \$775 million in assets occurred simultaneously with the \$755.2 million cash distribution (certainly well within the two-year time frame triggering the presumption), the court applied the presumption that the transactions should be

viewed as a sale. The taxpayer argued that it qualified under the regulation's "debt-financed transfer of consideration exception" to the disguised sale rule's two-year presumption. As the court explains, "The regulations except certain debt-financed distributions in determining whether a partner received 'money or other consideration' for disguised sale purposes. A distribution financed from the proceeds of a partnership liability may be taken into account for disguised sale purposes to the extent the distribution exceeds the distributee partner's allocable share of the partnership liability." The court agreed with the Service that WTM's share of the liability was far less than the amount of the distribution it received, so the distribution could not be dismissed as just the disbursement of borrowed funds from an unrelated transaction. The court also upheld the imposition of the accuracy-related penalty because the taxpayer lacked reasonable cause for not treating the transaction as a disguised sale. The taxpayer tried to reply on the accounting firm's opinion letter, but the court said it was unreasonable to do because the accounting firm "wore too many hats" in the transaction, and thus had a conflict of interest. The accounting firm actively planned and negotiated the transaction, drafted the transaction documents and audited the assets of both WTM and the LLC. It was problematic that the accounting firm fetched an \$800,000 flat fee instead of an hourly fee for its tax opinion, especially since it was "riddled with questionable conclusions and unreasonable assumptions." *Canal Corp. and Subsidiaries v. Commissioner*, 135 T.C. No. 9 (August 5, 2010).

So Was This. The taxpayers were partnerships formed to acquire interests in a diverse array of other pass-through entities involved in the qualified rehabilitation of real property and thus entitled to federal and state tax credits. Each of the taxpayers had a number of investors (between them, they had 282 investors in all). The taxpayers decided to form an LLC to pool their capital to support large and small historic rehabilitation projects. The resulting state tax credits could then be allocated to the partnerships and, ultimately, to the investors, as they may agree. The Service felt the investors were not partners for federal tax purposes. It believed the investors' capital contributions to the partnerships and their receipt of the state tax credits in return were really sales of state tax credits. In the alternative, if the investors were partners, the Service determined that the transactions were disguised sales of state tax credits and that each partnership recognized unreported income from these sales in the amount of its investors' collective capital contributions. The Tax Court respected the form of the taxpayers' transaction. Considering the conduct of the parties in the formation and execution of the LLC agreement, the parties' statements, the testimony of disinterested persons, the relationship of the parties, their respective capital contributions, and the actual control of income, among other things, the court was convinced that the investors legitimately pooled their resources together and created a partnership for tax purposes. Furthermore, there was no disguised sale of tax credits between the investors. The regulations state there is no disguised sale when the transactions are not simultaneous and the subsequent transfer is subject to the entrepreneurial risks of the partnership's operations. That was the case here, said the court. The investors contributed capital at various times during the years at issue, and the state tax credits were not allocated to the partners until the partnerships attached the certificates to their respective Schedules K-1. The time gap meant the investors were subject to risks. Yes, the investors were promised certain amounts of credits in their subscription agreements, but there was no guarantee that the partnerships would be able to pool a sufficient amount of credits to meet these demands. Since there was no disguised sale, the taxpayers' treatment of the transactions was respected by the Tax Court. On appeal, the Service made the same arguments. The Fourth Circuit assumed that the arrangements were bona fide partnerships so that it could focus on whether there was a disguised sale. On that point, the taxpayers argued that the disguised sale rules could not apply because the tax credits were not "property" that could be sold between partners. After all, the credits were nontransferable and non-inheritable under Virginia law. The Fourth Circuit, however, concluded that the credits were property in that they had value and contained "some of the most essential property rights." The court further held that these transactions were disguised sales of the property. When the partners signed partnership and subscriptions agreements and made their contributions to the partnerships, they were promised a precise number of tax credits in exchange. Each partner thus knew with specificity the size of the subsequent transfer he or she could expect. Moreover,

each partner had legally enforceable rights to enforce the delivery of the tax credits they “purchased,” further suggesting a sale. Perhaps most importantly, the partners had no interest in the partnership apart from their arrangement to receive tax credits. The contributions made to the partnership bore no relation to the partners’ profits interests, suggesting that the contributions were made solely to secure the credits. On the whole, then, these transactions really were disguised sales, so it reversed the decision of the Tax Court. *Virginia Historic Tax Credit Fund 2001 L.P. v. Commissioner* (4th Cir., March 29, 2011).

Section 736: Payments to a Retiring Partner or a Deceased Partner’s Successor in Interest

Law Firm Partner Received Guaranteed Payments, But He Knew How to Compute Outside Basis. The taxpayer was a tax lawyer at a large law firm in Florida. As an equity partner in the firm, he received 50 “Schedule C Units” each year. Each unit was worth \$300, so that meant he got \$15,000 worth of Units each year. He received these Units regardless of the firm’s profitability, and the \$300 per Unit figure was never adjusted. If he left the firm voluntarily, he would forfeit the Units. But if he made it to age 68, he could retire and receive both the full value of his capital account and the full value of his Units. When he retired in 2003, the taxpayer was entitled to \$338,162, of which \$240,000 was for his Units. He received this amount over 12 equal payments paid from 2003 through 2006. The taxpayer initially treated all of the payments as cash distributions that were tax-free because they did not exceed his basis in his partnership interest. Then the taxpayer conceded that the payments for the Units were taxable but argued that they should be treated as long-term capital gain. The Service argued that the payments for the Units were guaranteed payments and thus ordinary income. It also asserted that the payments for the capital account were taxable because the taxpayer’s basis in his partnership interest was less than originally determined. The Tax Court agreed with the Service that the payments for the Units were ordinary income, but held that the taxpayer did not have income from the payments for his capital account because the Service did not meet its burden of proving that payments in liquidation of the partnership interest exceeded the taxpayer’s outside basis. On the character of the income from the payments for the Units, the court observed that each equity partner received the same number of Units each year for services rendered to the firm regardless of the partner’s percentage interest in the partnership and without regard to the firm’s income. The Units were not reflected in the partners’ respective capital accounts, so they could not be considered part of a partner’s partnership interest. The payments for the Units were thus guaranteed payments, meaning they were ordinary income. As for the taxpayer’s basis in his partnership interest, the court was persuaded that the taxpayer “established a reasonable basis for us to determine that his 2005 capital account payments did not exceed his basis in his partnership property. Respondent did not address petitioner’s evidence on brief and has not given us any reason to believe his calculation is more reliable than that of petitioner.” But the court upheld the imposition of an accuracy-related penalty as regards the failure to report the payments for the Units. The taxpayer argued his failure to include the payments in income was reasonable because the firm incorrectly reported these payments as nonemployee compensation on Form 1099-MISC instead of reporting it as a distribution on Schedule K-1. He claimed it was reasonable for him to omit the \$80,000 from his 2005 return since he “could not possibly report the receipt of the payments both correctly and also in a manner that was consistent with the reporting” by the firm. In rejecting this argument, the court noted that the statute and regulations contain a mechanism through which a partner can report an item of income inconsistently with the way in which the partnership reports the item on its own return, provided the partner provides a statement reporting that inconsistent treatment to IRS. “As a tax attorney of long standing,” said the court, the taxpayer “should be familiar with this mechanism. To simply not report the income is not reasonable and does not show good faith.” In an unpublished opinion, the Eleventh Circuit affirmed, citing several facts in support of the conclusion that the taxpayer received a guaranteed payment that operated essentially as a retirement benefit: eligibility for payment on Units was at least partially tied to a partner’s reaching age 68; the payment obligations in connection with Units could be funded through a qualified retirement

benefit plan; and the same monthly payment limits were placed on both retirement and Unit payments. *Wallis v. Commissioner* (11th Cir., August 11, 2010).

Section 861: Income from Sources Within the United States

2010 Small Business Act: Income From Guarantees Provided to United States Persons Has United States Source. Effective as of September 27, 2010, amounts received from a United States person “for the provision of a guarantee of any indebtedness” of such person have United States source, as do any amounts received from any foreign person “for the provision of a guarantee of any indebtedness” of such person if the amounts received are connected with income that is effectively connected with a United States trade or business. An analogous change to § 862 provides that amounts received from a foreign person “for the provision of a guarantee of any indebtedness” of such person have foreign source if the amounts received are unrelated to “effectively connected income.” *Section 861(a)(9)*.

Section 863: Special Rules for Determining Source

Temporary Regulations Contain Sourcing Rule for Income from Fails Charges. Back in 2008, there was a rash of transactions where sellers of Treasury securities failed to deliver the securities to their buyers. Given the very low interest rates on these securities, sellers often lacked “the economic incentive” to deliver the securities in a timely manner. In response, many market participants voluntarily adopted a new trading practice whereby a party failing to deliver United States Treasury securities to another party by the agreed delivery date must pay a “fails charge” to the other party. This fails charge accrues daily and is generally payable in the month following the month in which the failing party actually delivers the promised security. The sourcing of fails charges paid by or to a foreign person was uncertain, however, so Treasury has offered temporary regulations declaring that, in general, income from a “qualified fails charge” is sourced with reference to the recipient’s residence. Thus, a fails charge received by a foreign person would have foreign source and a fails charge received by a United States person would have United States source. The regulations offer two exceptions to this general rule. Under the “qualified business unit exception,” qualified fails charge income earned by a taxpayer’s qualified business unit is sourced to the country in which the qualified business unit is engaged in a trade or business. Under the “effectively connected income exception,” qualified fails charge income that arises from a transaction effectively connected to a United States trade or business is sourced in the United States and treated as effectively connected income. *Temporary Regulation § 1.863-10T* (December 7, 2010).

Section 864: Definitions and Special Rules

Tax Court Denies Service a Mulligan on the Treatment of Golfer’s Endorsement Income. The taxpayer is Retief Goosen, a United Kingdom resident and well-known professional golfer. He entered into endorsement contracts with a number of United States and foreign sponsors. Sponsors could use the taxpayer’s name, face, image and likeness in advertising and marketing campaigns worldwide. In some cases, he also performed some services for the sponsors. For a few of the sponsors, he agreed to wear or use their products during golf tournaments (these are the “on-course sponsors”). For the others (the “off-course sponsors”) there was no such agreement. Under each arrangement, the taxpayer received a base endorsement fee. In some cases, the taxpayer would earn a bonus for achieving a specific finish in a PGA or European Tour tournament or a specified ranking in the World Golf Rankings. On his 2002 and 2003 nonresident returns, the taxpayer treated the endorsement fees and bonuses from the on-course sponsors as 50% personal services income and 50% royalty income. Endorsement fees from the off-course

sponsors were treated entirely as royalty income. The taxpayer reported that about seven percent of the total endorsement income had United States source. The Service agreed with the royalty treatment of the payments from off-course sponsors, but it maintained that the income from the on-course sponsors should have been characterized as entirely personal services income, meaning a larger percentage of the entire pot would be United States-source income. But the Tax Court held that the taxpayer had it right when he allocated 50% to personal services income and 50% to royalty income. These sponsors valued both his image (so the payments are royalties) and his play at golf tournaments (so the payments are also for personal services). The court then held that the royalty income received from the on-course sponsors was effectively connected with a United States trade or business. Finally, the court held that the tax treaties between the United States and the United Kingdom did not apply here. These treaties generally provide that only the United Kingdom will tax a United Kingdom resident on non-United Kingdom source income, but only to the extent the income is remitted to or received in the United Kingdom. The taxpayer did not show that his endorsement income (which was wired to Liechtenstein) had been remitted to or received in the United Kingdom, so the treaties did not apply. *Goosen v. Commissioner*, 136 T.C. No. 27 (June 9, 2011).

Section 871: Tax on Nonresident Alien Individuals

Slot Machine Winnings Not Exempted by Most-Favored-Nation Status and are Not Effectively Connected Income. The taxpayer, a South Korean citizen and resident, liked to play the slot machines at the Pechanga Resort & Casino in California during his travels to the United States to visit with family. The taxpayer did not have a business plan and did not keep books and records with respect to his gambling activity. In 2006, he had total gambling winnings of \$431,658, and losses that exceeded his winnings by \$4,663; in 2007, his gambling winnings totaled \$103,874, and his losses exceeded those winnings by \$45,131. He had other United States source income in both of those years, all in the form of interest, capital gains, and dividends, none of which was effectively connected with a United States trade or business. The taxpayer's returns for 2006 and 2007 omitted the gambling income. When the Service caught this and determined a deficiency, the taxpayer filed this suit in Tax Court. He first argued that he was not subject to tax on the gambling income because an agreement between the United States and South Korea extends "most-favored-nation" status to South Korean and United States persons. As the Tax Court explained, "most-favored-nation status assures nationals of the other signatory treatment equivalent to the most favorable treatment afforded any other foreign nationals." The taxpayer contended that residents of certain countries like Japan do not pay United States tax on their United States gambling winnings because a treaty provision specifically limits the jurisdiction to tax to the nonresident's home country. He reasoned that if a Japanese resident does not have to pay United States tax on gambling income, then under the most-favored-nation status agreement he should not have to pay taxes either. The problem, though, is that the most-favored-nation agreement contains a clause giving both South Korea and the United States "the right to ... extend specific tax advantages on the basis of reciprocity." The Tax Court reasoned that because the treaty provisions with Japan and a select few other countries related to gambling winning are specifically reciprocal benefits, the taxpayer was not automatically entitled to exemption on the basis of most-favored-nation status. The taxpayer then took the position that his gambling constituted either the performance of personal services or a United States trade or business. Under either theory, the gambling income would be effectively connected income that would enable him to claim the offsetting loss deductions, reducing his income from gambling to zero. But the court held that the taxpayer was not in the trade or business of gambling and that his recreational gambling activities did not constitute the performance of personal services. He did not use personal skills or strategies when he played the slot machines. Accordingly, the taxpayer was subject to United States tax on all of his gambling winnings. *Park v. Commissioner*, 136 T.C. No. 28 (June 13, 2011).

Section 881: Tax on Income of Foreign Corporations Not Connected with United States Business

Guarantee Fee Paid to Mexican Parent By United States Subsidiary Has Foreign Source. A Mexican corporation charged the taxpayer, one of its United States subsidiaries, a fee to guarantee the taxpayer's debts. The Service contended that the taxpayer should have withheld 30% of the fees paid to the Mexican parent as "fixed or determinable annual or periodical" income from United States sources. The Tax Court held that the guaranty fees are analogous to payments for a service. The fees were not like interest, according to the court, because the guaranty was not in substance a loan. The Mexican corporation was not required to pay out its own money unless the taxpayer defaulted. Since the source of income from services is where the services are performed, and because the guaranty was provided from Mexico, fees for the guaranty are Mexican source income. Accordingly, withholding was not required. On appeal, the Fifth Circuit affirmed. It reasoned that the guarantee was not a loan because no money was exchanged. Instead, the Mexican parent was being compensated for its promise to stand by in the event a future obligation materialized; it did not put money at risk at the time of making the guarantee. The guarantee was a service, and since the service was performed in Mexico, the taxpayer did not have to withhold 30% of the guaranty fees paid. It is worth noting, however, that Congress overruled this case for guarantees issued after September 27, 2010 (see the item on the Small Business Act's change to § 861, above). *Container Corp. v. Commissioner* (5th Cir., May 2, 2011).

Section 901: Taxes of Foreign Countries and of Possessions of United States

It's a Windfall for the Taxpayer as United Kingdom's Windfall Profits Tax Proves Creditable. The taxpayer, a "global energy company," produces and sells electricity. Through an indirect subsidiary, the taxpayer distributed electricity to about 1.5 million customers in the United Kingdom. The subsidiary was originally a governmentally-run electronic company. It was "privatized" in 1990 through a public share offering. The subsidiary and other "privatized utilities were able to increase efficiency and reduce operating costs to a greater degree than had been expected when the initial price controls were established. That ability led to higher-than-anticipated profits, which, in turn, led to higher-than-anticipated dividends and share price increases for the privatized utilities." In the wake of public outrage over the excessive profits earned by these newly-privatized companies, the United Kingdom introduced a "windfall profits tax," a "one-time (or, in U.K. parlance, a 'one-off') tax on the 'windfall' to the privatized utilities on privatization. The approach would be to impute a value to each company at privatization, using an appropriate price-to-earnings ratio for each company's profits during the first 5 years after [the initial public offering], recognize the 'windfall' (the difference between the imputed value and the [initial public offering] price) as value forgone by taxpayers, and tax the privatized utilities on that 'windfall' using established principles from capital gains tax legislation." (The tax was set at 23% of the windfall.) The taxpayer paid this tax and wanted to claim a foreign tax credit for United States purposes. The Service balked, concluding that the windfall profits tax was not an income tax and thus not creditable. The Service reasoned that the tax was not computed on the basis of gross receipts, net income, or some realization event; instead, it was based "on the difference between two company values." But the Tax Court held that the windfall tax is creditable because its predominant character is that of an income tax in the United States sense. The court observed that the windfall tax was conceived as a vehicle for recouping excessive profits earned by the privatized utilities and would correct for the undervaluation of those companies at the time of their public offerings. "Because both the design and effect of the windfall tax was to tax an amount that, under U.S. tax principles, may be considered excess profits realized by the vast majority of the windfall tax companies, we find that it did, in fact, 'reach net gain in the normal circumstances in which it [applied]', and, therefore, that its 'predominant character' was 'that of an income tax in the U.S. sense.'" *PPL Corporation v. Commissioner*, 135 T.C. No. 15 (September 9, 2010).

New Regulations Target Highly Structured Passive Investment Arrangements. Not all payments to foreign governments are eligible for the foreign tax credit. The payments must constitute “taxes,” which the regulations define to mean, among other things, compulsory payments. Existing regulations provide that an amount paid is not a compulsory payment to the extent it exceeds the amount of liability under foreign tax law. But if a taxpayer overpays in one year so as to reduce, over time, the taxpayer’s reasonably expected liability for tax under foreign law, such an overpayment can still qualify as a compulsory payment. Aware of situations where this rule can be abused, Treasury in 2008 issued temporary regulations that apply where a United States person owns one or more foreign entities and is a party to a “highly structured passive investment arrangement.” Under those regulations, all foreign entities in which a single United States person has an 80% or greater interest will be treated as a single entity, and payments attributable to highly structured passive investment arrangements will be treated as noncompulsory payments. There are three general categories of such arrangements targeted by the regulations. The first category consists of transactions where the United States person indirectly borrows from an unrelated foreign party. Direct loans would give rise to nondeductible principal payments and no foreign tax credits. But if the loan is run through a foreign special purpose vehicle (SPV) owned by the United States person, the United States person can claim credit for foreign taxes paid by the SPV and the foreign lender can qualify for tax-free distributions of interest. The second category consists of transactions where a United States person indirectly lends to an unrelated foreign party, again using an SPV to generate liability for foreign taxes where a direct loan from the United States lender would not. The third category consists of transactions where a United States person moves an income-producing asset (like a debt obligation) into a foreign jurisdiction via an SPV that is considered to be owned by both the United States person and a foreign person. This serves to reduce the total tax bite because the United States person could claim a full credit for foreign taxes paid even though another party is sharing the tax burden to the foreign jurisdiction. Treasury has now finalized these regulations, though they relate back and are effective for taxable years ending on or after July 16, 2008 (the date the temporary regulations were issued). The final regulations contain a host of examples to illustrate situations where the rules would come into play. *Regulation § 1.901-2(e)(5)(iii) – (iv)* (July 13, 2011).

United Kingdom’s “Remittance Tax” is Creditable for United States Tax Purposes. In 2008, the United Kingdom enacted legislation that generally allows United Kingdom citizens who are not domiciled there to elect each year to be taxed on an alternative basis under which their foreign-source income will be taxed by the United Kingdom only when such income is remitted to the United Kingdom. These taxpayers would also face United Kingdom tax on their United Kingdom-source income in the year in which they arose. The Service determined that this new “remittance tax” regime is a tax (it is, after all, required to be paid pursuant to the authority of the United Kingdom government) and that its predominant character is that of an income tax in the United States sense because it is likely to reach net gain in the normal circumstances in which it applies. Accordingly, it is an income tax to which the § 901 credit would apply. *Revenue Ruling 2011-19* (August 11, 2011).

Section 909: Suspension of Taxes and Credits until Related Income Taken into Account

Guidance Identifies Foreign Tax Credit Splitting Events. Section 909, added by the Education Jobs and Medicaid Assistant Act of 2010, generally provides that upon a “foreign tax credit splitting event” with respect to a taxpayer’s foreign income tax liability, the tax cannot be taken into account for federal tax purposes before the taxable year in which the related income item is included in gross income. In new guidance, Treasury has identified an exclusive list of the “foreign tax credit splitting events” that trigger this matching rule. These include: (1) “reverse hybrid structures,” in which a § 902 corporation owns an interest in a “reverse hybrid” (an entity taxed as a corporation for United States federal income tax purposes but as a pass-through entity or a branch under the laws of a foreign country); (2) “certain foreign consolidated groups” under which a foreign country imposes tax on the combined income of two

or more entities; and (3) certain “group relief and other loss-sharing regimes” where one entity with a loss permits the loss to be used by one or more other entities. Further guidance may add to the list contained in this Notice, though such guidance would only apply prospectively. *Notice 2010-92* (December 6, 2010).

Section 956: Investment of Earnings in United States Property

New Rules Police Tax-Avoiding Repatriations of CFC Earnings. Section 956 generally requires gross income inclusion by United States shareholders of a controlled foreign corporation (CFC) when the CFC invests certain earnings and profits in United States property. The theory is that the investment is substantially equivalent to a dividend paid to the United States shareholders. In 2008, Treasury issued temporary and proposed regulations regarding the determination of basis in certain “United States property” acquired by a CFC in certain nonrecognition transactions that are intended to circumvent § 956. The preamble explained the type of transaction targeted in the new regulations through an example. In the example, a domestic corporation and common parent of an affiliated group that files a consolidated tax return owns all of the outstanding stock of US1 and US2, both domestic corporations. US1 owns all of the stock of a CFC. US2 issues \$100x of its stock to the CFC in exchange for \$10x of the CFC’s stock and \$90x cash. The domestic parent takes the position that: (1) US2’s transfer of its stock to the CFC in exchange for \$100x of CFC stock and \$90x cash is a § 351 exchange; (2) US2 recognizes no gain on the receipt of the CFC stock and the cash under § 1032(a) because it receives these items in exchange for its stock; (3) the CFC recognizes no gain on the issuance of its stock to US2, also under § 1032(a); (4) the CFC’s basis in the US2 stock is zero under § 362(a); and (5) US1 and US2 do not and will not have an income inclusion under § 951(a)(1)(B) as a result of the CFC holding the US2 stock (which constitutes United States property under § 956(c)). The proposed regulations provided that, solely for purposes of § 956, the CFC’s basis in the property received would be no less than the fair market value of the property transferred by the CFC in exchange for the property. Thus, in the transaction described in the example, the following results would apply: (1) the US2 stock acquired by the CFC constitutes United States property because the CFC acquires it from US2, the issuing corporation; (2) because the CFC’s basis in the US2 stock is determined under § 362(a), then for purposes of § 956, the CFC’s basis in the US2 stock is \$90x, the fair market value of the cash received (the \$100x of CFC stock issued in the exchange does not constitute property for purposes of this rule); (3) the CFC is treated as acquiring its basis of no less than \$90x in the US2 stock at the time of its transfer of property to US2 in exchange for the US2 stock. The result would be the same if, instead of the CFC transferring \$90x of cash to US2 in the exchange, the CFC assumes a \$90x liability of US2. Having received no comments on the proposed regulations and after receiving no requests for a hearing, Treasury has finalized the regulations with only a few minor corrections. The final regulations apply to United States property acquired in exchanges occurring on or after June 24, 2011. § 1.956-1 (June 23, 2011).

Section 1001: Determination of Amount of and Recognition of Gain or Loss

Decline in Creditworthiness of Issuer Usually Not Considered Under Final Regulations. The so-called *Cottage Savings* regulations provide rules for determining when the modification of a debt instrument results in a deemed exchange of the old instrument for a new instrument. The regulations used to provide that any deterioration in the financial condition of the issuer between the issue date of the unmodified debt instrument and the date of modification (as it relates to the issuer’s obligation to repay the debt instrument) is not taken into account, unless there is a substitution of a new obligor or the addition or deletion of a co-obligor. But this rule only applies for purposes of determining whether an alteration changes an instrument from a debt instrument to a property right. As Treasury explains, “Issuers and holders, however, are concerned that, as the existing regulations are currently drafted, a

decline in the creditworthiness of the issuer, under certain circumstances, *may* be taken into account under [the *Cottage Savings* regulations]. The uncertainty about the proper interpretation of the existing regulations has led taxpayers to request clarification on the circumstances in which the credit quality of the issuer should be considered in determining the nature of the instrument resulting from an alteration or modification of a debt instrument.” Accordingly, Treasury has modified the regulations to make clear that any deterioration in the financial condition of the issuer is generally not taken into account to determine if the modified instrument is debt. As Treasury explained when the regulations were proposed, “any decrease in the fair market value of a debt instrument (whether or not publicly traded) between the issue date of the debt instrument and the date of the alteration or modification is not taken into account to the extent that the decrease in fair market value is attributable to the deterioration in the financial condition of the issuer and not to a modification of the terms of the instrument. Consistent with this rule, if a debt instrument is significantly modified and the issue price of the modified debt instrument is determined under § 1.1273-2(b) or (c) (relating to a fair market value issue price for publicly traded debt), then any increased yield on the modified debt instrument attributable to this issue price generally is not taken into account to determine whether the modified debt instrument is debt or some other property right for federal income tax purposes. However, any portion of the increased yield that is not attributable to a deterioration in the financial condition of the issuer, such as a change in market interest rates, is taken into account.” The modified regulation applies to alterations to debt instruments made on or after January 7, 2011, but can also be relied upon by taxpayers for alterations occurring before that date. *Regulation § 1.1001-3(f)(7)* (January 6, 2011).

Section 1031: Like-Kind Exchanges

Beware Transactions with Related Parties, Even When Qualified Intermediary is Involved.

The taxpayer, a real estate development corporation, transferred a parcel of appreciated property (let’s call it Blackacre) to a qualified intermediary (a bank). At the time of the transfer, Blackacre was worth about \$7 million and the taxpayer’s basis in the property was about \$715,000. Sometime after the transfer, the qualified intermediary sold Blackacre to an unrelated third party for about \$7.25 million. Now the qualified intermediary had to find replacement property. The taxpayer hoped to identify new property from an unrelated party, but it could not find anything suitable. Ultimately, the qualified intermediary purchased a parcel of land (we’ll call it Whiteacre) from a limited liability company that is related to the taxpayer (they share a number of common owners). Whiteacre was worth about \$6.75 million at that time, and the LLC’s basis in the property was about \$2.55 million (the LLC had acquired Whiteacre from the taxpayer years ago). The qualified intermediary then transferred Whiteacre to the taxpayer. One senses that the taxpayer was less than thrilled to reacquire some old property from a related party, but at least it completed the transaction within applicable time limits. On its 2004 return, the taxpayer reported a realized gain of about \$6 million but claimed that none of the gain was recognized because the series of steps combined to create a like-kind exchange. The Service raised a stink, observing that this deal was functionally the same as if the taxpayer had conveyed Blackacre to the LLC for Whiteacre, only to watch the LLC sell Blackacre to unrelated buyer for cash. If the transaction had taken that form, the Service argued, the taxpayer would be required to recognize the gain under § 1031(f)(1). Well, said the taxpayer, the transaction at issue did not take that form—instead it utilized a qualified intermediary, and since all of the steps were followed to effect a valid like-kind exchange through an intermediary, the taxpayer argued that its reporting of the transaction should be respected. The parties took their arguments to the Tax Court. The court agreed with the Service. Although the transaction did not take the form proscribed by § 1031(f)(1), § 1031(f)(4) also disqualifies transactions “structured to avoid” § 1031(f)(1), i.e., a transaction with a tax avoidance purpose. To determine whether this transaction had a tax avoidance purpose, the court compared the results of a sale of Blackacre by the taxpayer with the results of a like-kind exchange between the taxpayer and the LLC followed by the LLC’s sale of Blackacre. Had the taxpayer exchanged Blackacre for Whiteacre directly, the LLC’s \$2.55 million basis in Whiteacre would have carried over the

Blackacre, and this is about \$1.8 million more basis than the taxpayer had in Blackacre. Further, since Blackacre would be a capital asset in the hands of the LLC and its members, any tax on the resulting gain would have been paid at a rate of 15% instead of the 34% applicable to the taxpayer. So by roping in the related party, the taxpayer was effectively able to add to basis and reduce the rate of taxation. “We are not prepared to say that, as a matter of law, a finding of basis shifting precludes the absence of a principal purpose of tax avoidance, but, in this case, the immediate tax consequences resulting from petitioner’s deemed exchange with [the LLC] included an approximately \$1.8 million reduction in taxable gain and the substitution of a 15-percent tax rate for a 34-percent tax rate. The tax savings are plain, and petitioner’s counterfactors are unconvincing or speculative. Petitioner has failed to convince us that tax avoidance was not a principal purpose of the deemed exchange.” Accordingly, the Service’s deficiency was upheld. On appeal, the Eleventh Circuit affirmed after finding no clear error. This arrangement was the economic equivalent of a direct related-party exchange to which §1031(f)(1) would clearly apply, the court held. The transaction had unneeded complexity, and that suggested a tax-avoidance purpose. *Ocmulgee Fields, Inc. v. Commissioner* (11th Cir., August 13, 2010).

Section 1033: Involuntary Conversions

Proceeds from Involuntary Conversion of Inventory Need Not be Used to Buy New Inventory.

Assets in the taxpayer’s business were damaged by hurricanes in 2006 that were Presidentially declared disasters. Some of those damaged assets included inventory items. The taxpayer received insurance and salvage proceeds for the assets involuntarily converted by the storms, including the inventory. The taxpayer reinvested the proceeds toward the construction of new facilities in a timely manner. The issue is whether the taxpayer has to recognize that portion of the realized gain from the involuntary conversion of the inventory items. In order to qualify for § 1033 nonrecognition, the property converted must have been “held for productive use in a trade or business.” Does that include inventory, property that we normally label as “held for sale to customers in the ordinary course of business?” The Service ruled that inventory is property held for productive use in a trade or business, so gains from the involuntary conversion of inventory can qualify for nonrecognition. Unlike other nonrecognition provisions, § 1033 does not by its terms exclude inventory. But there’s a second question: the taxpayer invested the proceeds in the construction of new facilities, and not toward the acquisition of new inventory. Does that violate the requirement that the new property be “similar or related in service or use” to the property replaced? The Service ruled it does not. It noted that the legislative history to § 1033(h)(2) broadly states that it was intended to provide relief to businesses affected by Presidentially declared disasters by “allowing them to reinvest their funds in any tangible business property without being forced to recognized gain.” Again, nothing appears to exclude inventory items from this relief. *Technical Advice Memorandum 201111004* (March 18, 2011).

Section 1202: Partial Exclusion for Gain from Certain Small Business Stock

2010 Small Business Act: Throw in a Sham-Wow and a Slanket and Then Maybe We’ll Be Interested. Section 1202(a)(1) generally excludes half of the gain from the sale or exchange of “qualified small business stock” (generally, stock in a domestic C corporation originally issued after August 10, 1993, but only if such stock was acquired by the shareholder either as compensation for services provided to the corporation or in exchange for money or other non-stock property, and only if the corporation is engaged in an active business and has aggregate gross assets of \$50 million or less) held for more than five years. The other half of such gain is subject to a preferential tax rate of 28 percent under § 1(h)(1)(E). In effect, then, the entirety of such gain is taxed at a rate of 14 percent (half of the gain is taxed at 28 percent, half of the gain is not taxed at all). Legislation in 2009 increased the exclusion to 75 percent of the gain from the sale or exchange of qualified small business stock acquired after February 17,

2009, and before January 1, 2011. Where the special 75 percent exclusion applies, then, the effective rate of tax on the entire gain is only seven percent (a quarter of the gain is taxed at 28 percent, the rest is untaxed). This gives § 1202 some much-needed bite. Where the 50 percent exclusion applies, a taxpayer saves only one percent (§ 1202 offers a rate of 14 percent, but current law would tax the entire gain at only 15 percent). But with a 75% exclusion, the savings can be meaningful. Congress has gone one step further in the name of small business stimulus: for qualified small business stock acquired from September 28, 2010, through December 31, 2010, 100% of the gain will be excluded, reducing the effective tax rate to zero. What's next—a credit on top of an exclusion? Of course, given that one must still hold the stock for five years in order to claim the benefit of § 1202, it won't be until 2015 before taxpayers begin to feel the benefit of this increased exclusion. *Section 1202(a)(4)*.

TRUIRJCA 2010: Let's Keep the Party Rocking! The temporary exclusion of 100% of the gain from the sale or exchange of “qualified small business stock” was only supposed to apply to stock acquired from September 28, 2010, through December 31, 2010. Now the 100% exclusion is also available to qualified small business stock acquired through the end of 2011. *Section 1202(a)(4)*.

Section 1221: Capital Asset Defined

New Regulation Explains How to Elect Capital Gain Treatment for “My Humps” (and Other Self-Created Musical Works). Legislation in 2005 introduced § 1221(b)(3), under which a taxpayer may elect to treat musical compositions or copyrights in musical works as capital assets, provided the taxpayer is the creator of the work, the person for whom the work was created, or a person whose basis in the work is determined with reference to the creator's basis in the work. (Absent this election, musical compositions and copyrights in musical works would not be capital assets in the hands of their creators, either because § 1221(a)(1) would treat the compositions and copyrights as inventory or because § 1221(a)(3) excludes from the definition of capital assets, among other things, self-created musical compositions.) Because capital asset status is elective, a qualifying taxpayer can get the best of both worlds—the taxpayer can elect capital asset status when the sale or exchange yields a gain, and the taxpayer can claim ordinary loss treatment (by making no election) for realized losses. Treasury has now issued regulations explaining the procedures for making and revoking the election. A taxpayer must make a separate election for each musical composition or copyright, and does so on the Schedule D worksheet. The election must be made on or before the due date of the return for the year of sale or exchange. Taxpayers generally have a six-month period from the due date of the return to revoke an election. Revocation is made through an amended return that treats the sale or exchange as one involving property that is not a capital asset. If a taxpayer wants to revoke an election outside of this automatic window, it may only do so with the Service's consent. *Regulation § 1.1221-3(b)* (February 4, 2011).

Sale of State Income Tax Credits Gives Rise to Short-Term Gain. Late in 2004, the taxpayers donated a qualified conservation easement to the Greenlands Reserve, a charitable organization. The easement applied to about 54 acres of the taxpayers' land in Colorado. The donation gave rise to \$260,000 worth of “conservation easement income tax credits” for Colorado state income tax purposes. These credits could be used to generate state income tax refunds of up to \$50,000 in any year that the State of Colorado generates a budget surplus, with unused credits carrying over to subsequent years. The credits were transferable, and at the end of 2004, the taxpayers sold \$110,000 in credits to unrelated buyers for total consideration of \$82,500. On their 2004 federal income tax return, the taxpayers claimed that the sales gave rise to about \$77,600 of short-term capital gain. They contended that their basis in the sold credits consisted of a proportionate share of the expenses they incurred to make the donation. The Service assessed a deficiency after concluding that the taxpayers had no basis in their credits and that the sales gave rise to ordinary income. But the Tax Court determined that the credits were capital assets. It refused to adopt the Service's position that this was similar to prior case holding that the sale of contract

rights gave rise to ordinary income, because a government-granted tax credit is not a contract right. The Service also argued that the “substitute for ordinary income” doctrine should apply here, but this position is based on the view that the sale proceeds “are a substitute for the up to \$50,000 tax refund that a Colorado taxpayer could receive in a year the State incurs a budget surplus.” But the court noted that there was no budget surplus in 2004, the year of sale, so there was thus no evidence that the taxpayers “sold credits they could have otherwise used to receive a refund. Therefore, [the taxpayers’] proceeds from the sale of their credits are not a substitute for a tax refund.” The Service also argued that “to the extent a taxpayer could use a credit to reduce a State tax liability but instead sells that credit, the taxpayer has the economic equivalent of ordinary income.” But the court observed that “[a] reduction in a tax liability is not an accession to wealth.” The court did, however, agree with the Service that the taxpayers had a zero basis in their credits. The expenses they incurred in connection with the donation were deductible under § 212 as expenses incurred in connection with the determination of any tax (the expenses helped the taxpayers to determine their state tax liability as a result of the charitable deduction). Thus, they were not capitalized costs that would give rise to basis in the credits. *Tempel v. Commissioner*, 136 T.C. No. 15 (April 5, 2011).

Ditto. The taxpayers, a married couple, owned an LLC that had title to a ranch. In 2003, the ranch effected a bargain sale of a conservation easement to the American Farmland Trust and a second bargain sale of a conservation easement to Ducks Unlimited. These sales yielded state conservation easement credits of \$260,000. Late in the year, the LLC sold \$231,600 of the state credit for \$178,332 to an unrelated third party. The LLC engaged in another conservation easement bargain sale in 2005, this one generating a state credit of \$156,800, all of which was sold to an unrelated third party for \$133,280. The net gains from these sales were reported by the taxpayers as long-term capital gain, but the Service said it should have been reported as ordinary income because the sales represented a substitute for the ordinary income they would have received had they held on to the credits (i.e., refunds from the State of Colorado). But consistent with *Tempel*, the court held that the tax credits were capital assets in the hands of the partnership. The state tax credits were not a right to income, so the substitute for ordinary income doctrine did not apply. But because the partnership did not hold any of the credits for more than one year, the sales generated short-term capital gain, not long-term capital gain. The holding period for the credits began when they were granted by the state and ended when they were sold. Here too, the court did not allow tacking of the holding period in the underlying property, for they never were (and never became) part of the underlying real property. *McNeil v. Commissioner*, T.C. Memo. 2011-109 (May 23, 2011).

Taxpayer Held Real Property as Investment, So Capital Gain Treatment Proper. Here’s another entry in the long line of cases struggling with whether real property is held for sale to customers or instead held as an investment. The taxpayer is a self-described carpenter and site contractor. Over a 26-year period, he purchased and sold 16 parcels of real property. His purchases included both raw land and improved properties. In the case of raw land, he sometimes built a single-family residence on the property and then sold it. Other times he simply sold the unimproved land. Still other times, he would build multi-family housing on the properties, but in those cases he would usually hold on to the properties and collect the rental income. In 2004, the taxpayer purchased property from his brother. The property had been approved for subdivision into five lots. The taxpayer built a road to access the lots and built a house on one of the lots. He conveyed the house to his brother. The taxpayer then sold three of the remaining lots in \$750,000. His joint return for 2004 reported the sale as generating a short-term capital gain of \$373,841. The taxpayer said he had hoped to build multi-family housing on the three lots but had to sell them instead in order to cover the expenses from building the access road. (The fifth lot was sold in 2005 for \$215,742.) The Service determined that gain from the sale of the three lots should have been ordinary income as gain from the sale of property held for sale to customers in the ordinary course of business. The Tax Court, however, found the taxpayer to be credible and believed that he purchased the property from his brother for the investment purpose of building multi-family housing that would be held for rental purposes. Accordingly, he did not hold the property for sale to customers in the ordinary course

of business, so the taxpayer's treatment of the gain as short-term capital gain was proper. It was helpful that the taxpayer had a history of long-term holding periods with respect to properties on which he built multi-family housing. *Gardner v. Commissioner*, T.C. Memo. 2011-137 (June 20, 2011).

He's Not a Day Trader, No Business Loss, Yeah. During the taxable years at issue (2000, 2001, and 2002), the taxpayer the sole shareholder, officer and director of a ball bearing manufacturing and distribution business. His wages from the business for the years at issue ranged from \$36,400 to \$52,000. He also engaged in day trading, performing 313 transactions over 73 days in 2000, 72 transactions over 18 days in 2001, and 84 transactions over 21 days in 2002. On his Schedule C for those years, the taxpayer listed his business as "day trade." He claimed almost \$2 million in losses and almost \$93,000 in expenses for 2000, about \$400,000 in loss and \$578 in expenses for 2001, and about \$260,000 in losses and just over \$15,000 in expenses for 2002. The Service disallowed the claimed losses in excess of the \$3,000 limit applicable to capital losses and further disallowed his claimed NOL carryovers from each year. The Tax Court agreed with the Service that the taxpayer was not in the business of trading securities. His trading activity was not very substantial over the years in question, and day trading was not his primary source of income. In addition, most of the stocks purchased by the taxpayer were held for more than 30 days, and the longer holding period suggests the stocks were held more for investment than for trying to time the swings in daily market movements. Day traders just don't hold stock that long. The taxpayer was more like a "month trader" than a "day trader." *Kay v. Commissioner*, T.C. Memo. 2011-159 (July 6, 2011).

Section 1231: Property Used in the Trade or Business and Involuntary Conversions

Forced Stock Sale Treated as Involuntary Conversion, so § 1231 Loss Treatment is Appropriate. These six identical private letter rulings stem from the same facts. "Investors," a series of trusts treated as partnerships for federal income tax purposes, purchased stock in a foreign corporation. That country's government then passed legislation to "stabilize the financial markets." Pursuant to that legislation, the government undertook a series of steps to acquire all of the stock of the foreign corporation. Consequently, the Investors were "squeezed out" in exchange for a cash settlement payment that was less than their basis in the foreign corporation shares. Later that same year, the Investors and other minority shareholders filed lawsuits against the foreign corporation in the foreign country, requesting that their shares be returned to them. The suit is apparently ongoing. Nonetheless, the Service cited authorities allowing a loss deduction in the year of seizure by a foreign government because there is not a reasonable prospect for recovery. Merely filing a lawsuit does not mean there is a valid claim for reimbursement or recovery, so a loss deduction is allowable. The question becomes the flavor of the loss deduction. If it is an involuntary conversion, then the loss can qualify as § 1231 loss. The Service ruled that the forced sale of the stock in this case effectively constitutes a "seizure" of the stock by the foreign government for the public purpose of economic stabilization, so it is an involuntary conversion. *Private Letter Ruling 201043009 through 201043014* (October 29, 2010).

Section 1235: Sale of Exchange of Patents

Taxpayer's Claim to Capital Gains Treatment for Services Never Had a Shot. Section 1235 generally provides that the income from the transfer of substantially all rights to a patent is treated as long-term capital gain. If the transferor renders "ancillary and subsidiary services" in connection with the transfer, the amounts received still qualify as long-term capital gains. Case law has established that "ancillary and subsidiary services" includes providing technical knowledge and consulting services to the transferee, provided such services are an integral part of the patent transfer. If the taxpayer receives compensation for services unrelated or tangential to the patent transfer, however, such compensation is

ordinary income. In this case, the taxpayer developed and patented the “needleless syringe,” a method and device for transferring fluid from a vial into a syringe without using a needle. He assigned the patent to an unrelated business in 2004 for “\$1 and for other good and valuable consideration.” Apparently, the taxpayer received a lump sum payment in connection with this transfer. At some later point, the taxpayer signed a “sales representative agreement” with the buyer. Under this agreement, the taxpayer agreed to serve as a sales representative for the buyer and train the buyer’s personnel on the use of the needleless syringe for a two-year period. The buyer paid him a monthly salary of \$7,500 per month as “full consideration for the services...rendered.” On his 2006 income tax return, the taxpayer claimed that the payments received from the buyer were long-term capital gains from the sale of the patent. The Service treated these amounts as ordinary income, including the payments represented compensation for services. The Tax Court agreed with the Service, noting that the 2004 assignment agreement acknowledged that the taxpayer received full consideration for the patents at the time of the transfer. The taxpayer argued that the payments were for “ancillary and subsidiary services” in connection with the transfer of the patent, but the court didn’t buy it. It was clear that the payments from the buyer were pursuant to the employment agreement, and that agreement contained a clause indicating that it was the “entire agreement” between the parties relating to the taxpayer’s performance of services and that the parties had no other agreements regarding his performance of services. Moreover, the agreement made clear that the taxpayer’s services consisted not of providing technical knowledge to the buyer but instead of serving as a sales representative for the buyer. *Farris v. Commissioner*, T.C. Memo. 2010-222 (October 12, 2010).

Section 1366: Pass-Thru of Items to Shareholders

Guess What? Shareholder Guarantee of S Corporation Debt Still Doesn’t Give the Shareholder Basis. Here’s another in a long line of cases confirming that a shareholder’s serving as a mere guarantor of an S corporation’s debt is not enough to give the shareholder stock basis or debt basis against which the shareholder may apply pass-through losses. In this case, the taxpayers were shareholders of an S corporation that generated a net loss for 1997. They claimed to have sufficient debt basis to absorb the loss. Specifically, they claimed that by co-signing and guaranteeing two notes from the corporation they had basis equal to the amount of the corporation’s debt. The Service assessed a deficiency, and the Tax Court sustained it. As the court observed, there are two requirements for a shareholder to claim debt basis from a loan to a corporation: (1) the shareholder “must make an actual economic outlay” that leaves the shareholder “poorer in a material sense;” and (2) the corporation’s debt “must run directly to the shareholder; an indebtedness to a pass-through entity that advanced the funds and is closely related to the taxpayer does not satisfy the statutory requirement.” Since the taxpayers merely guaranteed the debts of their S corporation, there had been no economic outlay. The taxpayers argued that they should also get basis credit for a loan made by their C corporation to the S corporation, but they lost here too. As the court noted, “a loan to an S corporation by another entity owned by the S corporation’s shareholder is not an indebtedness of the S corporation to the shareholder.” The taxpayers pointed to a ledger that reclassified the loan as one made by the taxpayers and not the C corporation, but the court said this evidence was insufficient. On appeal, the Eighth Circuit affirmed on all counts, finding no error in the Tax Court’s rulings. *Russell v. Commissioner* (8th Cir., August 27, 2010).

Section 1367: Adjustments to Basis of Stock of Shareholders, Etc.

TRUIRJCA 2010: Charitable Contributions from S Corporations Rule! When an S corporation contributes property to charity, the corresponding charitable deduction, like all deductions, passes through to the shareholders. Generally, a shareholder’s basis in S corporation stock is reduced by the amount of deductions passing through, but prior law provided that, for 2006 – 2009 only, an S corporation’s charitable contribution will only cause a shareholder’s stock basis to be reduced by the

shareholder's pro rata share of the adjusted basis of the contributed property. Thus, for example, if an S corporation with two equal shareholders donated to charity real property worth \$100 in which the corporation's basis was \$40, each shareholder could be eligible to claim a \$50 charitable contribution (half of the \$100 value) while only reducing stock basis by \$20 (half of the \$40 basis). This rule has now been revived and extended through 2011. This presents a tremendous benefit to S corporation shareholders, especially where the contributed property would have triggered liability for tax under § 1374 as built-in gain property. Charitable contributions of such property do not trigger the § 1374 tax, and now also have the chance to carry out a fair market value deduction to the shareholders at a cost equal only to the basis of the contributed property. *Section 1367(a)(2)*.

Section 1374: Tax Imposed on Certain Built-In Gains

2010 Small Business Act: Recognition Period Temporarily Reduced to Five Years. When a C corporation makes an S election, the § 1374 tax looms. This corporate-level tax applies to any "net recognized built-in gains" during the "recognition period" (generally, the first ten years following the former C corporation's subchapter S election). Legislation in 2009 shortened the recognition period to seven years for 2009 and 2010 only. Now, for taxable years beginning in 2011 only, the recognition period has been shortened to five years. So if the corporation made its S election effective for 2006, any net recognized built-in gains in 2011 will not be subject to the tax. Curiously, however, any net recognized built-in gains in 2012, the seventh year of S corporation status, would be subject to the tax. *Section 1374 (d)(7)(B)*.

A Visual Guide to the Federal Wealth Transfer Tax Provisions of TRUIRJCA 2010

	2010	2011	2012	2013
Estate Tax				
Exemption amount	\$5.0 million	\$5.0 million	\$5.0 million (indexed for inflation)	\$1.0 million
Tax rate	Flat (35%)	Flat (35%)	Flat (35%)	Progressive (up to 55%)
Elections	Can elect out of estate tax, but §1022 carryover basis will apply (\$1.3 million "free-basis" + \$3.0 million spousal bonus)	Can elect to add "deceased spousal unused exclusion amount" (basically, the unused exemption from the estate of the decedent's last deceased spouse or the exemption amount in effect at the decedent's death, whichever is less) to the exemption amount	Can elect to add "deceased spousal unused exclusion amount" (basically, the unused exemption from the estate of the decedent's last deceased spouse or the exemption amount in effect at the decedent's death, whichever is less) to the exemption amount	None <i>Note that 2001 Act sunsets at end of 2012, so changes made by that legislation expire in 2013</i>
Gift Tax				
Exemption amount	\$1.0 million	\$5.0 million (plus, if elected, the "deceased spousal unused exclusion amount")	\$5.0 million (indexed for inflation) (plus, if elected, the "deceased spousal unused exclusion amount")	\$1.0 million
Tax rate	Flat (35%)	Flat (35%)	Flat (35%)	Progressive (up to 55%)
Generation-Skipping Transfer Tax				
Exemption amount	\$5.0 million	\$5.0 million	\$5.0 million (indexed for inflation)	\$1.0 million (indexed from 1997)
Tax rate	Zero	Flat (35%)	Flat (35%)	Progressive (up to 55%)

Section 2013: Credit for Tax on Prior Transfers

No Credit for State Estate Taxes on Prior Transfers, And Remember to Apply the Statutory Limits. In 1992, Julian and Marie, a married couple, established a revocable living trust. When Julian died in January, 2004, the trustees of the living trust made a partial QTIP election with respect to one of the trust shares. Ultimately, his estate paid \$225,000 in federal and state estate taxes. Marie died in March, 2004. Her estate claimed a credit for the full \$225,000 in taxes paid by Julian's estate. The Service disallowed the credit because the estate tax return failed to take into account the statutory limitations on the credit. One of those limits, § 2013(b), provides that the credit may not exceed the federal estate tax attributable to the transferred property in the first decedent's estate. This is computed by multiplying the value of the transferred property by a fraction, the numerator of which is the first decedent's "adjusted federal estate tax" (the estate tax paid by the first decedent plus some credits) and the denominator of which is the first decedent's "adjusted taxable estate" (the first decedent's taxable estate less the amount of state and federal estate taxes). For this purpose, Marie's estate claimed that the "adjusted taxable estate" should be reduced by the applicable exclusion amount (doing so serves to reduce the denominator and, thus, increase the amount of creditable estate tax under the § 2031(b) formula. The Tax Court held that there was no authority for this position, so it rejected this claim. The court also rejected her estate's claim to a credit for the state estate taxes paid by Julian's estate, noting the statute expressly limits the credit to federal estate taxes paid by the first decedent. In addition, the court rejected various other arguments related to claims of double taxation and unconstitutionality. *Estate of LaCaer v. Commissioner*, 135 T.C. No. 14 (September 7, 2010).

Section 2031: Definition of Gross Estate

Another Victory for the Built-in Gains Discount. At the decedent's death in 2005, her revocable trust held 164 shares of stock in Wa-Klo, a closely held C corporation that operated a summer camp for girls on a 94-acre waterfront parcel in New Hampshire. The corporation owned the land, and its improvements includes state-of-the-art playing fields, an indoor gym, a horse stable, a dining hall, cottages, and bunkhouses. The trust's holdings comprised 82% of the Wa-Klo stock. An appraisal determined that the net asset value of the company was about \$4.2 million. From that, the appraisal subtracted an estimated built-in long-term capital gain tax of \$965,000, meaning that the trust's 82% share of the \$3.3 million after-tax net asset value was about \$2.7 million. The appraisal applied this built-in gains tax discount even though neither a sale nor a liquidation of the company nor a sale of its assets was imminent or even contemplated. The estate's Form 706 claimed a modest marketability discount that reduced the value of the trust's Wa-Klo stock to about \$2.5 million. The Service determined a deficiency after reducing the built-in gains discount to about \$250,000. Before the Tax Court, the Service's expert concluded that the discount for built-in gains should be limited to about 45% of the company's estimated tax liability (here, about \$425,000) because that was consistent with discounts taken in valuing various closed-end mutual funds. The court agreed with the estate that reference to closed-end funds was inappropriate because closed-end funds tend to invest in various economic sectors, whereas the corporation here operated a single business activity (the camp) with a single principal asset (the land). After computing a range of potential values for the corporation's assets and estimating the present value of the potential capital gains tax liabilities, the court ultimately determined that the estate's claimed built-in gain discount was proper because it was within the range of acceptable values. *Estate of Jensen v. Commissioner*, T.C. Memo. 2010-182 (August 10, 2010).

No Fractional Interest Discount When All Fractional Interests Included in Estate. In 1965, the decedent conveyed an 1,100-acre parcel in Carmel, California, in equal shares to his five children, but he retained a life estate in the property. When the decedent died in 2004, his estate tax return included five

20% interests, each valued with a fractional interest discount. The Service determined that the decedent's estate included the entirety of the property with no fractional interest discounts. Before the Tax Court, the estate argued that this case was similar to a 1999 Tax Court opinion (*Estate of Mellinger*) in which the court held that a surviving spouse could value her one-half interest in property separately from her deceased spouse's one-half interest in the same property that was included in her estate as qualified terminal interest property under § 2044. But the Tax Court held that *Mellinger* did not apply here. "One reason the interests were valued separately [in *Mellinger*] was that at no time did the wife 'possess, control, or have any power of disposition' over the interest held in the trust. Unlike the wife in *Estate of Mellinger*, [the decedent] controlled the Rancho Aguila property. He transferred remainder interests in the property in 1965, and he retained a life estate in the property from 1965 until his death in 2004." Accordingly, the Service's determination that the property must be valued without any fractional interest discount was proper. *Estate of Adler v. Commissioner*, T.C. Memo. 2011-28 (January 31, 2011).

Four Hard-to-Value Assets, One Opinion. The Service determined a deficiency in excess of \$10 million in estate and gift taxes against the decedent's estate. At issue in this case is the valuation of two parcels of land and two paintings. The decedent's living trust held a 95-percent interest in the two parcels of land, the other five-percent interests having been conveyed to a trust for the decedent's sons six days before death. The parcels were beachfront property in Montecito, California, and a 4,000-acre ranch in Santa Ynez, California. The decedent's trust held the paintings outright as of the date of the decedent's death in early 2005. The Tax Court was tasked with computing the values of all four assets. It started with the beachfront property, a gated residence on 1.78 acres with 167 feet of ocean frontage. The decedent leased the property so as to keep the house in the family but have a source of funds to pay maintenance expenses and taxes. The current tenants held what was in effect a 20-year lease. The estate valued the property at approximately \$5.8 million for the 95-percent interest owned by the decedent's trust and \$241,600 for the five-percent interest gifted to the sons' trust. The Service determined that the value of the 95-percent interest was about \$12.9 million and five-percent interest was \$435,153. The parties' experts differed as to the right approach for valuing the property and how to consider the effect of the long-term lease. Ultimately the court held that the 95-percent interest was worth about \$4.6 million and the five-percent interest was worth \$204,000 as of the transfer date. Note this valuation was significantly lower than the amount claimed by the estate. Next came the ranch. It was large and had a steep and varied terrain, making it difficult to work much of the land. There were two houses on the property, both of relatively modest size. This property was leased to unrelated tenants under a five-year lease in effect at the decedent's death. The estate valued the 95-percent interest at \$2.57 million (the Service pegged it at \$10.95 million) and the five-percent interest at \$123,750 (compared to the \$432,251 figure from the Service). The court held that the value of the 95-percent interest was \$2,080,975 and the value of the five-percent interest was \$101,100, again figures that are lower than what the estate originally claimed. Finally came the paintings, an oil painting by Frederic Remington and a watercolor by Charles M. Russell. Both are legendary artists of the American West. The estate valued the Remington at \$1.2 million and the Russell at \$750,000, but the Service valued the Remington at \$2 million and the Russell at \$2.6 million. All of the proffered experts on both sides used the comparable sales method. The court concluded that the estate's expert had better comparables, better qualifications, and the most well-written reports. It therefore adopted the estate's valuations of the two pieces. *Estate of Mitchell v. Commissioner*, T.C. Memo. 2011-94 (April 28, 2011).

No Discount for "Hazards of Litigation" and No Deduction for Litigation as a Claim Against the Estate. The decedent's husband was the founder of a corporate mail-order horticulture business. Back in 1991, the husband and the company entered into a buy-sell agreement that provided for the redemption of the shares held by the husband's family upon the deaths of the husband and the decedent. The agreement required the company to purchase a second-to-die policy on the lives of the decedent and the husband, and the agreement further prohibited the company from encumbering the policy or borrowing against the cash value. In 1995, the husband and other shareholders sold the majority of their

shares to the company's ESOP. This purchase was financed by borrowing \$70 million from four lenders (the "ESOP loans"). The husband's share of the sale proceeds was about \$33 million, and he immediately placed this amount in his revocable trust. Upon the husband's death in 1996, the revocable trust split into three marital trusts primarily for the benefit of the decedent. The trustee of the marital trusts was Northern Trust Company, who happened to be one of the four lenders in the ESOP loans. By 1998, the corporation was in trouble—to the point that it was unable to meet its financial obligations under the ESOP loans. The lenders sought to restructure the loans so as to claim a security interest in the company's assets. As part of this transaction, Northern Trust waived the buy-sell agreement's restrictions related to borrowing against the policy and assigned itself the policy as collateral for the ESOP loans. The company too borrowed against the policy's cash surrender value. As a result, the policy was no longer self-funding, and by the time the company went bankrupt in 2001, the policy had lapsed. Later in 2001, the beneficiaries of the ESOP filed suit alleging breaches of fiduciary duties by its trustee and by the husband. They sought restitution against the decedent and Northern Trust and petitioned for a constructive trust on the assets held by the decedent as the personal representative of the husband's estate. A lower court held that the decedent was not liable as personal representative since the estate had closed, and that she was not liable as a co-trustee of the marital trusts because the ESOP did not prove breach of duty by the husband. As the ESOP appealed the case to the Seventh Circuit, the decedent died. Four months later the litigation settled. The estate tax return filed by the decedent's estate showed a deduction for the ESOP's claim against the marital trusts totaling over \$14.5 million. The return also indicated a 29% discount on the value of the marital trust assets "attributable solely to the hazards of litigation presented by the [ESOP's] lawsuit." The discount was based on the fact that the ESOP sought a constructive trust over the assets of the trusts. After the Service had selected the return for audit, the decedent's estate notified the Service of a potential additional asset of the estate—the claims it had against Northern Trust and against the couple's estate planning attorney. (It turns out the claim against the attorney was settled in 2008 for \$850,000 and the claim against Northern Trust was settled in 2009 for over \$17 million.) The Service disallowed the claimed discount for litigation risk and also assessed a deficiency for failing to include the estate's claims against the attorney and Northern Trust, claims that the Service valued at \$20.6 million. The Tax Court held that the claimed discount for "hazards of litigation" was without merit because the lower court's judgment against the ESOP had been entered before the decedent's death, and the ESOP did not seek a stay of the judgment. Thus any potential buyer of the trust's assets would not have taken them subject to the ESOP's claim for a constructive trust. In the alternative, the estate argued that it should be entitled to a deduction for the value of the ESOP's claim. The court rejected this position too, concluding that the estate could not prove the value of the claim with reasonable certainty (indeed, the estate's experts estimated the discount for litigation hazards to range from 12.9% to 29%—proof that the claim could not be valued with reasonable accuracy). The estate prevailed in keeping the claims against the lawyer and Northern Trust from being included in the gross estate, however. The burden was on the Service to prove the value of these claims, and the Service's offered no evidence in support of its value of the claim against the attorney. As for the claim against Northern Trust, the court found the valuation reports offered by the Service's experts to be flawed. Through its own analysis the court determined that the value of the claim against Northern Trust was \$930,000—over \$16 million less than the Service's valuation. *Estate of Foster v. Commissioner*, T.C. Memo. 2011-95 (April 28, 2011).

Tax Court Takes a Sledgehammer to Appraisals and Finds a Value Less Than the Amount Stated on the Return. The decedent's estate included 3,970 "membership interests" in a closely-held Kentucky LLC engaged in mass media (it owned and operated 28 small-town daily newspapers, 13 weekly publications, and a television station). The estate tax return valued the interests at \$34,936,000, or \$8,800 per unit. The valuation was supported by an appraisal. But the Service determined that the interests were worth \$49,500,000 on the valuation date. Later, its expert concluded that the decedent's interests were worth \$40,863,000. He used both a market approach and an income approach to establish a base value of the company. The Service's expert then applied a 17% minority interest discount to the

result under the income approach, followed by a 31% marketability discount to the results under both approaches. They produced similar final numbers. The estate's expert relied on the income approach. After applying a 30% marketability discount to this result, he concluded that the value of the decedent's units was \$28,200,000, or \$7,100 per unit. The Tax Court concluded that the Service's improperly used comparables that were not similar enough to the subject business. Since there are no comparable public companies, the court decided that the income approach was more sensible. It found flaws in the use of the income method by both appraisers. Where there were disputes, the court sometimes sided with the estate and other times with the Service. On the topic of discounts, the court determined that a 23% minority discount and a 31% marketability discount were appropriate. At the end of the day, that left the court with a value of \$32,601,640, an amount less than what the estate reported on its estate tax return. *Estate of Gallagher v. Commissioner*, T.C. Memo. 2011-148 (June 28, 2011).

Section 2036: Transfers with Retained Life Estate

A Textbook Example of Retained Enjoyment, But Sometimes Courts Don't Read Textbooks.

The decedent signed a deed in May, 2000, that conveyed a 49% tenancy-in-common interest in New York City property to her son. The decedent and her son resided on the first two floors of the property, and the remaining three floors were leased to an unrelated business that paid rent of \$9,000 per month. The deed was misplaced by the closing company and not recorded until April, 2001, five months after the decedent's death in November, 2000. The decedent's executors filed a gift tax return to report the gift to the son and included the decedent's 51% interest in the property on the estate tax return. The Service assessed separate notices of deficiency, claiming first that the decedent's gift to her son was incomplete as of the date of her death because the deed had not yet been recorded. The Tax Court held the gift was complete because New York law does not depend on recordation of a deed for a transfer to be complete. The Service then argued that the entire value of the property was includible in the decedent's gross estate under § 2036(a)(1) because she continued to reside at the property and received all of the rental income from the commercial tenant. The court agreed, holding that the decedent's receipt of the rental income was sufficient to trigger inclusion in her gross estate of the full value of the property. (No mention is made of the impact of her retained occupancy of the property, likely because her retained rights in 100% of the rental income were sufficient to reach its holding.) The estate argued that there was an agreement between the decedent and her son to split the profits from the rents at some future point, but the court found the testimony on this point lacked credibility. The estate also argued that it should be entitled to deduct all of the property taxes related to the property even though they were paid by the son. The court held that because the taxes were not due until after the decedent's death, no deduction was permitted. On appeal, a divided Second Circuit vacated the Tax Court's decision and remanded the case for further findings of fact. The appellate court was unconvinced that the Tax Court sufficiently indicated the decedent's retained interest in 100% of the property. Certainly there was no evidence of any implied agreement that the decedent would retain enjoyment of "the *residential* portion" of the son's 49% interest. "Decedent did not have exclusive possession of, nor did she exclude [her son] from, [his] 49% interest in the Manhattan property—or, for that matter, the entire property. ... [W]here, as here, the Tax Court has made no specific findings relating to enjoyment of the residential portion of the property, and the Commissioner points to nothing besides the mere co-occupancy between the donor and the donee, a conclusion based on an implied agreement concerning the residential portion cannot stand." But the Second Circuit held that the Tax Court was not erroneous in finding "an implied agreement that Decedent would enjoy for her life the substantial *economic* benefit of some part—indeed, perhaps all—of the rental portion of the Manhattan Property." Still, it needed to remand the case to determine "the extent to which Decedent enjoyed the substantial economic benefit of [the son's] 49% interest during her life. And, because the Tax Court did not consider 'all facts and circumstances surrounding the transfer and subsequent use of the property,' it is appropriate to vacate and remand so that the Tax Court may do so." Writing in dissent, Judge Livingston observed that the majority "does not—and cannot—explain how the

Tax Court clearly erred as a factual matter in concluding that [the decedent] retained all these benefits, given that her relationship to the property changed in *not one significant respect* from the period preceding transfer to the period after. Instead, the majority, misreading a body of case law that primarily involves transfers of 100% of a family member's interest in a property to another family member, concludes that post-transfer co-occupancy is near-conclusive evidence that the transferor can no longer enjoy the substantial economic benefits of residence to the extent of the transferred interest. Indeed, the majority finds such co-occupancy dispositive even here, where the transfer concerned only a fraction of the transferor's interest, created a tenancy in common that guaranteed the transferor continued access to the entirety of her property, and involved a transferor and transferee who the majority agrees were found *correctly* by a court of law to have reached an agreement undercutting the economic substance of the very transfer under consideration. This turns the proper—and longstanding—construction of section 2036 on its head. It also opens up a loophole that will vitiate to a considerable degree the efficacy of this section....” *Estate of Stewart v. Commissioner* (2d Cir., August 9, 2010).

A Strange Case of Retained Enjoyment. You may want to draw a map in the margins to follow the facts of this one. The decedent came from China to the United States in 1962. Until 1973, she lived with three of her four children in San Mateo, California. In 1973, the decedent's boyfriend bought a house for her. More accurately, he paid the entire purchase price and kept title to the property in his name. The decedent moved into the house and lived there rent free. In 1988, at the urging of her daughter and son-in-law, the decedent asked the boyfriend if he would be willing to sell the house to her. He was willing to do so, but he smelled a palimony claim so as part of the deal he had the decedent sign a release. Under their agreement, the boyfriend sold the house for \$250,000, with the decedent paying \$170,000 down and giving a secured note for the balance. Interestingly, the funds used to supply the down payment and the other payments came from the daughter and son-in-law and not from the decedent. On the same day she got title, the decedent conveyed title to the house to herself and two of her grandchildren (daughters of the daughter and son-in-law) as joint tenants. In 1994, the decedent had the granddaughters re-convey title back to the decedent, though the decedent said nothing about this to her daughter or son-in-law. After dumping the house into her revocable living trust in 1997, the decedent in 1999 conveyed the house from her trust to the daughter and three of the daughter's daughters. The decedent died in 2000, and the estate took the position that no portion of the home should be included in her gross estate. The Service determined that the house should have been subject to estate tax, so a deficiency ensued. Before the Tax Court, the decedent's personal representative (her son) argued that the decedent lacked any ownership interest in the house because the purchase price was paid by the daughter and son-in-law. In effect, said the estate, the decedent was their agent. The Tax Court rejected this claim, concluding that just because the daughter and son-in-law provided the funds for the purchase it does not necessarily mean the decedent was acting as their agent. The court rejected testimony that the property was titled in the decedent's name in order to shelter it from the son-in-law's business creditors. This didn't hold water because the son-in-law owned other parcels of real property, and creditor protection does not appear to be an issue with respect to those parcels. Moreover, said the court, the decedent did not merely have legal title—she also lived in the home. That convinced the court she had a beneficial interest in the property. The estate argued that the daughter and son-in-law had some interest in the property too given their furnishing of consideration. The court refused to apply California's "resulting trust" doctrine here because the doctrine does not normally apply to transactions between parent and child. Such transactions are presumed to be gratuitous in nature, so a resulting trust is not normally invoked. Although the court agreed that the decedent intended to leave the house to her daughter and granddaughters, she still lived in the house rent-free from 1973 until her death in 2000. Though she had no legal title at the time of her death, the continued occupancy required inclusion in her gross estate under § 2036(a). *Estate of Van v. Commissioner*, T.C. Memo. 2011-22 (January 27, 2011).

Section 2036 Requires Gross Estate Inclusion, But Beneficiaries Can Claim Equitable Recoupment of Overpaid Income Taxes. In 1995, Mom and Dad formed a family limited partnership, to

which they contributed about \$450,000 in marketable securities. Dad died in 1996, and his interest in the partnership passed to a credit shelter trust. Dad's estate claimed a 35-percent blended marketability and minority interest discount with respect to the partnership interest. After Dad's death, Mom, acting at the advice of counsel, transferred additional marketable securities to the partnership. Correspondence from Mom's attorney told her that this additional contribution "is important if you wish to reduce the amount of your own estate, which will be subject to estate taxes." Following this, Mom and the credit shelter trust (acting through its corporate trustee) formed a second family limited partnership to hold assets that just got a freshly stepped-up basis upon Dad's death. This allowed Mom to make gifts of partnership interests in an entity holding high-basis assets. Mom contributed about 80 percent of the assets and the credit shelter trust contributed the remaining 20 percent of assets. In 1995, 1996, and 1998, Mom gave a total 30.6-percent interest in the first partnership to her children and grandchildren. In 1997 and 1998, she gave a total six-percent interest in the second partnership to the same beneficiaries. Late in 1998, Mom signed checks drawn on the first partnership's checking account to make cash gifts of \$10,000 to each of three family members. (It's worth noting that Mom was not a general partner of the first partnership.) And in early 1999, Mom wrote a \$48,500 check from the first partnership to her daughter. In April, 1999, Mom tried to repay these amounts to the first partnership, but she inadvertently paid the money to the second partnership. There were other instances of Mom using partnership funds for personal purposes: for instance, she used funds from the first partnership to pay her 1998 federal estimated taxes and some state taxes. She also paid some of Dad's estate administration expenses from the second partnership's checking account. Mom died in 2002, and her estate claimed a 21.6-percent discount in valuing her interest in the first partnership. It claimed a 42-percent discount in valuing her interest in the second partnership. In 2003, the second partnership paid \$211,000 for Mom's federal and California estate tax liabilities. The Service contended that § 2036(a) applied to require inclusion of the partnership assets in Mom's gross estate. The Tax Court agreed. Although the estate offered evidence of nontax reasons for the creation of the second partnership, the court found this evidence (a letter written one year after formation) lacked credibility. It was particularly bogus, thought the court, for the estate to claim that educating the junior generation about finances was a reason for the partnership since the kids were entirely uninvolved in the management of the partnership. Also, no books or records were ever kept for the entity. That Mom continued to make personal use of partnership funds demonstrated a failure to respect the formalities of the entities. Furthermore, Mom continued to enjoy personal use of the partnership assets, as evidenced both by her gifting from partnership accounts and from the partnership making post-death payment of estate taxes. There was one piece of good news: following Mom's death, the children and grandchildren sold several of the securities owned by the partnerships and paid the taxes associated with the resulting gains. Since those securities were now a part of Mom's estate, they were entitled to a stepped-up basis under § 1014, meaning that the children and grandchildren should not have been subject to as much tax on the subsequent sales. The Tax Court determined that "[i]t would be inequitable for the assets to be included in the value of [Mom's] gross estate under § 2036 on the one hand, and on the other hand, for the estate not to recoup the income taxes her children and grandchildren overpaid on their sale of those very same assets but are unable to recover in a refund suit. Accordingly, the estate is entitled to equitable recoupment of the 2003 income taxes overpaid by [Mom's] children and grandchildren as a result of our determination that the values of the assets [Dad] transferred to the partnerships are included in the value of her gross estate under § 2036." On appeal, the Ninth Circuit affirmed. The estate argued that because the amounts over which Mom retained some benefit were quite small, inclusion in her estate should be limited to the amount she actually accessed during her life. The court rejected the estate's premise that the amounts accessed by Mom were *de minimis*. The court affirmed the Tax Court's conclusion that there was an implied agreement that Mom could access any amount of the transferred assets; that she only accessed a portion of the assets does not undermine that conclusion. The court also agreed that the proffered nontax reasons for formation of the partnerships were either weak or not supported by the evidence. *Estate of Jorgensen v. Commissioner* (9th Cir., May 4, 2011).

Section 2053: Expenses, Indebtedness and Taxes

No Deduction for Interest Expense on Unnecessary Loan. The decedent's will left his residuary estate to a trust. Nine months after the decedent's death, the trust borrowed \$1.5 million from the decedent's family foundation to pay federal and state estate tax liabilities. The federal estate tax return claimed a \$656,250 interest expense deduction in connection with this loan. Likewise, the income tax returns filed by the estate for the three years in question (2004 through 2006) claimed interest expense deductions in connection with the loan. The Service disallowed the interest expense on the estate tax return, so the estate headed to Tax Court. The Tax Court held that the estate could not claim an interest expense deduction because the loan was not necessary for the estate to meet its tax obligations. Regulation § 20.2053-3(a) limits the deduction for administration expenses to those "actually and necessarily incurred in the administration of the estate." The court reasoned that the estate had sufficient liquidity to pay its tax obligations, and the estate introduced no evidence as to the necessity of the loan. Accordingly, there was no proof that the loan was necessary to the administration of the estate. The Service had also argued that the deduction was improper because § 642(g) precludes an estate from claiming an estate tax deduction for expenses claimed on income tax returns, but the court rejected this position, observing that § 642(g) "was promulgated to disallow an income tax deduction to an estate or any other person (which includes a trust) unless the estate waives its right to the § 2053 estate tax deduction. That section was not intended to address or pertain to the estate's entitlement to an estate tax deduction." *Estate of Stick v. Commissioner*, T.C. Memo. 2010-192 (September 1, 2010).

No Estate Tax Deduction for State Income Taxes Owed But Unpaid. In 1998, the decedent contributed convertible notes of a closely-held corporation to his wholly-owned investment company, a Delaware corporation. In 1999, the notes were converted to stock in a fully taxable transaction. By having his wholly-owned Delaware corporation exercise the conversion rights, the decedent hoped to avoid income tax liability in his home state (California). The decedent died in 2000, before the California income tax return for 1999 was filed. When the estate filed the state income tax return, it took the position that no state income tax was due from the conversion of the notes into stock. But the estate's Form 706 claimed a \$62 million deduction for California income tax as a claim against the estate. After reaching a settlement with the California Franchise Tax Board, the estate paid \$26 million to the State of California. The Service thus allowed a \$26 million deduction for estate tax purposes, but the estate brought a refund action based on the position of its expert that a \$47 million deduction was proper given the likelihood of success of the estate's claim as of the date of the decedent's death. The district court agreed with the Service that the amount of California's claim against the estate was not "ascertainable with reasonable certainty" as of the date of the decedent's death, since, after all, the decedent went to some length to shelter the note conversion transaction from California income tax and there was a chance his efforts would succeed. Since California's claim to taxes at the date of death was at least "in dispute" or "contingent," the court found it proper under *Propstra* to consider post-death events. Since the \$26 million settlement after death could be considered, it was easy for the court to conclude that this should be the proper amount of the deduction. The court also held that the estate was stopped from trying to argue for a larger deduction since it had taken the position in its dispute with the California Franchise Tax Board that the transaction was not subject to California income tax, and that position helped it to achieve a \$26 million settlement. An estate tax deduction for \$47 million or more is premised on the notion that the transfer to the Delaware corporation was a sham, and that's too inconsistent with the estate's prior position. *Marshall Naify Revocable Trust v. United States* (N.D. Cal., September 9, 2010).

Palimony Claim Deductible. Bernard and Cora met in 1977, and in 1978 Cora moved in with him. They never married. In 1999, when she caught Bernard cheating on her, Cora moved out and brought a claim for palimony under Nevada law. Bernard died while the suit was outstanding. His estate deducted the value of Cora's claim (estimated to be \$8 million) on the federal estate tax return. In 2001,

the litigation settled, and the estate paid Cora \$1 million. The Service denied the estate's deduction, so the estate sought a refund. The lower court held that no deduction was proper because Cora's claim was not supported by consideration. Section 2053(c)(1)(A) provides that in the case of claims founded on a promise or agreement, a deduction is only allowed "to the extent that they were contracted bona fide and for an adequate and full consideration in money or money's worth." According to the lower court, Cora's contributions to the household ("twenty-two years of cooking, cleaning, and other homemaking services") did not constitute consideration in money or money's worth, citing a long line of cases. On appeal, a divided Ninth Circuit reversed, concluding that while "the Nevada Supreme Court has not addressed the sufficiency of homemaking services as consideration for a contract to share property, California cases have held that a promise to perform homemaking services is adequate to support such a contract. And under Arizona law, which, like Nevada and California, recognizes the right of unmarried cohabitants to contract to share property, homemaking services may constitute adequate consideration for such a contract. ... [W]e think it is likely that Nevada would join those California and Arizona courts...." *Estate of Shapiro v. United States* (9th Cir., February 22, 2011).

No Deduction for Pending Litigation Claim Under Old Regulations. The decedent was the surviving spouse of an attorney who was accused of acting as a secret informant for the Service against the interests of one of his clients. The survivors of the client brought a \$90 million malpractice action against the attorney's estate for breach of confidence, breach of the duty of loyalty, and fraudulent concealment. The lawsuit was brought only 64 days before the decedent's death in November, 2004. The attorney's estate engaged in ongoing settlement conferences, but the case ultimately went to trial. In 2007, the jury determined that the attorney had breached duties to the client but that these breaches were not a legal cause of injury or damage to the client or the client's estate. The client's estate appealed, but the attorney's estate paid \$250,000 in attorney's fee to the client's estate in exchange for a full settlement and mutual release of all claims. On its federal estate tax return, filed in 2006, the decedent's estate claimed a \$30 million deduction for the malpractice claim. In its notice of deficiency, the Service reduced the amount of the deduction to \$1 (yes, one dollar), and this led the Service to assess a \$14.4 million deficiency. The decedent's estate ran to the Tax Court to determine the deductibility of the contingent liability. Regulations finalized in 2009 make clear that a deduction will only be allowed for claims actually paid, but the applicable regulations in effect at the decedent's death provided that a contingent claim could be deducted even "though its exact amount is not then known, provided it is ascertainable with reasonable certainty, and will be paid." The Tax Court decided to pay no attention to the actual result of the litigation but to instead focus on the value of the claim as of the date of the decedent's death. The three appraisals submitted by the estate presented an array of different values, proving that the amount of the claim was not determinable with reasonable certainty. One report that valued the claim at \$30 million was "fraught with vague and uncertain guesstimates, without any objectively reliable discussion of the strength of the defense." Further, there was no proof "that the \$30 million claimed on the estate tax return or any specific lesser amount would be paid, as required by the applicable regulation." Thus the deduction was limited to the amount actually paid during the administration of the decedent's estate. *Estate of Saunders v. Commissioner*, 136 T.C. No. 18 (April 28, 2011).

No Deduction for Claim Related to Son's Care-Giving Absent Better Evidence of Compensation Agreement. The decedent died intestate in 2003, survived by two sons and two daughters. One of the sons lived with the decedent at her death. He was a licensed attorney, but he primarily served as the decedent's caretaker until her death. He started caring for her in 1994, when the decedent suffered a compression fracture of her lower spine from a fall. The accident left her nearly paralyzed in both legs. In the last years of the decedent's life, the son purchased a Hoyer lift that helped to move the decedent between her bed and wheelchair. The son helped her with getting dressed, using the bathroom, and bathing. Because the decedent was diabetic, the son had to test the decedent's blood levels several times each day. He also prepared meals and did general housekeeping. The decedent's estate tax return

(prepared by the son) claimed a deduction of \$1.24 million for the debt the estate owed to the son for his care-giving services. The debt was allegedly pursuant to an agreement between the decedent and the son to compensate him for his services in caring for her. At trial, the son testified that the decedent had offered to pay him \$1,000 per week for the care-giving, but the son suggested that \$200 per day would be better. He testified that because he was concerned about his mother's finances, he suggested that she defer payments until her death. According to him, the decedent agreed to pay him \$400 per day "to avoid a complicated interest calculation." Unfortunately, the agreement was never reduced to writing, and there were no other witnesses or corroborating evidence. Under applicable state law (New Jersey), observed the Tax Court, an oral promise of a decedent has to be proved by clear and convincing evidence. This self-serving and "improbable" testimony did not do the trick. Heck, this wouldn't meet a preponderance standard, much less a clear and convincing standard. Given the son's training and experience as an attorney, how contentious the probating of his father's estate had been, the apparent animosity between him and one sister, and his vested interest in ensuring that he would receive compensation from his mother pursuant to the alleged agreement, the court did not believe that the son would have forgotten to reduce the agreement to writing. The estate argued that the son was entitled to some recovery under *quantum meruit*, but local law presumes that services rendered to family members living in the same household are done so gratuitously. The claimed deduction was therefore disallowed. *Estate of Olivo v. Commissioner*, T.C. Memo. 2011-163 (July 11, 2011).

Section 2055: Transfers for Public, Charitable, and Religious Uses

Settlement Paid to Charitable Trust as Intended Beneficiary of a Bungled Will Qualifies for Charitable Deduction. Thanks to a scrivener's error, the decedent's last will made no provision for the residue of the estate. The decedent's son claimed that he was entitled to the residue because he was the decedent's sole intestate heir. But a charitable trust created by the decedent 28 years before his death claimed it was the intended residuary beneficiary. It based this claim on the fact that the will referenced the trust as a "a remainder beneficiary." Eventually, the estate, the son, and the charitable trust reached an agreement whereby the son would receive \$5.6 million in cash and a parcel of West Virginia real property while the charitable trust would receive a little over \$11.7 million. The estate claimed a charitable deduction for the \$11.7 million paid to the trust, but the Service disallowed the deduction on the grounds that it was paid from the son and not from the decedent's estate pursuant to the will. In the estate's refund action, the court therefore had to determine whether the charitable trust had an enforceable right to the residue apart from the settlement agreement. If so, a charitable deduction would be proper. If not, then the Service had to be right that the payment really came from the son and not from the decedent's will. The court decided that the charitable trust did have a right to the residue, so it upheld the deduction claimed by the estate. The decedent's last will, "unlike all prior wills and other testamentary documents, did not contain a residuary clause; but all prior iterations left the residuary estate to the Charitable Trust. Moreover, there is unrefuted evidence that [the decedent] intended the [last] Will to continue to provide the residuary estate to the Charitable Trust. ... Finally, there is no evidence that [the decedent] intended to disinherit the Charitable Trust. To the contrary, there is ample evidence demonstrating that the only reason that the [last] Will did not contain a residuary estate clause was due to a scrivener's error on the part of the testator's attorney." *Estate of Palumbo v. United States* (W.D. Penn., March 9, 2011).

Section 2056: Bequests, Etc., to Surviving Spouse

Testator's "Desire" Under Will is Mandatory, Not Precatory. The decedent's will provided, in relevant part, that "To the extent that I own any equity interest at my death in any of the following closely held investments, i.e. [redacted], it is my desire that such equity interests be retained and that each of them be distributed so that all such equity interests are ultimately owned in equal shares by [my children]."

If any of them are deceased, it is my desire that the decedent's share of such equity interests be owned equally by such decedent's children.” The will also includes specific bequests to the decedent’s spouse, as well as for the disposition of the estate’s residue to a family trust (one in which the spouse has no interest). The issue is whether the language “it is my desire” is mandatory or precatory. If it is mandatory, then the assets described in the quoted language will pass to the decedent’s children as a specific bequest. If the language is precatory, those assets will pass to the family trust as part of the residue. This matters because if there is a specific bequest of the assets, the size of the marital deduction will be reduced. (If the assets pass through the residue, they can be used to pay debts of the estate and that will eat less into the marital deduction share.) The Service ruled that under applicable state law, the language is mandatory. Another provision in the will speaks to the decedent’s “desires,” but that wording is accompanied by specific language making clear that there is no obligation to comply those desires. The quoted excerpt above does not contain that specific language, suggesting that the decedent intended the language to be an instruction and not merely a wish. The quoted language also includes survivorship provisions, similar to other clear bequests provided in the will. Accordingly, the Service determined it was proper to reduce the marital deduction to a greater extent than would have been the case had the estate's interpretation prevailed. *Technical Advice Memorandum 201126030* (July 1, 2011).

Section 2511: Transfers in General

Same-Day Gifting Opens the Door for Indirect Gift and Step Transaction Arguments, But Maybe the Taxpayers Here Are Okay. William and Stacy, a married couple, engaged in some basic estate planning starting in November, 2002, when William formed a limited liability company. On January 22, 2003, documents were flying fast and furious as a number of events took place: (1) William gave half of his interest in the LLC to Stacy; (2) William conveyed raw land to the LLC; (3) William authorized the transfer of securities, municipal bonds, and cash to the LLC; (4) William assigned other (unnamed) assets to the LLC; (5) William and Stacy signed four trust agreements, one for each of their kids; and (6) William and Stacy each gifted an 11.25 percent interest in the LLC to each of the trusts (so each trust held a 22.5 percent interest). The brokerage house confirmed the transfer of securities to the LLC on January 24, 2003. William and Stacy filed gift tax returns in connection with these events, reporting taxable gifts in the neighborhood of \$725,000 each. After examining both returns, the Service concluded that their taxable gifts were in excess of \$1.5 million each. William and Stacy paid over \$500,000 in additional gift taxes and then sued for refund. The Service’s position is that William and Stacy made indirect gifts of the assets contributed to the LLC. Alternatively, said the Service, William and Stacy should be deemed to have gifted the assets contributed to the LLC through application of the step transaction doctrine. The Service’s indirect gift argument hinges on the fact that gifts of LLC interests were made on the same day that assets were contributed to the entity. The lawyer for William and Stacy testified that he was the one who dated the trust agreements and gift documents a few months after the transactions when preparing the LLC’s minute book. He testified that he made a mistake in writing January 22 as the date because the intended date for the creation of the trusts and the gift transfers was January 31. The district court observed that where partnership or LLC interests are gifted prior to the capital contributions, there is precedent to indicate that an indirect gift of the contributed assets has occurred. On the other hand, where capital contributions are made prior to gift transfers, other cases indicate there is no indirect gift of the contributed assets. Where the sequence of capital contributions and gift transfers is unclear, however, precedent from the Eighth Circuit suggests that an indirect gift will be deemed to have occurred. The court agreed with the Service that the sequence of events here was sufficiently unclear to conclude that an indirect gift took place. Although the lawyer testified that the trusts and gifts were to take effect on January 31 and not the same day as the funding of the LLC, the court noted that “[e]ach Trust Agreement indicates that it is effective upon contribution of property to the Trust, and that, at the time of its signing, property consisting of interests in [the] LLC had been transferred to the Trustee. In turn, in executing each Trust Agreement, the Trustee ‘acknowledge[d]

receipt of such property.’ In addition, the Gift Documents each recite that the respective Trusts are ‘dated the same date hereof.’ Thus, the express language of these documents establishes that the Trusts were created and the gifts were made on January 22, 2003; on that date, when the Trust Agreements were signed, percentage interests in [the] LLC had already been or were contemporaneously gifted to the Trusts, thereby making the Trusts effective.” On this issue, the Ninth Circuit reversed. The court observed that under applicable state law (Washington), a completed gift requires an intention of the donor to give a subject matter capable of delivery, a delivery, and acceptance by the donee. The key issue here is when the donors intended to make a gift. Sure, the gift documents themselves are dated as of January 22, 2003, but “the story is more complex. First, the gift documents were not dated on January 22, 2003, which creates considerable objective ambiguity as to the [taxpayers’] intent to make the donation effective on that date. More importantly, execution of a gift document, alone, is not a sufficient objective manifestation of an intent to donate. ... Most often, the writing will be effective ‘when the donor puts the document beyond retrieval’ by delivering the document to the donee. We assume this rule applies in Washington. So the execution of the gift documents on January 22, 2003 was alone not enough to make the gifts effective on that date. To know when the [taxpayers] objectively manifested the intent to donate the LLC interests, we must know when they put the gift documents ‘beyond retrieval’ or otherwise objectively manifested an intent to make them effective. ... [W]e do not see evidence of when they did so in the record before us, so we reverse and remand for such proceedings as the district court finds necessary to make that determination.” The district court had also ruled that even if William and Stacy could prove that the events took place in the proper sequence, an indirect gift occurred here under the step transaction doctrine. The lower court held that the funding of the LLC, the establishment of the trusts, and the gifts to the trusts were a series of steps that should be viewed as a single transaction (i.e., the gift of a 90 percent interest in the various assets). Here too the Ninth Circuit reversed, finding that each transaction undertaken by the taxpayers (creation of the LLC, capitalizing it, creating the trusts, and the gifts of LLC interests to the trusts) was sufficiently independent of the others to be respected. As the court observed, “The placing of assets into a limited liability entity such as the LLC is an ordinary and objectively reasonable business activity that makes sense with or without any subsequent gift. In *Holman v. Commissioner*, the Tax Court stated that the creation of a limited partnership was not necessarily ‘fruitless’ even if done in anticipation of gifting partnership interests to the taxpayers’ children. The [taxpayers’] creation and funding of the LLC enabled them to specify the terms of the LLC and contribute the desired amount and type of capital to it—reasonable and ordinary business activities.” Accordingly, the government was not entitled to summary judgment on the application of the step transaction doctrine. *Linton v. United States* (9th Cir., January 21, 2011).

Transfers to End Discord Are Neither Gifts Nor Dispositions of Qualifying Income Interests.

Anytime you see parties named Spouse 1 and Spouse 2 in a redacted private letter ruling, you know there’s a good story there somewhere. Here, Decedent and Spouse 1 created and funded a revocable living trust. When Spouse 1 died, Decedent’s married Spouse 2 (hey, they got the order right—it would have been awkward to marry Spouse 2 first). Decedent then executed an amended and restated living trust. When Decedent died, the trust became irrevocable. Spouse 2 is still around, as are Child 1 and Child 2 (children of Decedent and Spouse 1, not Dr. Seuss). There are also grandchildren and great-grandchildren in the picture. Spouse 2 and an unrelated individual serve as co-trustees of the trust as well as a testamentary marital trust established at the death of Decedent. The marital trust was funded with cash, stocks, and ownership interests in various entities holding real estate. Most of those entities were co-owned by the marital trust, Child 1, and Child 2. Child 1 was the manager of most of the entities. More than two years after Decedent’s death, discord ensued. Ultimately, the parties negotiated a settlement under which the marital trust will buy the interests of Child 1 and Child 2 in several of the real estate entities and, in turn, Child 1 and Child 2 will buy the marital trust’s interests in the other real estate entities. That way, each entity will be wholly-owned by either the marital trust or the tandem of Child 1 and Child 2. All transactions will be at fair market value, and to the extent there is any difference in the aggregate value of consideration passing between the parties, an equalizing payment will be made.

Values will be determined by two commercial appraisers selected by a retired judge. The Service ruled that the exchanges will be the result of a bona fide adversarial proceeding and negotiations at arm's-length. Indeed, the exchanges were the result of a court-ordered mediation proceeding presided over by a retired judge. Provided the exchanges are at fair market value, then, the transfers will be made for an adequate and full consideration in money or money's worth and will thus not be subject to the gift tax. Furthermore, said the Service, Spouse 2 will still have a qualifying income interest for life in the assets of the marital trust following the exchanges, and Spouse 2's right to income will not be diminished or relinquished. Thus, there is no disposition of a qualifying income interest for purposes of § 2519. *Private Letter Ruling 201119003* (May 13, 2011).

Formula Clauses Help Clear the Purple Haze. The taxpayers and their three adult daughters were the shareholders of a closely-held corporation formed in 1976. The taxpayers held 51 percent of the common stock and all of the preferred stock. At the advice of counsel, they decided to convert the company to an S corporation, which required the redemption of the preferred stock. The redemption happened in 1997 and the S election took effect in 1998. As part of the conversion, the taxpayers exchanged their common stock for voting and nonvoting shares. Sometime in 1999, the taxpayers decided to make gifts of their stock to their daughters and to charity. Their lawyer advised them to use a formula clause to define the contemplated stock transfers in terms of dollars rather than in shares or percentages. Accordingly, each taxpayer irrevocably assigned 287,619.64 shares of nonvoting stock to a dynasty trust and the Greater Houston Community Foundation pursuant to a formula under which “(1) A portion of the assigned shares have a fair market value ... equal to \$10,519,136.12 was assigned to the trustees to be held in equal shares for the benefit of the daughters, and (2) any remaining portion of the assigned shares was assigned to the Foundation for the benefit of the [taxpayers'] donor-advised fund.” Similar transfers split between a different trust and the foundation happened the same day. Before the Tax Court, the Service argued that the use of the formula clause was invalid because it was not reached at arm's length and because such clauses are contrary to public policy. Having determined that the per-share value of the company was \$48.60, the Service determined that the total charitable contribution deduction was only about \$66,000 (based on the number of shares the foundation actually received) and that the taxable gift from each taxpayer was substantially higher than what was reported (so much so that the Service determined a deficiency of nearly \$7 million). This case is appealable to the Fifth Circuit, and in another case that court upheld the use of a formula clause. But as the Service argued, that case (*McCord*) did not address the two arguments the Service now advanced, so the Tax Court held the prior case was not controlling. The court held that the formula clauses were at arm's length. Although the taxpayers and their daughters were close, it does not automatically follow that the formula clause is not at arm's length. The daughters had economic risk in connection with the formula (they would get less if the stock was over-valued), so they were sufficiently at odds with the taxpayers and the foundation for this purpose. There was also no evidence of collusion between the parties. The court also rejected the Service's argument that formula clauses violate public policy. Indeed, to the extent the use of such clauses actually encourages gifts to charity, a “fundamental public policy,” they actually serve (not frustrate) public policy. Having determined that the formula clause was proper, the court then determined that the taxpayers' valuation of the shares was reasonable. That meant the deficiency determination was without merit. *Hendrix v. Commissioner*, T.C. Memo. 2011-133 (June 15, 2011).

Formula Clause Respected, and Added Gifts to Charities are Deemed to Occur at Time of Original Transfers. In 1982, the decedent inherited a large block of UPS stock from her uncle. She transferred the stock to a family LLC. The decedent reserved a fixed number of ownership units in the family LLC for herself (including all of the voting units), assigned (through gift and sale transactions) a fixed dollar amount of the remaining units (with a combined value of about \$9 million) to two trusts for the benefit of two of her children, and gave the remainder to two charities, the Seattle Foundation and the Kitsap Community Foundation. When the Service determined that the value of the family LLC was higher than first claimed on the gift tax return that reported the transfers, the Tax Court had to decide

whether to honor the formula clause used by the decedent and allocate more shares to the charities. The decedent “claims that she gave stock to her children equal in value to her unified credit and gave all the rest to charity. The Commissioner claims that she actually gave a particular number of shares to her children and should be taxed on the basis of their now-agreed value.” The court held that the decedent used an effective formula clause, not a void savings clause. “The plain language of the documents shows that [the decedent] was giving gifts of an ascertainable dollar value of stock; she did not give a specific number of shares or a specific percentage interest in the [family LLC]. Much as in *Christiansen*, the number of shares given to the trusts was set by an appraisal occurring after the date of the gift.” Having determined that the formula clause was valid, the court had to tackle a second issue. As the court explained, “[t]he question is how to measure the size of the gift on which tax is owed: We have to multiply the new value of the shares by the number of shares going to the charities, but is it the number of shares before or after the reallocation?” The decedent wanted to deduct the entire amount eventually passing to the charities on the 2002 gift tax return, but the Service argued that only the units actually passing in 2002 should be deductible on that return; units passing later because of the revaluation should be deducted on a later return. The court adopted the decedent’s position: “In the end, we find it relevant only that the shares were transferred out of Anne’s name and into the names of the intended beneficiaries, even though the initial allocation of a particular number of shares between those beneficiaries later turned out to be incorrect and needed to be fixed.” On appeal to the Ninth Circuit, the Service argued that the formula clause rendered the additional gift to charity subject to a condition precedent, meaning that the additional shares transferred after reallocation could not qualify for a deduction under Regulation § 25.2522(c)-3(b)(1). The Service reasoned that the second transfer of shares to the charities was conditioned upon an audit and successful challenge of the value of the LLC units, and that is a condition precedent. The Ninth Circuit rejected this claim, saying that the Service’s successful attack on the value of the units did not give the charities rights to receive additional units. Instead, the audit merely ensured the charities would receive those units they were always entitled to receive under operation of the formula clause. The transfer documents were clear that the charities were always entitled to a predefined number of units. Though the formula to compute that number had one unknown variable (the value of the LLC units at the time of transfer), but that value was a constant, so before and after the audit the charities were entitled to the same number of units. The court thus affirmed the Tax Court’s decision. *Estate of Petter v. Commissioner* (9th Cir., August 4, 2011).

Section 2518: Disclaimers

Don’t Forget to Disclaim Your Intestacy Interest Too. Frank Senior, a resident of Mississippi at his death in 1987, executed a will that left 60% of his residuary estate to Frank Junior and 20% each to his two grandsons, both the children of Frank Senior’s predeceased son. The residue included some stocks. Frank Junior disclaimed his interest in the stock. The local probate court approved the disclaimer and ordered that the disclaimed stock shall pass to Frank Junior’s kids as if Frank Junior had predeceased Frank Senior. The Service argued this was a gift by Frank Junior to his kids, so it assessed a gift tax deficiency. This was not a qualified disclaimer, said the Service, because the disclaimed stock passed to Frank Junior by intestacy, in violation of the requirement that the disclaimed property pass either to the decedent’s spouse or to someone other than the disclaimant. The district court agreed with the Service, observing that the will did not provide for an alternate disposition of the residue if a beneficiary disclaimed his interest. Under Mississippi, that forced the property to pass by intestacy, which meant it ended back in Frank Junior’s hands. Yes, Frank Junior disclaimed his interest in the stock under the will, but he never disclaimed any intestate interest he might have in the stock. The good news is that the result would be different if Frank Senior had died on or after July 1, 1994, because on that date Mississippi adopted the Uniform Disclaimer of Property Interest Act. The act would have provided that the disclaimed interest should pass as if Frank Junior had predeceased Frank Senior, in which case the

property could not have passed to Frank Junior through intestacy. *Estate of Tatum v. United States* (S.D. Miss., October 6, 2010).

Section 2703: Certain Rights and Restrictions Disregarded

Lack of Business Purpose Dooms Discounts for Family LLC. The taxpayers, mother and father, transferred a parcel of Michigan lakefront property to an LLC. Over the course of three years, the taxpayers gave 4.762% interests to each of their seven children. The LLC's operating agreement stated that the primary purpose of the entity was to engage in the business of investing and holding real property. The agreement also stated that the entity was formed for other reasons, including keeping the lakefront property available for the personal use of its members, discouraging business disputes among family members, preventing partition of the lakefront property, and protecting the lakefront property from the creditors of the LLC's members. The LLC's operating agreement also provided that the timing and amount of all distributions would be determined by the entity's general manager (meaning no other member could compel a distribution for any reason and no distributions were required). Holders of an LLC interest were permitted to transfer only a profits interest in the LLC, and even then the entity held a right of first refusal before any such transfer could take place. The taxpayers claimed annual exclusions and applicable valuation discounts for the gifts to their children each year. The Service disallowed the annual exclusions and also challenged the claimed discounts. In an earlier case, the district court held that because the donees did not have a "substantial present economic benefit," the gifts were not eligible for the annual exclusion because they were not gifts of present interests. In this case, the court addressed the Service's arguments with respect to the applicable discounts. The Service contended that the transfer restrictions in the operating agreement should be disregarded under § 2703(b) because the LLC was not a "bona fide business arrangement." The district court agreed. It found no evidence of an investment strategy on the part of the taxpayers that was preserved or advanced through the LLC. Further, there was no evidence that any of the members made any ongoing investment in the lakefront property in order to increase its commercial value. Additionally there was no evidence of any acquisition or attempted acquisition of additional real estate by the LLC. Thus, the LLC did not appear to be conducting any business at all. Yes, the LLC employed a financial officer to manage the lakefront land's expenses, and yes, the members occasionally deposited money into the LLC's bank account for payment of such expenses. But this was not enough to make it a bona fide business arrangement. *Fisher v. United States* (S.D. Ind., September 1, 2010).

Section 3111: Rate of Tax

Dividend Payments to S Corporation Shareholder Recharacterized as Wages. The taxpayer is an S corporation, and its sole shareholder is also its sole officer, director, and employee. The taxpayer was a 25% owner of the accounting firm with which the employee-shareholder practiced as a CPA. For each of the taxable years at issue (2002 and 2003), the taxpayer paid the employee-shareholder a salary of \$24,000. But the taxpayer made distributions to the employee-shareholder of over \$200,000 in 2002 and \$175,000 in 2003. The Service took the position that a good chunk of the distributions really represented wages, so it assessed \$48,519 in taxes, penalties, and interest against the taxpayer. After paying a portion of this amount, the taxpayer commenced a refund suit. At the federal district court, the taxpayer argued that because there is no minimum amount of salary required to be paid to a shareholder-employee, its intent to limit compensation to \$24,000 annually should be controlling. But the court found the authority cited by the taxpayer to have little relevance. It instead gave weight to "relevant IRS rulings and case law that are more in line with the facts of this case." The court held that "the characterization of funds disbursed by an S corporation to its employees or shareholders turns on an analysis of whether the 'payments at issue were made . . . as remuneration for services performed.' This approach conforms with

well settled jurisprudence holding that tax consequences are governed by the economic realities of a transaction, not by the form of the transaction or labels given it by the parties. Thus, a determination of whether funds are ‘remuneration for services performed,’ must be made ‘in view of all the evidence.’ While intent is unquestionably a consideration in the analysis, it is by no means the only one. Other relevant considerations include, but are not limited to: 1) the employee's qualifications; 2) the nature, extent and scope of the employee's work; 3) the size and complexities of the business; 4) a comparison of salaries paid with the gross income and the net income; 5) the prevailing general economic conditions; 6) comparison of salaries with distributions to stockholders; 7) the prevailing rates of compensation for comparable positions in comparable concerns; 8) the salary policy of the taxpayer as to all employees; and 9) in the case of small corporations with a limited number of officers the amount of compensation paid to the particular employee in previous years.” Here, said the court, these factors lead to the conclusion that the Service was right to recharacterize a portion of the distributions as wages, especially given that someone with the employee-shareholder’s expertise “would unquestionably be expected to earn far more than a \$24,000 salary for his services.” *Watson, P.C. v. United States* (S.D. Iowa, December 23, 2010).

Section 6015: Relief From Joint and Several Liability on Joint Return

Tax Court Sticks to Its Guns in Declaring Two-Year Limitations Period for Equitable Relief Claims Invalid. Regulation § 1.6015-5(b)(1) provides that a taxpayer seeking innocent spouse relief under § 6015(f) (so-called “equitable relief”) must file the Form 8857 within two years from the date the Service first commences collection activity against the taxpayer. This is consistent with a two-year limitations period that the statute requires for relief requests under § 6015(b) (ordinary relief) and § 6015(c) (apportioned relief). In a prior decision, the Tax Court held (12-5) that the regulation was invalid. By not imposing a two-year limitations period on equitable relief claims, reasoned the majority, “Congress has ‘spoken’ by its audible silence.” The majority also reasoned that “[i]n order for (equitable) relief to be more broadly available than under the 2-year filing rule of subsections (b)(1)(E) and (c)(3)(B), a deadline under subsection (f) would need to be longer than 2 years.” That decision, however, was reversed by the Seventh Circuit. As Judge Posner reasoned, “if there is no deadline in subsection (f), the two-year deadlines in subsections (b) and (c) will be set largely at naught because the substantive criteria of those sections are virtually the same as those of (f).” In this case, the parties have stipulated that the taxpayer qualifies for equitable relief but for the fact that she filed her application for innocent spouse relief in 2008, more than four years after the Service initiated collection activity against her. The only issue, then, is whether the two-year limitations period in the regulation is valid. The Tax Court again held (9-5) that the regulation was invalid; therefore, the taxpayer was entitled to equitable relief. In rejecting the Seventh Circuit’s ruling, the majority observed that “[t]he Court of Appeals’ application of the 2-year limits in subsections (b) and (c) makes subsection (f) ineffective in situations where an innocent spouse is unaware of the need to or unable to contact the IRS for some of the very reasons that Congress considered in enacting section 6015,” including situations of abuse or fraud. Since an appeal of this case would be to the Sixth Circuit and not the Seventh Circuit, the majority was not compelled to follow the Seventh Circuit’s reversal. *Hall v. Commissioner*, 135 T.C. No. 19 (September 22, 2010).

Equitable Relief Available Despite Knowledge of Underpayment. Charles and Gail were married for 21 years before divorcing in 2004. Before they met, Charles started Signs of All Kinds, a sign-making business operated as a sole proprietorship. When they married, Gail left her job as a newspaper typesetter and became both a homemaker and the primary caregiver for the couple’s children. Gail did work in the business from time to time in a very limited role, and her tasks were limited to ministerial tasks like sign assembly, making bank deposits, and the like. She made no business decisions and did not know whether and to what extent the business was profitable. In fact, their income was modest, and they struggled to make ends meet. Over time, their marriage “became increasingly rocky.”

Whenever Gail confronted Charles about unpaid tax liabilities, he would get “very angry” and would insist he would take care of the problem. After their divorce, Gail’s financial situation remained tight. She has worked as part-time as an in-home care giver, earning an average compensation of \$5,840. When the Service came after her in 2007 in connection with the couple’s cumulative unpaid tax liability of over \$230,000, Gail requested innocent spouse relief. The Service ultimately denied her request on the ground that she knew or had reason to know that the taxes reported on each return would not be paid. Gail ran to Tax Court hoping to secure equitable relief under § 6015(f). The Tax Court considered all of the factors from the equitable relief balancing test and concluded that Gail qualified for equitable relief. Gail was now divorced (good), the outstanding tax liability would cause economic hardship to Gail if relief was denied given her age, education, low earnings, and other factors (good), Gail knew when she signed the returns at issue that Charles was unlikely to pay the joint tax liability (bad), Gail has been compliant with the income tax laws since the divorce, but there were substantial omissions that appear to be honest mistakes (neutral), Charles exhibited abusive behavior when Gail questioned him about the tax liabilities (good), Gail was diagnosed with depression and is now receiving disability insurance benefits because of her poor health (good), and the divorce decree did not assign responsibility for outstanding tax liabilities to either spouse (neutral). On the whole, then, equitable relief was appropriate. *Drayer v. Commissioner*, T.C. Memo 2010-257 (November 23, 2010).

The Third Circuit Upholds the Two-Year Limitation on Equitable Relief Claims. In June of 2004, the Service first mailed a notice of intent to levy to Denise but she claimed she did not receive it. It wasn’t until November of 2006 that Denise sought innocent spouse relief. The Service denied the request as untimely, adhering to the two-year statute of limitations for seeking innocent spouse relief. The statute expressly forecloses two of the three avenues for relief if the request is made more than two years after the Service commences collection activity, but the statute is silent as to the third avenue, equitable relief. Denise argued that the Service should have considered her request for equitable relief, but the Service stood by its regulation that imposes a similar two-year limitations period on requests for equitable relief. The Tax Court had declared the regulation invalid, but on appeal the Seventh Circuit upheld the regulation as a reasonable interpretation of the statute. Since Denise’s case was appealable to the Third Circuit, the Tax Court was not bound by the Seventh Circuit’s decision, and it again held the regulation invalid. On appeal, the Third Circuit reversed. Applying *Chevron* deference, the court held that the statute did not clearly require a longer limitation period just because it was silent as to the time period for timely equitable relief requests. Thus the case turned on whether the regulation was a reasonable interpretation of the statute, and the Third Circuit held that it was. Denise wasn’t finished, however; she argued in the alternative that even if the regulation is valid it is subject to the doctrine of equitable tolling. Since this was a new argument raised on appeal, the Third Circuit remanded the case back to the Tax Court for a decision on that issue. *Mannella v. Commissioner* (3d Cir., January 19, 2011).

Innocent Spouse’s Story Tugs on Both Heartstrings and Cello Strings. Joan and Elmer were married in 1953 and stayed that way until his death in 2004. They had ten kids. He was an orthopedic surgeon and she was a homemaker and part-time professional cellist. Elmer never talked to Joan about this bank account or net worth, and she had no involvement in his practice. They lived frugally, though they sent the kids to Catholic school. The court noted that Elmer, who was later diagnosed with bipolar disease, abused Joan psychologically and that he often flew into fits of rage and exhibited extremely controlling behavior. Heck, one of their daughters attempted suicide because of his abuse. Elmer filed late joint returns for the years at issue (1964 through 1970!), and most of them showed no adjusted gross income and no liability for tax. Joan did not review the returns before signing them. The Service issued deficiency notices, which Joan and Elmer challenged. They lost, though, so the Service commenced collection proceedings. In 2006, Joan sought innocent spouse relief, but the Service denied her request. Joan brought this action in Tax Court but died before the court reached a decision. The Tax Court held that Joan was not entitled to relief under § 6015(b) because she signed the returns showing a zero tax liability when she knew or should have known otherwise because of the substantial amount of personal

expenditures. The court held she was also not entitled to apportioned relief under § 6015(c) because she could not establish which portions of the deficiencies were allocable to her. But the court then held that she was entitled to equitable relief under § 6015(f). Her circumstances were such that she was justifiably reluctant to challenge the treatment of any items on the joint returns for fear of further psychological abuse. Elmer's control over income and expenses meant that Joan did not receive any significant benefit from the nonpayment of tax for the years at issue, and the decision to send their children to private school was at her husband's choice, not hers. For these reasons, figured the court, equitable relief was appropriate. *Estate of Thomassen v. Commissioner*, T.C. Memo. 2011-88 (April 21, 2011).

Guess What? Tax Court Again Invalidates Regulation Imposing Two-Year Time Limit for Equitable Relief. Suzanne filed joint returns with Curtis for the years at issue (1999, 2002, and 2003). The 1999 return was filed on time but the 2002 and 2003 returns were not filed until 2004. All three returns showed tax due but none was accompanied with payment of tax. Suzanne signed the returns but she never reviewed or questioned them. Indeed, she “knew or should have known that the taxes reported on them were not fully paid, but she did not know that her former husband had omitted income from one of the returns.” In 2003, the Service issued a notice of intent to levy for 1999. Similar notices were issued in 2005 for the 2002 and 2003 returns. In the meantime, Suzanne and Curtis separated in 2004. As part of their final divorce decree, a state court allocated all of the couple's tax debts to Curtis and awarded him all of the proceeds from the sale of their home (he could then use the proceeds to pay the tax liabilities). When the Service closed in on Suzanne for collection, she requested innocent spouse relief, but her petition was filed in April, 2008, more than two years after collection activity began. The Service denied the request as untimely. The Tax Court held that notwithstanding contrary decisions from the Seventh Circuit and Third Circuit, it will continue to follow its position that the two-year deadline for equitable relief claims under the regulations is invalid. This case is appealable to the Eighth Circuit, so the Tax Court was not bound by those other decisions from the higher courts. The court went on to hold that Suzanne qualified for equitable relief. Although Suzanne did not show economic hardship and although she has a spotty track record of filing her own tax returns in the years following her divorce, the local court had assigned tax liabilities to Curtis, she did not significantly benefit from the failure to pay tax, she was unaware of some of Curtis' unreported income, and she is in poor health. On the whole, then, equitable relief was proper. *Pullins v. Commissioner*, 136 T.C. No. 20 (May 5, 2011).

Another Circuit Sides With the Regulation. Now the Fourth Circuit has joined the fray over the validity of the regulations' requirement that requests for equitable innocent spouse relief be filed within two years of the date on which the Service first begins its collection activities. In this case, Octavia and Robert split in 2000, but under their separation agreement they decided to file a joint return for that year. Robert prepared the return and it showed a \$6,464 refund due. But the Service found errors on audit and assessed a \$7,630 deficiency. Robert entered into an installment agreement to pay the deficiency, but then he filed for bankruptcy in 2005. So the Service started coming after Octavia. More than two years later, she requested innocent spouse relief. The Service conceded that she otherwise qualify for equitable relief, but it still denied her request since it was more than two years after collection activities started. Olivia found a friend in the Tax Court, as it ruled invalid the applicable regulation requiring requests to be filed within two years of collection activities. The Service appealed to the Fourth Circuit. It held that the regulation was valid as a reasonable interpretation of an ambiguous statute. While Olivia's interpretation may be the better one, the Service's interpretation was reasonable, and that is all that is required for the regulation be valid under *Chevron* deference. *Jones v. Commissioner* (4th Cir., June 13, 2011).

Service Relents and Abandons Two-Year Window for Equitable Relief Claims. The feud between the Tax Court and the various federal appellate courts has been resolved, as the Service has announced that, “in the interest of tax administration,” it will amend Regulation § 1.6015-5(b)(1) to provide that individuals requesting equitable innocent spouse relief need not submit a request within two years of the date the Service first begins collection activity against the requesting spouse with respect to

the joint tax liability. Until the regulation is modified, said the Service, individuals may rely on certain transition rules. Those requesting equitable relief after July 25, 2011, may do so without regard to when the first collection activity was taken, but requests must still be filed within the § 6502 10-year limitation period on collection (or, for any credit or refund of tax, within the § 6511 three-year limitation period). Those who have pending requests for equitable relief will have their requests considered even if the request was submitted more than two years after the first collection activity was taken (again, so long as the applicable period of limitation under § 6502 or § 6511 was still open when the request was filed). Those whose requests for equitable relief were denied solely for untimeliness may reapply for equitable relief after July 25, 2011, by filing a new request. New requests will relate back to the date of the original request. For those who argued the validity of the two-year deadline in a concluded judicial proceeding, the Service will treat those decisions as final and will take no additional action. Further, this decision is prospective only, so no refunds or credits will be available in connection with matters that have been finalized. *Notice 2011-70* (July 25, 2011).

Section 6081: Extension of Time for Filing Returns

Incomplete Extension Request Subjects Estate to Penalty. The decedent died on September 17, 2005. On June 16, 2006, three days before the estate tax return was due, the estate's CPA filed an extension request, but the form was incomplete. The submitted form left the field labeled "Extension date requested" blank, and the box indicating a request for extension of payment of the tax was unchecked. The form showed that the amount of estimated estate tax was over \$131,000, but the "amount of cash shortage" line on the form was left blank. The CPA included a letter with the incomplete form, and the letter indicated that the estate sought an extension for the payment of tax, but the letter did not state the period for which the extension was sought. On December 19, 2006, the CPA filed a federal estate tax return showing an estate tax liability of nearly \$1.7 million. The Service notified the estate in February of 2007 that because the estate tax had not been paid by the June 19, 2006, deadline, a penalty of about \$59,000 (plus interest of about \$70,000) was now due. The estate paid these amounts but then sought a refund, claiming that the CPA had properly requested an extension on June 16, 2006. But the Service said that because the extension request was improperly completed, it was as if no request had been filed. The district court agreed, granting summary judgment to the government. On appeal, the estate argued that the substantial compliance doctrine should apply, but the court said that application of the doctrine here would undermine the policies of the regulation relating to requests to extend the time for payment. The regulation ensures the Service has the information necessary to determine whether an extension of time to pay is warranted and, if so, to determine the appropriate length for that extension. The regulation reasonably asks that the period of the extension be stated on the request form, and the estate's form did not do this. The estate then argued that the Service had a duty to inform the estate that the extension request had been completed improperly. It maintained the Service should have given the estate a chance to amend the application or otherwise mitigate the application of the penalty. Because the Service did not do so, it should be estopped from collecting the penalty and interest. But the court observed that a party asserting estoppel against the Service must show that the Service engaged in affirmative misconduct that was more than merely negligent. That would require an affirmative misrepresentation or an affirmative concealment of a material fact, and the estate could not show either of these. Finally, the estate claimed it had reasonably relied on the CPA to file a complete extension request. But the court said that reliance on the CPA to file the form did not provide reasonable cause for failure to timely pay the estate taxes owed. The estate had the obligation to confirm that the extension had been properly requested and granted, and because it did not do so there was no exercise of "ordinary business care and prudence" required to provide reasonable cause for the failure to pay the tax. *Baccei v. United States* (9th Cir., February 16, 2011).

Section 6501: Limitations on Assessment and Collection

Treasury Maintains Basis Overstatements are Omissions from Gross Income Triggering Six-Year Statute of Limitations. While § 6501(a) generally provides for a three-year statute of limitations on the assessment of an income tax liability, § 6501(e) uses a six-year limitations period when a taxpayer omits from gross income an amount greater than 25% of the amount of gross income stated in the return. (In the case of a trade or business, the statute says that “gross income” for this purpose means gross receipts.) In 2009, Treasury issued temporary regulations essentially providing that, outside the context of a trade or business, any basis overstatement that leads to an understatement of gross income constitutes an omission from gross income for purposes of § 6501(e). In a reviewed opinion from the Tax Court in May, 2010, the court held that a basis overstatement is not an omission from gross income for purposes of triggering the six-year limitation period, citing a 1958 Supreme Court case interpreting the phrase for purposes of an earlier statute. Accordingly, it said, the temporary regulations were invalid. (Earlier cases from the Ninth Circuit and the Federal Circuit were consistent with this result.) That didn’t stop Treasury from finalizing the regulations. It maintains that “omits from gross income” is a phrase subject to multiple reasonable interpretations, so its interpretation to include basis overstatements as omissions from gross income should be entitled to deference. The Supreme Court’s interpretation, says Treasury, is not controlling here since it dealt with the predecessor to current § 6501(e). What’s that, Lassie? You smell a conflict brewing between Treasury and the courts? Just wait, girl. Just wait. *Regulation § 301.6501(e)-1* (December 14, 2010).

Seventh Circuit Sides with Treasury. The Fifth Circuit has sided with the Service in the issue of whether an overstatement of basis is an omission of income that, under § 6501(e), triggers a six-year statute of limitation for assessing an income tax liability instead of the normal three-year statute of limitations. In this case, the taxpayers, a married couple, reported stock sales on their 1999 returns, but the Service didn’t get around to assessing a deficiency on the grounds that they overstated their bases in the stocks sold until almost six years after the 1999 returns were filed. The taxpayers argued that the Service was too late, and the Tax Court took their side. But on appeal, the Fifth Circuit reversed. “[A]pplying standard rules of statutory construction to give equal weight to each term and avoid rendering parts of the language superfluous, we find that a plain reading of Section 6501(e)(1)(A) would include an inflation of basis as an omission of gross income in non-trade or business situations. It seems to us that an improper inflation of basis is definitively a “leav[ing] out” from “any income from whatever source derived” of a quantitative “amount” properly includible. There is an amount—the difference between the inflated and actual basis—which has been left unmentioned on the face of the tax return as a candidate for inclusion in gross income. ... If the omissions from gross income contemplated by Section 6501(e)(1)(A) were only specific items such as receipts and accruals, then the special definition [of “gross income” for purposes of a trade or business] would be, if not superfluous, certainly diminished. The addition of this [special definition] suggests that the definition of gross income for the purposes of Section 6501(e)(1)(A) is meant to encompass more than the types of specific items contemplated by the [Supreme Court’s earlier] holding.” The court finds its interpretation attractive because of its simplicity, not to mention the fact that it means it does not have to consider all of the other arguments from the parties. “While we are great fans of underwater archaeology, we don’t believe our wetsuits are needed at this time. To us, the clear, dry line from the language to the plain meaning of Section 6501(e)(1)(A) is preferable.” *Beard v. Commissioner* (7th Cir., January 26, 2011).

But the Fourth Circuit Sides with the Tax Court. The taxpayers, in anticipation of the sale of the assets of their business, engaged in a series of short sales in 1999 in order to increase the basis in certain assets (which would thus reduce their gain from the sale of the business assets). Their scheme didn’t work, as the Service determined nearly six years after the filing of their returns that the transactions were simply an artificial attempt to inflate the adjusted basis of certain assets. That resulted in a larger gain than the taxpayers reported, meaning deficiencies were issued. The taxpayers paid the amount due

and brought a refund suit in federal district court, claiming the Service was limited to a three-year statute of limitation for assessment of a deficiency in connection with their 1999 returns. The district court upheld a partial summary judgment for the Service, ruling that an overstatement of basis is an omission from gross income that triggers the six-year statute of limitations. But the Fourth Circuit reversed, concluding that the Supreme Court's original holding that an overstated basis is not an omission from gross income still applies even under the slightly different wording of the statute. That decision, says the Fourth Circuit, interpreted the phrase "omits from gross income," and that's the exact phrase used by § 6501(e)(1)(A). The court feels there is no, ahem, basis for concluding that the Supreme Court's decision was limited to cases involving a trade or business selling merchandise or services. As for Treasury's regulation to the contrary, the court held that it did not apply to the taxable year at issue and that it did not deserve *Chevron* deference because of the Supreme Court's earlier declaration that the statute was unambiguous. It thus applied a three-year statute of limitations, which effectively rescued the taxpayers. *Home Concrete & Supply, LLC v. United States* (4th Cir., February 7, 2011).

And So Does the Fifth Circuit. In a case involving similar facts faced by the Seventh Circuit in the *Beard* case, the Fifth Circuit has joined forces with the Fourth, Ninth, and Federal Circuits in holding that an overstatement of basis is not an omission from gross income for purposes of triggering the six-year statute of limitations. The Fifth Circuit reasoned that the purpose behind a longer assessment period is to give the Service a fighting chance in cases where the taxpayer's return offers no clue as to the omitted item. Thus, the six-year statute would apply both to an actual omission of an amount from the tax return and to the fundamental misstatement of the nature of an item reported in a tax return, as in both cases the Service is hard-pressed to detect the error. But a return that simply overstates the basis gives the Service enough information as to the nature of the item being reported that the Service is not at a disadvantage in discovering the true facts. Thus, said the court, an overstatement of basis that adequately puts the Service on notice of the nature of the item being reported is not an omission from gross income for purposes of triggering the six-year statute of limitations. Like other courts, the Fifth Circuit dodged the question of the appropriate deference owed to Treasury's regulation, finding the statute unambiguous on its face. *Burks v. United States* (5th Cir., February 9, 2011).

Federal Circuit Changes Its Mind and Sides with the Service. In 2004, the Service determined that the taxpayer's partners had overstated their outside bases (the basis in a partnership interest) in transactions reported on their 1999 returns. The partners brought an action in the Court of Federal Claims asking the court either to invalidate the Service's adjustment or to declare the Service's action time-barred under the applicable statute of limitations. Of course, this all comes down to whether the overstatement of basis is an omission from gross income that triggers the six-year statute of limitations instead of the usually applicable three-year limitations period. The Court of Federal Claims read a 1958 Supreme Court case to mean that an "omission" requires that something be "left out" and not something included but overstated. It thus held that a basis overstatement was not an omission from gross income. The lower court's decision pre-dated but was consistent with a different Federal Circuit case in which the appellate court held that an overstatement of basis was not an omission from gross income for purposes of triggering the six-year limitations period. Given that precedent, one would think the Service would be out of luck if it appealed. But appeal it did, pointing to the regulations issued in December, 2010. Those regulations make clear that the overstatement of basis is an omission from gross income that triggers the six-year limitations period. The taxpayer argued that to the extent the regulations contradict the Federal Circuit's earlier decision on the issue, the regulations are invalid. But the Federal Circuit said that *Chevron* deference requires the court to reconsider its prior holding. Since Treasury's interpretive regulations are now entitled to the same deference as legislative regulations, said the court, the new regulations must be seen as new controlling authority as long as they are "within the bounds of reason." The new regulations are a reasonable interpretation of "omits from gross income," said the court, so a different result must now follow. The taxpayer argued that even if the new regulations are valid, they cannot be applied retroactively to the case at bar. But the court observed that the regulations apply "to

taxable years with respect to which the period for assessing tax was open on or after September 24, 2009.” Because of the litigation between the parties, the assessment period was still open as of that effective date, even though the underlying transactions happened in 1999. Indeed, the limitations period will be open until the case reaches an “unappealable termination.” So the regulations can and do apply to this case. The taxpayer then made one last, desperate attempt at victory, arguing that the Service is unfairly trying to change the rules in the middle of the game. But the court held that just because the Service had not exercised its authority to interpret the statute until after losing this case at the lower court level, it was not precluded from making that interpretation and having courts follow respect it so long as it is reasonable. *Grapevine Imports Ltd. v. United States* (Fed. Cir., March 11, 2011).

The Tax Court Will Not Be Deterred. The taxpayer, a partnership, claimed a basis of about \$23.3 million in publicly-traded stock that it sold for about \$29.6 million in 2000. About five and one-half years after the filing of its information return for 2000, the Service determined that the basis of the stock had been incorrectly and artificially increased due to the taxpayer’s participation in a “Son-of-BOSS” tax shelter activity. When the Service issued a deficiency notice, the taxpayer ran to Tax Court (wait a minute, partnerships can’t run—ah, who cares, you get the idea). The taxpayer argued the three-year statute of limitation applied because the overstatement of basis was not an omission from gross income that triggered the six-year statute in § 6501(e). The Tax Court has previously held that the taxpayer’s interpretation is correct, but now Treasury has finalized regulations making it clear that basis overstatements are treated as omissions of income for purposes of the six-year limitations period. Given the new deference to which interpretive regulations are entitled (see the last item in this Update), perhaps this new regulation would force the Tax Court to change its position on the issue. The Tax Court held that its approach was still correct notwithstanding the new regulation. According to a 2005 Supreme Court decision (*National Cable & Telecommunications Association v. Brand X Internet Services*), a court’s prior interpretation of a statute overrides an agency’s contrary interpretation if the prior judicial construction “follows from the unambiguous terms of the statute.” Since its interpretation is based on the unambiguous terms of the statute (“omits from gross income”) the new regulation could not supplant the prior interpretation. Moreover, Treasury failed to unequivocally repudiate the Supreme Court’s earlier interpretation of the statute. “Unless and until [it] does so, [Treasury’s] hands must remain tied. Consequently, [its] discretion in interpreting § 6501(e)(1)(A), howsoever noble and worthy of deference, must remain circumscribed.” *Carpenter Family Investments, LLC v. Commissioner*, 136 T.C. No. 7 (April 25, 2011).

Tenth Circuit Says Yes to the Dress, Er, to the Service. The Service determined that the taxpayer’s partners used short-sale transactions to artificially inflate the taxpayer’s basis in ranch property by about \$4.5 million, the amount of the offsetting obligation to close the short sales. The taxpayer sold the ranch in segments during 1999, 2001, and 2002. The sales were reported on the returns. More than three years passed before the Service made its determination, however, so the taxpayer maintained that the Service was barred from assessing deficiencies under the statute of limitations. The Tax Court rejected the Service’s argument that the six-year statute of limitations applies because the overstatement of basis is an “omission from gross income” sufficient to trigger the longer limitations period. Consistent with prior decisions, it held that a basis overstatement is not an omission of gross income. But since that time Treasury has issued and finalized regulations that specifically provide that an understatement of gross income resulting from an overstatement of basis is an omission of gross income for purposes of the six-year limitations period for assessing tax. On appeal, the Tenth Circuit first determined that the new regulations were valid. Section 6501(e)(1)(A) is ambiguous on the point of whether basis overstatements are omissions from gross income, so Treasury has the room to offer its interpretation. Furthermore, the interpretation that basis overstatements are omissions from gross income is a reasonable one. The taxpayer argued that collateral estoppel barred the court from considering the new regulation and subsequent cases upholding that new regulation. But the court observed that collateral estoppel is not available when there has been a change in the underlying law. The taxpayer then argued that the effective

date of the regulation did not relate back to the dates of the ranch sales, but what matters is that the limitations period in this case was still open as of the regulation's effective date, which was the case thanks to the litigation between the parties keeping the statute from tolling. *Salman Ranch, Ltd. v. Commissioner* (10th Cir., May 31, 2011).

So Does the D.C. Circuit. Almost six years after filing its 1999 return, the taxpayer received the Service's determination that some of the transactions engaged in by the taxpayer artificially overstated the basis of various assets sold and reported on the 1999 return. The taxpayers went to Tax Court arguing that the three-year statute of limitation had passed, but the Service argued the six-year statute of limitation applied because the basis overstatement was an "omission from gross income" sufficient to trigger the longer limitations period. The Tax Court granted summary judgment to the taxpayer, holding that the overstatement of basis is not an omission from gross income for this purpose. Following Treasury's promulgation of the new regulation expressly providing that basis overstatements were omissions from income for purposes of the six-year limitation period, the Service asked the Tax Court to reconsider its decision. But the Tax Court held firm, declaring the regulation invalid. On appeal, the District of Columbia Circuit reversed, concluding that, outside of the trade or business context at least, nothing in § 6501(e)(1)(A) unambiguously prevented the Service from including basis overstatements as "omissions from gross income." It thus upheld the regulation, but still remanded the case back to the Tax Court to consider whether the taxpayer had adequately disclosed the basis amount it used in connection with the transactions at issue. *Intermountain Insurance Service of Vail, LLC v. Commissioner* (D.C. Cir., June 21, 2011).

Section 6662: Imposition of Accuracy-Related Penalty on Underpayments

Transactions Lacking Economic Substance Generate Penalties, Not Deductions. The taxpayers, a married couple, operated an agricultural freight trucking business as sole proprietors. In 2000, the taxpayers incorporated the business. That same day, the taxpayers formed an LLC and transferred some of the business assets to the LLC. The LLC then leased the assets to the corporation. The taxpayers then formed another corporation that had management agreements with the trucking corporation and the LLC. The taxpayers and these three business entities engaged in all kinds of transactions, including the second corporation's purchase of the taxpayers' home. After the Service examined the returns of the taxpayers and the business entities for the years at issue, it issued deficiency notices disallowing many of the deductions claimed on the applicable returns. For example, the Service disallowed the second corporation's claimed deductions for payments of the taxpayers' food, medical expenses, and personal vehicle expenses. The taxpayers went to Tax Court, only to see the court side with the Service on most of the items in the deficiency notices. The court held that the only intended objective of the transactions involving the second corporation was having the second corporation pay the taxpayers' personal living expenses with funds from the other two business entities. The transactions were not entered into for business reasons and lacked economic substance. Accordingly, said the court, the first corporation and the LLC could not deduct their payments made to the second corporation but that the taxpayers did not have interest income from the second corporation during the years at issue even though that corporation was supposedly paying interest on its "obligation" to purchase the taxpayers' home. The court did allow the first corporation to deduct the medical expenses of the taxpayers for the years at issue because the court determined that the taxpayers were employees of the first corporation. But the court upheld the imposition an accuracy-related penalty, finding no reasonable cause for the resulting underpayments. *Sundrup v. Commissioner*, T.C. Memo 2010-249 (November 16, 2010).

Section 7609: Special Procedures for Third-Party Summonses

Service Can't Get at Data Regarding Real Property Transfers Between Related Parties. The Service has noticed “a pattern of taxpayers failing to file Forms 709” in connection with real property transfers between non-spouse related parties. As part of a compliance initiative to investigate those taxpayers who have not filed gift tax returns, the Service wants data regarding property transfers between non-spouse family members for little or no consideration from 2005 through 2010. California’s property tax system works in such a way that this information is easy traceable, as conveyances from parents to children and from grandparents to grandchildren require special paperwork so as to maintain exemption from more-than-two-percent increases in property taxes under Proposition 13. The Service asked California’s Board of Equalization for this data, but the BOE refused because California law prohibits disclosure of personal information without written consent unless required by law. In response, the Service requested a “John Doe Summons” ordering the BOE to produce the requested information. But a federal district court denied the request. Section 7609(f) allows the Service to serve a John Doe Summons if it can show: (1) the summons relates to the investigation of a particular person or group; (2) there’s a reasonable basis for believing that person or group may be failing or have failed to comply with federal tax laws; and (3) the information sought is not readily available from other courses. It is for lack of proof on this third element that the court denied the Service’s request. The Service submitted no evidence of its attempts to procure the information or whether it exhausted all of its remedies within the BOE before filing its petition. The Service said that the BOE was the only agency with the necessary information, but the Service’s filings indicate that the same information is filed with each of California’s counties before being forwarded to the BOE. Because the Service failed to show that the information was not elsewhere available, the court denied the petition without prejudice. *In re Does* (E.D. Cal., May 20, 2011).

Section 7701: Definitions

Service Offers Limited Guidance on the Codification of the Economic Substance Doctrine. One of the revenue raisers contained in the health Care and Education Reconciliation Act of 2010 is an extension of the accuracy-related penalty to any underpayment attributable to the disallowance of a claimed tax benefit because of a transaction lacking economic substance. The penalty applies to transactions entered into on or after March 31, 2010. At the same time, Congress added § 7701(o) to make clear that a transaction has economic substance only if it meaningfully changes the taxpayer’s economic position (apart from federal income tax effects) and the taxpayer had a substantial purpose for entering into the transaction (again, apart from its federal income tax effects). Treasury has announced that it “will continue to rely on relevant case law under the common-law economic substance doctrine” in enforcing the new statute. Where taxpayers claim that a transaction is profitable apart from its federal income tax consequences, Treasury has stated that it will “take into account the taxpayer’s profit motive only if the present value of the reasonably expected pre-tax profit is substantial in relation to the present value of the expected net tax benefits that would be allowed if the transaction were respected for Federal income tax purposes.” Treasury also announced that it intends to issue regulations providing that courts may factor in foreign taxes in determining whether a transaction has economic substance. But Treasury also announced that it will not issue private letter rulings as to whether the economic substance doctrine is relevant to any particular transaction. *Notice 2010-62* (October 4, 2010).

Entities Formed to Minimize Self-Employment Taxes Disregarded. The taxpayer conducted his psychiatric practice as a sole proprietorship until, acting on the advice of a CPA, he reorganized his practice by forming an LLC and two corporations. The taxpayer owned 95% of the LLC outright, with the other 5% held by one of the one of the corporations. That corporation was named the “managing member of the LLC.” The other corporation was formed as a “business management” entity. It did not

engage in professional practice but hired the taxpayer to perform service for the LLC on its behalf. The Tax Court agreed with the Service that this structure was all designed with the purpose of reducing the taxpayer's self-employment tax exposure from 100% of his revenues to 10% of the revenues (because he held a 10% general-partner-like interest in the LLC). That there was never a formal conveyance of the practice's assets to the LLC or to the corporations, that the taxpayer continued to conduct his practice in the same manner as before the interposition of the new entities, and that the entities had no assets (other than, in the case of the managing member of the LLC, the interest in the LLC), all bolstered the conclusion that there was no business purpose to the entities. The taxpayer offered a laundry list of non-tax business purposes for the entities, but the court rejected them as hollow, citing an older case that observed, "The alleged business purposes impressed us simply as a lawyer's marshaling of possible business reasons that might conceivably have motivated the adoption of the forms here employed but which in fact played no part whatever in the utilization of the * * * [structure employed]." Accordingly, held the court, the corporations would be disregarded, leaving the LLC with a single member, the taxpayer. As an unincorporated entity with one owner that has not made an election to be taxed as a separate entity, then, the LLC would be disregarded too, meaning the taxpayer must pay self-employment tax on all of his earnings. *Roblucci v. Commissioner*, T.C. Memo 2011-19 (January 24, 2011).

Section 7805: Rules and Regulations

Interpretive Regulations Now Get Same Deference as Legislative Regulations. In a case involving medical school interns seeking to avoid FICA taxes, the Supreme Court held that regulations promulgated under § 7805(a)'s general grant of authority to interpret the Code are entitled to *Chevron* deference. Previously, an interpretive regulation was valid if it implemented a congressional mandate in a reasonable manner and "harmonizes with the plain language of the statute, its origin, and its purpose." In determining whether this test was met, courts looked to a number of factors, including: whether the regulation was a substantially contemporaneous construction of the statute by those presumed to have been aware of congressional intent; the length of time the regulation has been in effect; the consistency of its interpretation; and the degree of scrutiny Congress has devoted to the regulation during subsequent reenactments of the statute. Legislative regulations, however, were entitled to *Chevron* deference, which provides that if a statute is silent or ambiguous as to a specific issue, a regulation is valid if it represents a permissible construction of the statute. In this regard, an agency's interpretation is to be given controlling weight unless it is "arbitrary, capricious, and manifestly contrary to the statute." Obviously, that standard makes it harder to challenge legislative regulations as invalid. A dispute had been brewing within the Circuit Courts of Appeal as to whether *Chevron* deference was to be extended to interpretive regulations too. After all, there is nothing in the *Chevron* case itself that restricts such deference to legislative regulations. In this case, the Supreme Court held (9-0) that the Treasury regulation at issue, an interpretive regulation, was a reasonable construction of the corresponding provision of the Internal Revenue Code. The Court said that absent justification to do so, it was not inclined to apply a less deferential test than *Chevron* in evaluating tax regulations, even interpretive regulations. Yes, opinions before *Chevron* gave less deference to interpretive regulations, but "the administrative landscape has changed significantly" since those decisions. *Chevron* deference is appropriate "when it appears that Congress delegated the authority to the agency generally to make rules carrying the force of law, and that the agency interpretation claiming deference was promulgated in the exercise of that authority." And in that regard it doesn't matter whether Congress' delegation of authority is general or specific. So good luck trying to invalidate an interpretive regulation now. *Mayo Foundation for Medical Education and Research, et al. v. United States* (U.S.S.Ct., January 11, 2011).